

Samsung Biologics Co., Ltd. and Subsidiaries

**Consolidated Financial Statements
December 31, 2023 and 2022**

Samsung Biologics Co., Ltd. and Subsidiaries
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December 31, 2023 and 2022

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Independent Auditor's Report

(English Translation of a Report Originally Issued in Korean)

To the Board of Directors and Shareholders of
Samsung Biologics Co., Ltd.

Opinion

We have audited the accompanying consolidated financial statements of Samsung Biologics Co., Ltd. (the "Company") and its subsidiaries (collectively referred to as the "Group"), which comprise the consolidated statements of financial position as at December 31, 2023 and 2022, and the consolidated statements of comprehensive income, consolidated statements of changes in equity and consolidated statements of cash flows for the years then ended, and notes to the consolidated financial statements, including material accounting policy information.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at December 31, 2023 and 2022, and its consolidated financial performance and its consolidated cash flows for the years then ended in accordance with International Financial Reporting Standards as adopted by the Republic of Korea (Korean IFRS).

We also have audited, in accordance with Korean Standards on Auditing, the Group's Internal Control over Financial Reporting for consolidation purposes as at December 31, 2023, based on *Conceptual Framework for Designing and Operating Internal Control over Financial Reporting*, and our report dated February 28, 2024 expressed an unqualified opinion.

Basis for Opinion

We conducted our audits in accordance with Korean Standards on Auditing. Our responsibilities under those standards are further described in the *Auditor's Responsibilities for the Audit of the Consolidated Financial Statements* section of our report. We are independent of the Group in accordance with the ethical requirements of the Republic of Korea that are relevant to our audit of the consolidated financial statements and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Emphasis of Matter

Without modifying our opinion, we draw attention to Note 35 to the consolidated financial statements.

Administrative lawsuit against a ruling of the Securities and Futures Commissions

As described in Note 35 to the consolidated financial statements, the Securities and Futures Commission (the "SFC") made a decision to impose measures on the Company's consolidated financial statements including alleged errors in accounting for the Company's investment in Samsung Bioepis from 2012 to the first half of 2018.

The Company submitted requests to the Seoul Administrative Court (the “Court”) to suspend the measures imposed by the SFC and the Court accepted the Company’s requests. In relation to this, the appeal and re-appeal made by SFC were rejected by the Seoul High Court and the Supreme Court, respectively.

An administrative lawsuit against a ruling of the SFC is in progress, and it is not possible to predict the outcome. However, if the Group loses the administrative lawsuit, the Group’s consolidated financial statements from 2012 to 2022 could be restated.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

(1) Revenue recognition cut-off of CMO batch sales

Why it is determined to be a Key Audit Matter

The Group operates a CMO (Contract Manufacturing Organization) business which is engaged for the production of bio-medicine. The Group’s revenue recognition process primarily includes technology transfer procedures, regulatory approval procedures, and commercial production procedures. The Group recognizes revenue over time when the transfer of control of produced biomedicine to a customer is made (Note 2).

Since the timing of transfer of control of CMO batch sales may vary depending on the transaction agreement between parties, the timing of recognition of CMO business revenue is identified as a significant risk. And we determined that revenue recognition cut-off of the CMO batch sales to be a key audit matter as its size in the consolidated financial statements is significant.

How our audit addressed the Key Audit Matter

Audit procedures we have performed in relation to the CMO revenue recognition are as follows.

- Assessed the reasonableness of the accounting policy in relation to revenue recognition.
- Obtained an understanding and evaluated internal controls over the determination of the timing of revenue recognition.
- Inspected contracts for a sample of projects to assess the appropriateness of revenue recognition accounting.
- Assessed the appropriateness of the determination of the revenue recognition point by project through audit sampling.

(2) Appropriateness of Impairment test of Goodwill and Development cost

Why it is determined to be a Key Audit Matter

As explained in Notes 15 and 34 to the consolidated financial statements, the Group recognizes ₩ 1,677,608 million of goodwill and ₩ 4,084,875 million of development cost at the end of the reporting period through the business combination with Samsung Bioepis Co., Ltd. in 2022. In accordance with Korean IFRS 1036 *Impairment of Assets*, impairment test shall be performed annually for goodwill acquired in a business combination and intangible assets with indefinite useful lives. We identified impairment test of goodwill and development cost as significant risk and determined it to be a key audit matter as significant judgment and estimation of the Group's management such as discount rate, growth rate and future cash flow involved in the estimation of recoverable amount in impairment test of goodwill and development cost.

How our audit addressed the Key Audit Matter

Audit procedures we have performed in relation to the impairment test of goodwill and development cost are as follows.

- Assessed the independence and competence of the independent external expert engaged by management.
- Engaged our internal specialists, to assist in assessing the appropriateness of the valuation method and key assumptions.
- Assessed the reasonableness of the key assumptions and variables used in the assessment by comparing the latest business plans adopted by management with historical performance and available external data.
- Compared the actual results for the current year with management's estimates of cash flows calculations from the previous year in order to assess the historical appropriateness of the management's forecasting process.
- Tested the mathematical accuracy of calculations and analysed the sensitivity.
- Assessed the effectiveness of design and operation of management's review controls.
- Assessed the appropriateness of the disclosures in the notes to the consolidated financial statements related to the impairment test of goodwill and development cost.

Other Matter

Auditing standards and their application in practice vary among countries. The procedures and practices used in the Republic of Korea to audit such financial statements may differ from those generally accepted and applied in other countries.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with Korean IFRS, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations.

Those charged with governance are responsible for overseeing the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with Korean Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with Korean Standards on Auditing, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the Group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

The engagement partner on the audit resulting in this independent auditor's report is Ki-Rok Kim, Certified Public Accountant.

Sanil PricewaterhouseCoopers

Seoul, Korea
February 28, 2024

This report is effective as of February 28, 2024, the audit report date. Certain subsequent events or circumstances, which may occur between the audit report date and the time of reading this report, could have a material impact on the accompanying consolidated financial statements and notes thereto. Accordingly, the readers of the audit report should understand that there is a possibility that the above audit report may have to be revised to reflect the impact of such subsequent events or circumstances, if any.

Samsung Biologics Co., Ltd. and its Subsidiaries
Consolidated Statements of Financial Position
December 31, 2023 and 2022

<i>(in Korean won)</i>	Notes	2023	2022
Assets			
Current assets			
Cash and cash equivalents	5,6,33	₩ 367,937,365,042	₩ 890,819,570,657
Short-term financial instruments	5,33	1,650,000,000,000	2,168,901,000,000
Financial assets at fair value through profit or loss	5,33	-	98,505,711,790
Trade and other receivables	5,8,31,33	679,354,410,912	732,839,221,107
Inventories	10,25	2,641,368,466,083	2,375,818,961,320
Contract assets	9,33	63,357,709,513	87,316,397,189
Other current financial assets	5,11,33	42,850,978,279	48,789,472,350
Other current assets	12	77,118,826,710	54,666,232,664
		<u>5,521,987,756,539</u>	<u>6,457,656,567,077</u>
Non-current assets			
Long-term financial instruments	5,7,33	7,339,455,211	7,335,813,270
Financial assets at fair value through profit or loss	5,33	1,239,609,674	-
Trade and other receivables	5,8,31,33	10,050,690,285	10,635,001,947
Investments in associates and joint ventures	13	38,856,411,599	30,774,605,702
Property, plant and equipment	14	3,880,092,158,066	3,416,528,836,940
Intangible assets	15	5,832,088,157,217	5,961,306,684,591
Right-of-use asset	19	462,331,461,205	454,923,496,204
Net defined benefit assets	21	20,587,959,706	29,646,230,762
Contract assets	9,33	244,391,580,173	177,626,602,866
Other non-current financial assets	5,11,33	25,197,311,225	32,091,698,923
Other non-current assets	12	2,034,658,296	3,524,720,204
		<u>10,524,209,452,657</u>	<u>10,124,393,691,409</u>
Total assets		<u>₩ 16,046,197,209,196</u>	<u>₩ 16,582,050,258,486</u>

Samsung Biologics Co., Ltd. and its Subsidiaries
Consolidated Statements of Financial Position
December 31, 2023 and 2022

<i>(in Korean won)</i>	Notes	2023	2022
Liabilities			
Current liabilities			
Trade and other payables	5,17,21,31,33 ₩	1,208,877,526,634	₩ 1,761,600,070,367
Emission liability	18	863,719,120	538,848,000
Debentures and borrowings	5,16,30,32,33	1,387,905,014,266	1,138,800,019,346
Contract liabilities	9,31	129,125,735,524	68,530,178,265
Lease liabilities	5,19,32,33	144,030,778,806	142,247,057,483
Current tax liabilities		191,211,779,336	223,298,677,221
Other current liabilities	9,20,31	1,095,846,263,732	846,526,710,538
		<u>4,157,860,817,418</u>	<u>4,181,541,561,220</u>
Non-current liabilities			
Trade and other payables	5,17,21,31,33	25,833,805,303	551,366,868,613
Debentures and borrowings	5,16,30,32,33	239,782,549,508	965,090,332,157
Derivative liabilities	5	24,643,703,711	22,733,991,336
Net defined benefit liabilities	21	5,117,416,381	-
Contract liabilities	9,31	373,442,403,096	318,360,573,185
Lease liabilities	5,19,32,33	137,614,234,432	267,895,530,480
Deferred tax liabilities, net	28	1,184,420,207,379	1,214,215,655,517
Other non-current liabilities	9,20,31	66,989,659,623	76,371,350,821
		<u>2,057,843,979,433</u>	<u>3,416,034,302,109</u>
Total liabilities		<u>6,215,704,796,851</u>	<u>7,597,575,863,329</u>
Equity			
Issued capital	1,22	177,935,000,000	177,935,000,000
Share premium	22	5,663,111,352,594	5,663,111,352,594
Accumulated other comprehensive loss	13,21,22	(13,846,674,460)	(2,173,393,264)
Retained earnings		4,003,292,734,211	3,145,601,435,827
Equity attributable to owners of the Parent Company		<u>9,830,492,412,345</u>	<u>8,984,474,395,157</u>
Total equity		<u>9,830,492,412,345</u>	<u>8,984,474,395,157</u>
Total liabilities and equity	₩	<u>16,046,197,209,196</u>	₩ <u>16,582,050,258,486</u>

The above consolidated statements of financial position should be read in conjunction with the accompanying notes.

Samsung Biologics Co., Ltd. and its Subsidiaries
Consolidated Statements of Comprehensive Income
Years Ended December 31, 2023 and 2022

<i>(in Korean won)</i>	Note	2023	2022
Revenue	4,23,31	₩ 3,694,588,767,068	₩ 3,001,295,197,683
Cost of revenue	9,10,23,25, 31	<u>(1,891,824,205,775)</u>	<u>(1,532,847,164,868)</u>
Gross profit		<u>1,802,764,561,293</u>	<u>1,468,448,032,815</u>
Selling, general and administrative expenses	24,25,31	<u>(689,084,551,578)</u>	<u>(484,820,638,438)</u>
Operating profit		<u>1,113,680,009,715</u>	<u>983,627,394,377</u>
Other income	26,31	13,098,008,326	65,693,438,704
Other expenses	26	(8,241,827,695)	(6,747,734,333)
Finance income	5,27	251,898,893,411	212,459,898,479
Finance costs	5,27	(249,948,735,829)	(273,268,250,923)
Share of profit of associates and joint ventures	13	<u>(499,416,727)</u>	<u>27,259,827,411</u>
Profit before income tax		<u>1,119,986,931,201</u>	<u>1,009,024,573,715</u>
Income tax expense	28	<u>(262,295,632,817)</u>	<u>(210,968,363,633)</u>
Profit for the year		<u>₩ 857,691,298,384</u>	<u>₩ 798,056,210,082</u>
Profit attributable to:			
Owners of the Parent Company		₩ 857,691,298,384	₩ 798,056,210,082
Non-controlling interests		-	-
Other comprehensive income (loss)			
<i>Items that will not be reclassified to profit or loss</i>			
Remeasurements of net defined benefit liabilities	21,22	₩ (7,139,915,348)	₩ 5,090,600,582
Share of other comprehensive income of associates and joint ventures	13,22	-	1,132,142,757
<i>Items that may be subsequently reclassified to profit or loss</i>			
Foreign currency translation gain	22	458,436,421	732,165,370
Share of other comprehensive income of associates and joint ventures	13,22	<u>(4,991,802,269)</u>	<u>40,365,116</u>
Other comprehensive income (loss) for the year, net of tax		<u>(11,673,281,196)</u>	<u>6,995,273,825</u>
Total comprehensive income for the year		<u>₩ 846,018,017,188</u>	<u>₩ 805,051,483,907</u>
Total comprehensive income for the year is attributed to:			
Owners of the Parent Company		₩ 846,018,017,188	₩ 805,051,483,907
Non-controlling interests		-	-
Earnings per share			
Basic earnings per share	29	₩ 12,051	₩ 11,442
Diluted earnings per share	29	12,051	11,432

The above consolidated statements of comprehensive income should be read in conjunction with the accompanying notes.

Samsung Biologics Co., Ltd. and its Subsidiaries
Consolidated Statements of Changes in Equity
Years Ended December 31, 2023 and 2022

(in Korean won)

(in Korean won)

Equity attributable to owners of the Parent Company								
	Notes	Share capital	Share premium	Accumulated other comprehensive income(loss)	Retained earnings	Non-controlling interests	Total	
Balance at January 1, 2022	₩	165,412,500,000	₩ 2,487,313,082,024	₩ (8,810,638,260)	₩ 2,347,187,196,916	₩ -	₩ 4,991,102,140,680	
Total comprehensive income								
Profit for the year		-	-	-	798,056,210,082	-	798,056,210,082	
Other comprehensive income (loss)								
Remeasurements of net defined benefit liabilities	21,22	-	-	5,090,600,582	-	-	5,090,600,582	
Foreign currency translation loss	22	-	-	732,165,370	-	-	732,165,370	
Share of other comprehensive loss of associate and joint venture	13,22	-	-	1,172,507,873	-	-	1,172,507,873	
Total comprehensive income for the year		-	-	6,995,273,825	798,056,210,082	-	805,051,483,907	
Transactions with owners								
Capital increase	22	12,522,500,000	3,175,798,270,570	-	-	-	3,188,320,770,570	
Changes in scope of consolidation	22	-	-	(358,028,829)	358,028,829	-	-	
Balance at December 31, 2022	₩	177,935,000,000	₩ 5,663,111,352,594	₩ (2,173,393,264)	₩ 3,145,601,435,827	₩ -	₩ 8,984,474,395,157	
Balance at January 1, 2023	₩	177,935,000,000	₩ 5,663,111,352,594	₩ (2,173,393,264)	₩ 3,145,601,435,827	₩ -	₩ 8,984,474,395,157	
Total comprehensive income								
Profit for the year		-	-	-	857,691,298,384	-	857,691,298,384	
Other comprehensive income								
Remeasurements of net defined benefit liabilities	21,22	-	-	(7,139,915,348)	-	-	(7,139,915,348)	
Foreign currency translation gain	22	-	-	458,436,421	-	-	458,436,421	
Share of other comprehensive income of associate and joint venture	13,22	-	-	(4,991,802,269)	-	-	(4,991,802,269)	
Total comprehensive income for the year		-	-	(11,673,281,196)	857,691,298,384	-	846,018,017,188	
Balance at December 31, 2023	₩	177,935,000,000	₩ 5,663,111,352,594	₩ (13,846,674,460)	₩ 4,003,292,734,211	₩ -	₩ 9,830,492,412,345	

The above consolidated statements of changes in equity should be read in conjunction with the accompanying notes.

Samsung Biologics Co., Ltd. and its Subsidiaries
Consolidated Statements of Cash Flows
Years Ended December 31, 2023 and 2022

<i>(in Korean won)</i>	Notes	2023	2022
Cash flows from operating activities			
Profit for the year	₩	857,691,298,384	₩ 798,056,210,082
Adjustments for:			
Retirement benefits	21	30,563,479,788	29,801,368,050
Depreciation	14,24,25	250,566,301,956	173,013,272,268
Amortization of intangible assets	15,24,25	226,942,751,262	123,795,410,142
Depreciation of right-of-use asset	19	12,272,941,441	11,455,638,505
Loss on valuation of inventories	10	9,074,384,289	22,477,434,974
Loss on retirement of property, plant and equipment	26	2,764,395,398	1,528,177,837
Gain on disposal of property, plant and equipment	26	(101,411,116)	(48,498,189)
Loss on disposal of property, plant and equipment	26	837,440,415	383,895,909
Loss on retirement of intangible assets	26	365,077,000	724,075,601
Loss on disposal of intangible assets	26	-	2,000
Gain on foreign currency translations	27	(16,479,905,756)	(7,686,931,041)
Loss on foreign currency translations	27	21,195,819,337	102,601,676,917
Gain on valuation of derivatives	5,27	(1,962,774,713)	(7,697,776,679)
Loss on valuation of derivatives	5,27	1,909,712,375	2,126,351,909
Gain on disposal of investments	13,26	(5,154,231,872)	(64,417,937,123)
Cost of emissions	18	863,719,120	538,848,000
Interest income	5,27	(95,650,057,424)	(53,292,639,827)
Interest expenses	5,27	81,596,402,209	64,064,345,794
Gain on valuation of financial assets at fair value through profit or loss	5,27	2,322,541	(476,889,379)
Gain on disposal of financial assets at fair value through profit or loss	5,27	-	(7,757,718,658)
Bad debt expense	33	21,510,607,254	22,406,812,819
Share of loss (profit) of associates and joint ventures	13	499,416,727	(27,259,827,411)
Income tax expense	28	262,295,632,819	210,968,363,635
Others		(1,161,742,370)	428,363,076
		<u>802,750,280,680</u>	<u>597,675,819,129</u>
Change in operating assets and liabilities:			
Trade and other receivables		30,126,800,629	(305,335,556,829)
Inventories		(273,895,973,431)	(179,912,330,182)
Deposits provided		(891,700,749)	(7,149,457,169)
Contract assets		(45,697,404,241)	(51,236,198,489)
Other assets		(11,486,504,900)	26,728,682,752
Trade and other payables		267,037,226,468	134,593,715,653
Contract liabilities		57,189,553,334	(9,224,765,738)
Emission liability		(538,848,000)	(725,692,500)
Advance receipts		271,709,970,070	139,333,199,466
Unearned revenues		27,199,078,386	44,017,493,402
Other liabilities		6,994,112,589	(90,854,774)
Retirement benefits paid	21	(3,595,882,260)	(2,615,131,830)
Transfer from affiliates of defined benefit liabilities	21	(78,103,620)	355,516,120
Contributions to plan assets	21	(25,328,825,464)	(52,223,887,152)

Samsung Biologics Co., Ltd. and its Subsidiaries
Consolidated Statements of Cash Flows
Years Ended December 31, 2023 and 2022

<i>(in Korean won)</i>	Notes	2023	2022
		<u>298,743,498,811</u>	<u>(263,485,267,270)</u>
Interest received		89,849,951,747	43,214,027,985
Interest paid		(63,485,621,284)	(33,940,309,501)
Income tax paid		<u>(319,320,886,896)</u>	<u>(188,472,670,339)</u>
Net cash inflow from operating activities		<u>1,666,228,521,442</u>	<u>953,047,810,086</u>
Cash flows from investing activities			
Decrease in short-term financial instruments		8,367,222,000,000	7,372,906,288,210
Decrease in financial assets at fair value through profit or loss		98,505,711,790	4,050,000,000,000
Decrease in long-term financial instruments		2,000,000	4,983,472,523
Disposal of property, plant and equipment	14	2,811,127,799	64,009,900
Receipt of government grants		-	178,518,182
Decrease in investments in associates and joint ventures	13	4,181,809,275	-
Increase in short-term financial instruments		(7,848,321,000,000)	(9,124,240,288,210)
Increase in long-term financial instruments		(18,403)	(5,306,730,000)
Increase in financial assets at fair value through profit or loss		(1,241,932,215)	(3,298,505,711,790)
Acquisition of property, plant and equipment	14	(995,070,661,693)	(956,839,702,456)
Acquisition of intangible assets	15	(110,254,001,327)	(52,385,908,554)
Business combinations	34	(1,071,525,000,000)	(1,081,821,081,255)
Acquisition of investments in associates and joint ventures	13	(12,588,840,000)	(15,510,000,000)
Increase in long-term loans		<u>(26,644,848)</u>	<u>-</u>
Net cash outflow from investing activities		<u>(1,566,305,449,622)</u>	<u>(3,106,477,133,450)</u>
Cash flows from financing activities			
Proceeds from short-term borrowings	16,32	758,500,000,000	593,750,000,000
Proceeds from long-term borrowings	16,32	45,000,000,000	211,903,000,000
Capital increase	22	-	3,200,751,000,000
Capital increase by non-controlling interests		200,000,000	-
Repayment of debentures	16,32	(40,000,000,000)	-
Repayment of short-term borrowings	16,32	(686,783,298,125)	(496,987,928,125)
Repayment of current portion of long-term borrowings	16,32	(514,718,000,000)	(440,355,000,000)
Repayment of long-term borrowings	16,32	(39,339,000,000)	-
Repayment of lease liabilities	19,32	(157,909,650,238)	(56,550,582,915)
Stock issuance cost		<u>-</u>	<u>(12,430,229,430)</u>
Net cash inflow (outflow) from financing activities		<u>(635,049,948,363)</u>	<u>3,000,080,259,530</u>
Net increase (decrease) in cash and cash equivalents		(535,126,876,543)	846,650,936,166
Cash and cash equivalents at the beginning of the year		890,819,570,657	47,410,383,773
Effects of exchange rate changes		<u>12,244,670,928</u>	<u>(3,241,749,282)</u>
Cash and cash equivalents at the end of the year	₩	<u>367,937,365,042</u>	₩ <u>890,819,570,657</u>

The above consolidated statements of cash flows should be read in conjunction with the accompanying notes.

Samsung Biologics Co., Ltd. and its Subsidiaries

Notes to the Consolidated Financial Statements

December 31, 2023 and 2022

1. General Information

Samsung Biologics Co., Ltd. (the "Company") was established on April 22, 2011 under the commercial law of the Republic of Korea and is engaged in Biopharmaceutical manufacturing. The Company's head office is located in 300, Songdobio-daero, Yeonsu-gu, Incheon-si, The Republic of Korea. The Company was listed on securities market on November 10, 2016. As at December 31, 2023, the Company's issued capital is ₩ 177,935 million.

The shareholders of the Company as at December 31, 2023, are as follows:

Shareholder	Number of shares	Percentage of ownership (%)
Samsung C&T Corporation	30,646,705	43.06
Samsung Electronics Co., Ltd.	22,217,309	31.22
Others	18,309,986	25.72
	<u>71,174,000</u>	<u>100.00</u>

Samsung Biologics Co., Ltd. (the "Company", a controlling company in accordance with International Financial Reporting Standards as adopted by the Republic of Korea ("Korean IFRS") 1110 *Consolidated Financial Statements*) and a subsidiary (collectively referred to as the "Group") prepared the consolidated financial statements accounting for the investments in associates and joint ventures using the equity method.

1.1 Consolidated Subsidiary

In 2023, the Group acquired 50%-1 shares of Samsung Bioepis Co., Ltd. which control was obtained by holding 100% shares (Note 34).

Details of the consolidated subsidiary as at December 31, 2023, are as follows:

	Location	Percentage ownership (%)	Main business	Closing month
SAMSUNG BIOLOGICS AMERICA Inc.	USA	100.00	Other services	December
SAMSUNG BIOEPIS Co., Ltd.	Republic of Korea	100.00	Biopharmaceutical development and commercialization	December
SAMSUNG BIOEPIS UK LIMITED	UK	100.00	Other services	December
SAMSUNG BIOEPIS CH GMBH	Swiss	100.00	Other services	December
SAMSUNG BIOEPIS AU PTY LTD	Australia	100.00	Other services	December
SAMSUNG BIOEPIS BR PHARMACEUTICAL LTDA	Brazil	100.00	Other services	December

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	Location	Percentage ownership (%)	Main business	Closing month
SAMSUNG BIOEPIS NZ LIMITED	New Zealand	100.00	Other services	December
SAMSUNG BIOEPIS IL LTD	Israel	100.00	Other services	December
SAMSUNG BIOEPIS NL B.V	Netherlands	100.00	Other services	December
SAMSUNG BIOEPIS TW Limited	Taiwan	100.00	Other services	December
SAMSUNG BIOEPIS PL Sp z o.o	Poland	100.00	Other services	December
SAMSUNG BIOEPIS HK Limited	Hong Kong	100.00	Other services	December
SAMSUNG BIOEPIS United States Inc	USA	100.00	Other services	December
SVIC No.63 New Technology Business Investment L.L.P. ¹	Republic of Korea	99.00	Investment association	December

¹ During the year ended December 31, 2023, the Group invested ₩ 19,800 million in SVIC No.63 New Technology Business Investment L.L.P.

Summarized financial information for consolidated subsidiary as at and for the years ended December 31, 2023 and 2022, are as follows:

(in thousands of Korean won)	2023					
	Assets	Liabilities	Equity	Sales	Profit for the year	Total comprehensive income
Samsung Biologics America, Inc.	₩ 19,788,379	₩ 5,763,100	₩ 14,025,279	₩ 12,986,212	₩ 254,890	₩ 487,704
Samsung Bioepis Co., Ltd. ¹	2,897,925,422	1,545,284,609	1,352,640,813	1,020,297,643	180,626,051	177,601,520

¹ Consolidated financial information of SAMSUNG BIOEPIS Co., Ltd. and its subsidiaries.

(in thousands of Korean won)	2022					
	Assets	Liabilities	Equity	Sales	Profit for the year	Total comprehensive income
Samsung Biologics America, Inc.	₩ 16,677,877	₩ 3,140,302	₩ 13,537,574	₩ 6,327,235	₩ 375,755	₩ 1,145,689
Samsung Bioepis Co., Ltd. ¹	2,834,623,746	1,658,528,872	1,176,094,873	663,772,381	168,228,953	167,064,084

¹ On April 20, 2022, Samsung Bioepis Co., Ltd. and its subsidiaries were included to the consolidated subsidiaries whose sales, profit for the period, and total comprehensive income are subsequent to the acquisition date.

Samsung Biologics Co., Ltd. and its Subsidiaries

Notes to the Consolidated Financial Statements

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1.2 Changes in Scope for Consolidation

Subsidiaries newly included in the consolidation during the year ended December 31, 2023:

Name of Subsidiaries	Reason
SVIC No.63 New Technology Business Investment L.L.P.	Newly acquired

2. Material Accounting Policies

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

2.1 Basis of Preparation

The Group maintains its accounting records in Korean won and prepares statutory consolidated financial statements in the Korean language (Hangul) in accordance with International Financial Reporting Standards as adopted by the Republic of Korea (Korean IFRS). The accompanying consolidated financial statements have been condensed, restructured and translated into English from the Korean language financial statements.

Certain information attached to the Korean language financial statements, but not required for a fair presentation of the Group's financial position, financial performance or cash flows, is not presented in the accompanying financial statements.

The consolidated financial statements of the Group have been prepared in accordance with Korean IFRS. These are the standards, subsequent amendments and related interpretations issued by the International Accounting Standards Board (IASB) that have been adopted by the Republic of Korea.

The financial statements have been prepared on a historical cost basis, except for the following:

- Certain financial assets and liabilities (including derivative instruments), and
- Defined benefit pension plans – plan assets measured at fair value.

The preparation of financial statements requires the use of significant accounting estimates. Management also needs to exercise judgement in applying the Group's accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in Note 3.

Samsung Biologics Co., Ltd. and its Subsidiaries

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2.2 Changes in Accounting Policies and Disclosures

2.2.1 New and amended standards adopted by the Group

The Group has applied the following standards and amendments for the first time for their annual reporting period commencing January 1, 2023.

(a) Korean IFRS 1001 Presentation of Financial Statements - Disclosure of Accounting Policies

The amendments to Korean IFRS 1001 define and require entities to disclose their material accounting policy information (being information that, when considered together with other information included in an entity's financial statements, can reasonably be expected to influence decisions that the primary users of financial statements make on the basis of those financial statements). The amendments do not have a significant impact on the consolidated financial statements.

(b) Korean IFRS 1001 Presentation of Financial Statements - Disclosure of gain or loss on valuation of financial liabilities subject to adjustment of exercise price

If the entire or a part of financial instrument, whose exercise price is subject to change due to the issuer's share price, is classified as a financial liability, the carrying amount of the financial liability and related gains and losses shall be disclosed. The amendments do not have a significant impact on the consolidated financial statements.

(c) Korean IFRS 1008 Accounting Policies, Changes in Accounting Estimates and Errors - Definition of Accounting Estimates

The amendments define accounting estimates and clarify how to distinguish them from changes in accounting policies. The amendments do not have a significant impact on the consolidated financial statements.

(d) Korean IFRS 1012 Income Taxes - Deferred Tax related to Assets and Liabilities arising from a Single Transaction

The amendments include an additional condition to the exemption to initial recognition of an asset or liability that a transaction does not give rise to equal taxable and deductible temporary differences at the time of the transaction. The amendments do not have a significant impact on the consolidated financial statements.

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(e) New Standard: Korean IFRS 1117 Insurance Contract

Korean IFRS 1117 *Insurance Contracts* replaces Korean IFRS 1104 *Insurance Contracts*. This Standard estimates future cash flows of an insurance contract and measures insurance liabilities using discount rates applied with assumptions and risks at the measurement date. The entity recognizes insurance revenue on an accrual basis including services (insurance coverage) provided to the policyholder by each annual period. In addition, investment components (Refunds due to termination/maturity) repaid to a policyholder even if an insured event does not occur, are excluded from insurance revenue, and insurance financial income or expense and the investment income or expense are presented separately to enable users of the information to understand the sources of income or expenses. This standard does not have a significant impact on the consolidated financial statements.

(f) Korean IFRS 1012 Income Taxes - International Tax Reform – Pillar Two Model Rules

The amendments provide a temporary relief from the accounting for deferred taxes arising from legislation enacted to implement the Pillar Two model rules, which aim to reform international corporate taxation for multinational enterprises, and require disclosure of related current tax effects, etc. The Group applies the exception to recognizing and disclosing information about deferred tax assets and liabilities related to Pillar Two income taxes. Since the Pillar Two legislation is scheduled to be effective from January 1, 2024, the Group has no current tax expense related to Pillar Two. The impact of the Pillar Two income taxes is described in Note 28.

2.2.2 New standards and interpretations not yet adopted by the Group

The following new accounting standards and interpretations have been published that are not mandatory for December 31, 2023 reporting periods and have not been early adopted by the Group.

(a) Amendments to Korean IFRS 1001 Presentation of Financial Statements - Classification of Liabilities as Current or Non-current, Non-current Liabilities with Covenants

The amendments clarify that liabilities are classified as either current or non-current, depending on the substantive rights that exist at the end of the reporting period. Classification is unaffected by the likelihood that an entity will exercise right to defer settlement of the liability or the expectations of management. Also, the settlement of liability includes the transfer of the entity's own equity instruments, however, it would be excluded if an option to settle them by the entity's own equity instruments if compound financial instruments is met the definition of equity instruments and recognized separately from the liability. In addition, covenants that an entity is required to comply with after the end of the reporting period would not affect classification of a liability as current or non-current at the reporting date. When an entity classifies a liability that is subject to the covenants which an entity is required to comply with within twelve months of the reporting date as non-current at the end of the reporting period, the entity shall disclose information in the notes to understand the risk that non-current liabilities with covenants could become repayable within twelve months after the reporting period. The amendments should be

Samsung Biologics Co., Ltd. and its Subsidiaries

Notes to the Consolidated Financial Statements

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applied for annual periods beginning on or after January 1, 2024, and earlier application is permitted. The Group is in review for the impact of these amendments on the consolidated financial statements.

(b) Amendments to Korean IFRS 1007 Statement of Cash Flows, Korean IFRS 1107 Financial Instruments: Disclosures – Supplier finance arrangements

When applying supplier finance arrangements, an entity shall disclose information about its supplier finance arrangements that enables users of financial statements to assess the effects of those arrangements on the entity's liabilities and cash flows and on the entity's exposure to liquidity risk. The amendments should be applied for annual periods beginning on or after January 1, 2024, and earlier application is permitted. The Group is in review for the impact of these amendments on the financial statements.

(c) Amendments to Korean IFRS 1116 Leases - Lease Liability in a Sale and Leaseback

When subsequently measuring lease liabilities arising from a sale and leaseback, a seller-lessee shall determine lease payments or revised lease payments in a way that the seller-lessee would not recognize any amount of the gain or loss that relates to the right of use retained by the seller-lessee. The amendments should be applied for annual periods beginning on or after January 1, 2024, and earlier application is permitted. The Group is in review for the impact of these amendments on the financial statements.

(d) Amendments to Korean IFRS 1001 Presentation of Financial Statements – Disclosure of Cryptographic Assets

The amendments require for an additional disclosure if an entity holds cryptographic assets, or holds cryptographic assets on behalf of the customer, or issues cryptographic assets. The amendments should be applied for annual periods beginning on or after January 1, 2024, and earlier application is permitted. The amendments do not have a significant impact on the consolidated financial statements.

Samsung Biologics Co., Ltd. and its Subsidiaries

Notes to the Consolidated Financial Statements

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2.3 Consolidation

The Group has prepared the consolidated financial statements in accordance with Korean IFRS 1110 *Consolidated Financial Statements*.

(a) Subsidiaries

Subsidiaries are all entities over which the Group has control. The Group controls an entity when the Group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power to direct the activities of the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are deconsolidated from the date that control ceases.

The acquisition method of accounting is used to account for business combinations by the Group. The consideration transferred is measured at the fair values of the assets transferred, and identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. The Group recognizes any non-controlling interest in the acquired entity that is provided a proportionate share in the case of liquidation on an acquisition-by-acquisition basis either at fair value or at the non-controlling interest's proportionate share of the acquired entity's net identifiable assets. All other non-controlling interests are measured at fair values, unless otherwise required by other standards. Acquisition-related costs are expensed as incurred.

The excess of consideration transferred, amount of any non-controlling interest in the acquired entity and acquisition-date fair value of any previous equity interest in the acquired entity over the fair value of the net identifiable assets acquired is recorded as goodwill. If those amounts are less than the fair value of the net identifiable assets of the business acquired, the difference is recognized directly in the profit or loss as a bargain purchase.

Intercompany transactions, balances and unrealized gains on transactions between group companies are eliminated. Unrealized losses are also eliminated unless the transaction provides evidence of an impairment of the transferred asset. Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by the Group.

The Group treats transactions with non-controlling interests that do not result in a loss of control as transactions with equity owners of the Parent Company. Any difference between the amount of the adjustment to non-controlling interest and any consideration paid or received is recognized in a separate reserve within equity attributable to owners of the Parent Company.

When the Group ceases to consolidate for a subsidiary because of a loss of control, any retained interest in the subsidiary is remeasured to its fair value with the changed in carrying amount recognized in profit or loss.

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(b) Associates and joint ventures

Associates are those entities in which the Group has significant influence, but no control or joint control, over the financial and operating policies.

A joint venture is an arrangement in which the Group has joint control, whereby the Group has rights to the net assets of the arrangement, rather than rights to its assets and obligations for its liabilities.

Investments in associates and joint ventures are accounted for using the equity method of accounting, after initially being recognized at cost. Unrealized gains on transactions between the Group and its associates and joint ventures are eliminated to the extent of the Group's interest in the associates and joint ventures. If the Group's share of losses of an associate and joint venture equals or exceeds its interest in the associate and joint venture (including long-term interests that, in substance, form part of the Group's net investment in the associate and joint venture), the Group discontinues recognizing its share of further losses. After the Group's interest is reduced to zero, additional losses are provided for, and a liability is recognized, only to the extent that the Group has incurred legal or constructive obligations or made payments on behalf of the associate.

If there is an objective evidence of impairment for the investment in the associate and joint venture, the Group recognizes the difference between the recoverable amount of the associate and joint venture and its book amount as impairment loss. If an associate and joint venture uses accounting policies other than those of the Group for like transactions and events in similar circumstances, if necessary, adjustments shall be made to make the accounting policies of the associate and joint venture conform to those of the Group when the financial statements of the associate and joint venture are used by the Group in applying the equity method.

2.4 Cash and Cash Equivalents

Cash and cash equivalents include cash on hand, deposits held at call with banks, and other short-term highly liquid investments that are readily convertible to a known amount of cash and are subject to an insignificant risk of change in value.

2.5 Foreign Currency Translation

(a) Functional and presentation currency

Items included in the financial statements of the Group are measured using the currency of the primary economic environment in which each entity operates (the "functional currency"). The consolidated financial statements are presented in Korean won, which is the Group's functional and presentation currency.

Samsung Biologics Co., Ltd. and its Subsidiaries

Notes to the Consolidated Financial Statements

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(b) Transactions and balances

Foreign currency transactions are translated into the functional currency using the exchange rates at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation of monetary assets and liabilities denominated in foreign currencies at year end exchange rates are generally recognized in profit or loss. They are deferred in other comprehensive income if they relate to qualifying cash flow hedges and qualifying effective portion of net investment hedges, or are attributable to monetary part of the net investment in a foreign operation.

Translation differences on assets and liabilities carried at fair value are reported as part of the fair value gain or loss. For example, translation differences on non-monetary assets and liabilities such as equities held at fair value through profit or loss are recognized in profit or loss as part of the fair value gain or loss and translation differences on non-monetary assets such as equities held at fair value through other comprehensive income are recognized in other comprehensive income.

2.6 Financial Assets

(a) Classification

The Group classifies its financial assets in the following measurement categories:

- those to be measured at amortized cost
- those to be measured at fair value through other comprehensive income, and
- those to be measured at fair value through profit or loss.

The classification depends on the Group's business model for managing the financial assets and the contractual terms of the cash flows.

For financial assets measured at fair value, gains and losses will either be recorded in profit or loss or other comprehensive income. For investments in debt instruments, this will depend on the business model in which the investment is held. The Group reclassifies debt investments when, and only when its business model for managing those assets changes.

For investments in equity instruments that are not held for trading, this will depend on whether the Group has made an irrevocable election at the time of initial recognition to account for the equity investment at fair value through other comprehensive income. Changes in fair value of non-designated equity investment are recognized in profit or loss.

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(b) Measurement

At initial recognition, the Group measures a financial asset at its fair value plus, in the case of a financial asset not at fair value through profit or loss, transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at fair value through profit or loss are expensed in profit or loss.

Financial assets with embedded derivatives are considered in their entirety when determining whether their cash flows are solely payment of principal and interest.

A. Debt instruments

Subsequent measurement of debt instruments depends on the Group's business model for managing the asset and the cash flow characteristics of the asset. The Group classifies its debt instruments into one of the following three measurement categories:

- **Amortized cost:** Assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortized cost. A gain or loss on a debt investment that is subsequently measured at amortized cost and is not part of a hedging relationship is recognized in profit or loss when the asset is derecognized or impaired. Interest income from these financial assets is included in 'finance income' using the effective interest rate method.
- **Fair value through other comprehensive income:** Assets that are held for collection of contractual cash flows and for selling the financial assets, where the assets' cash flows represent solely payments of principal and interest, are measured at fair value through other comprehensive income. Movements in the carrying amount are taken through other comprehensive income, except for the recognition of impairment loss (reversal of impairment loss), interest income and foreign exchange gains and losses which are recognized in profit or loss. When the financial asset is derecognized, the cumulative gain or loss previously recognized in other comprehensive income is reclassified from equity to profit or loss.
- **Fair value through profit or loss:** Assets that do not meet the criteria for amortized cost or fair value through other comprehensive income are measured at fair value through profit or loss. A gain or loss on a debt investment that is subsequently measured at fair value through profit or loss and is not part of a hedging relationship is recognized in 'finance income or costs'.

B. Equity instruments

The Group subsequently measures all equity investments at fair value. Where the Group's management has elected to present fair value gains and losses on equity investments, which are held for long-term investments or strategic purposes, in other comprehensive income, there is no subsequent reclassification of fair value gains and losses to profit or loss following the derecognition of the investments. Dividend income from such investments continue to be recognized as 'finance income' when the right to receive payments is established.

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Changes in the fair value of financial assets at fair value through profit or loss are recognized in 'finance income and costs. Impairment loss (reversal of impairment loss) on equity investments measured at fair value through other comprehensive income are not reported separately.

(c) Impairment

The Group assesses on a forward-looking basis the expected credit losses associated with its debt instruments carried at amortized cost and fair value through other comprehensive income. The impairment methodology applied depends on whether there has been a significant increase in credit risk. For trade and other receivables and contract assets, the Group applies the simplified approach, which requires expected lifetime credit losses to be recognized from initial recognition of the receivables (Note 33).

(d) Recognition and Derecognition

Regular way purchases and sales of financial assets are recognized or derecognized on the trade-date, the date on which the Group commits to purchase or sell the asset. Financial assets are derecognized when the rights to receive cash flows from the financial assets have expired or have been transferred and the Group has transferred substantially all the risks and rewards of ownership.

If a transfer does not result in derecognition because the Group has retained substantially all the risks and rewards of ownership of the transferred asset, the Group continues to recognize the transferred asset in its entirety and recognizes a financial liability for the consideration received.

(e) Offsetting of financial instruments

Financial assets and liabilities are offset and reported in the statement of financial position where there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis or realize the assets and settle the liability simultaneously. The legally enforceable right must not be contingent on future events and must be enforceable in the normal course of business and also in the event of default, insolvency or bankruptcy of the Group or the counterparty.

2.7 Derivative Instruments

Derivatives are initially recognized at fair value on the date when a derivative contract is entered into and are subsequently remeasured at their fair value at the end of each reporting period. Changes in the fair value of any derivative instrument that does not qualify for hedge accounting are recognized immediately in profit or loss based on the nature of transactions.

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2.8 Trade Receivables

Trade receivables are amounts due from customers for merchandise sold or services performed in the ordinary course of business. Trade receivables are recognized initially at the amount of consideration that is unconditional, unless they contain significant financing components and are recognized at fair value. Trade receivables are subsequently measured at amortized cost using the effective interest method, deducting allowance for credit losses.

2.9 Inventories

Inventories are stated at the lower of cost and net realizable value. Cost is determined using the individual method, moving weighted average method, or monthly gross average method. The cost of inventories includes expenditures for acquiring the inventories, production or conversion costs and other costs incurred in bringing them to their existing location and condition. Fixed production overheads which are included in the costs of finished goods or work-in-process are allocated based on normal capacity of production facilities.

The amount of any write-down of inventories to net realizable value and all losses of inventories are recognized as an expense in the period the write-down or loss occurs. The amount of any reversal of any write-down of inventories, arising from an increase in net realizable value, are recognized as a reduction in the amount of inventories recognized as cost of revenue in the period in which the reversal occurs.

2.10 Property, Plant and Equipment

Property, plant and equipment are stated at historical cost less accumulated depreciation and accumulated impairment losses.

Historical cost includes expenditure that is directly attributable to the acquisition of the items. Subsequent costs are included in the asset's carrying amount or recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognized. All other repairs and maintenance are recognized as expense during the financial period in which they are incurred.

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Depreciation of all property, plant and equipment, except for land, is calculated using the straight-line method to allocate their cost or revalued amounts, net of their residual values, over their estimated useful lives as follows:

	Useful lives
Buildings and Structures	40 years
Machinery	5 ~ 15
Vehicles	4
Others	4

The assets' depreciation method, residual values and useful lives are reviewed, and adjusted if appropriate, at the end of each reporting period.

Gains and losses on disposal of an item of property, plant and equipment are determined by comparing the proceeds from disposal with the carrying amount of property, plant and equipment and are recognized in profit or loss.

2.11 Borrowing Costs

The Group capitalizes borrowing costs directly attributable to the acquisition, construction, or production of a qualifying asset as part of the cost of that asset. Other borrowing costs are recognized in expense as incurred. A qualifying asset is an asset that requires a substantial period of time to get ready for its intended use or sale. Financial assets and inventories that are manufactured or otherwise produced over a short period of time are not qualifying assets. Assets that are ready for their intended use or sale when acquired are not qualifying assets.

To the extent that the Group borrows funds specifically for the purpose of obtaining a qualifying asset, the Group determines the amount of borrowing costs eligible for capitalization as the actual borrowing costs incurred on that borrowing during the period less any investment income on the temporary investment of those borrowings. To the extent that the Group borrows funds generally and uses them for the purpose of obtaining a qualifying asset, the Group shall determine the amount of borrowing costs eligible for capitalization by applying a capitalization rate to the expenditures on that asset. The capitalization rate shall be the weighted average of the borrowing costs applicable to the borrowings of the Group that are outstanding during the period, other than borrowings made specifically for the purpose of obtaining a qualifying asset. The amount of borrowing costs that the Group capitalizes during a period shall not exceed the amount of borrowing costs incurred during that period.

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2.12 Government Grants

Grants from the government are recognized at their fair value where there is a reasonable assurance that the grant will be received and the Group will comply with all attached conditions. Government grants related to assets are presented as a deduction when calculating the carrying amount of assets, and subsidies related to income are deferred and presented as a deduction from related expenses for the purpose of the government grants.

In connection with a lease agreement with Incheon Metropolitan city ("Incheon") related to the use of some land, the Group is exempt from the full amount of rent because the Group meets the requirements for exemption of rent in accordance with the Common Property Management Ordinance of Incheon. The Group recognized an intangible asset at the fair value of the rent that is exempt from Incheon and government grant as a reduction of assets at the same value.

2.13 Intangible Assets

Goodwill is measured as described in Note 2.3, and carried at cost less accumulated impairment losses. Intangible assets acquired in a business combination are initially measured at their fair value at the acquisition date. Intangible assets other than these are initially recognized at its historical cost, and carried at cost less accumulated amortization and accumulated impairment losses.

Intangible assets acquired in a business combination are amortized using the straight-line method over the following useful life. Amortization of intangible assets other than these is calculated on a straight-line basis over the following estimated useful lives of intangible assets from the date that they are available for use. The residual value of intangible assets is zero. However, as there are no foreseeable limits to the periods over which memberships are expected to be available for use, they are determined as having indefinite useful lives and are not amortized.

	Useful lives
Development costs	5~12 years
Software	5
Other intangible assets	5
Land use rights	50
Trademarks and patent rights	10
Memberships	indefinite

Useful lives and the amortization methods for intangible assets with finite useful lives are reviewed at the end of each reporting period. The useful lives of intangible assets that are not being amortized are reviewed at the end of each reporting period to determine whether events and circumstances continue to support indefinite useful life assessments for those assets. Changes are accounted for as changes in accounting estimates.

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- **Research & Development**

Expenditure for research or research phase of internal projects is recognized as an expense when incurred. Expenditure in development stage is recognized as intangible assets when it is technically feasible to complete the assets, adequate resources to complete the development and to use or sell the assets are available, future economic benefits of intangible assets are identified, and the relevant expenditures can be reliably measured. Other expenditures for development are recognized as expenses when incurred.

- **Subsequent expenditures**

Subsequent expenditures are capitalized only when the future economic benefits belonging to the specific assets are increased, and other expenditures, including internally generated goodwill and brand names, are expensed immediately upon occurrence.

The judgement regarding the recognition of intangible assets is as follows.

Biosimilar products start from extracting proteins after cell line development and making them into a pharmaceutical form. If it passes the equivalence test for the original medicines, it can start clinical procedures. The final approval for sales is obtained considering the results of the clinical tests and the production ability to commercialization.

The Group determined that the intangible assets are individually identifiable and technically feasible at the time of approval for the application of the first clinical trial, when the regulatory body has confirmed the similarity verification data with the original biologic medicine. In addition, only expenses directly related to clinical trials should be capitalized as development expenses, and other expenses are recognized as expenses. Other expenses incurred in relation to the development of Biobetter and new medicines are recognized as expenses for the current period as they do not meet the requirements for capitalization.

2.14 Impairment of Non-financial Assets

Goodwill and intangible assets that have an indefinite useful life are not subject to amortization and are tested annually for impairment, or more frequently if events or changes in circumstances indicate that they might be impaired. The impairment loss is recognized as carrying amounts that exceed recoverable amount. The recoverable amount is the higher of an asset's fair value less costs of disposal and value in use. Non-financial assets, other than goodwill, contract assets recognized based on the revenue from contracts with customers and assets arising from the costs incurred to enter into or perform the contracts, assets arising from employee benefits, biological assets, inventories, investment properties measured at fair value, and non-current assets classified to held-for-sale, that suffered an impairment are reviewed for possible reversal of the impairment at the end of each reporting period.

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2.15 Trade and Other Payables

These amounts represent liabilities for goods and services provided to the Group prior to the end of reporting period which are unpaid. Trade and other payables are presented as current liabilities, unless payment is not due within 12 months after the reporting period. They are recognized initially at their fair value and subsequently measured at amortized cost using the effective interest method.

2.16 Financial Liabilities

(a) Classification and measurement

The Group's financial liabilities at fair value through profit or loss are financial instruments held for trading. A financial liability is held for trading if it is incurred principally for the purpose of repurchasing in the near term. A derivative that is not designated as a hedging instrument and an embedded derivative that is separated are also classified as held for trading.

The Group classifies non-derivative financial liabilities, except for financial liabilities at fair value through profit or loss, financial guarantee contracts and financial liabilities that arise when a transfer of financial assets does not qualify for derecognition, as financial liabilities carried at amortized cost and present as 'trade and other payables' and 'debentures and borrowings' in the statement of financial position.

(b) Derecognition

Financial liabilities are removed from the statement of financial position when it is extinguished; for example, when the obligation specified in the contract is discharged or cancelled or expired or when the terms of an existing financial liability are substantially modified. The difference between the carrying amount of a financial liability extinguished or transferred to another party and the consideration paid (including any non-cash assets transferred or liabilities assumed) is recognized in profit or loss.

2.17 Provisions and Contingencies

Provisions are recognized when the Group has a present legal or constructive obligation as a result of past events, and it is probable that an outflow of resources will be required to settle the obligation and the amount can be reliably estimated. Provisions are measured at the present value of management's best estimate of the expenditure required to settle the present obligation at the end of the reporting period, and the increase in the provision due to the passage of time is recognized as interest expense.

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A contingent liability is disclosed when; - a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity; or - a present obligation that arises from past events but is not recognized because: it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation or the amount of the obligation cannot be measured with sufficient reliability.

2.18 Greenhouse Gas Emission Permits

With enforcement of The Act on the Allocation and Trading of Greenhouse Gas Emission Permits, the allocation received from the government for free of charge are measured at zero while purchased emission permits are measured at acquisition cost and presented net of accumulated impairment loss. Emissions obligations are measured as the best estimate of expenditure required to settle the obligation at the end of the reporting period for the gas emissions in excess of the emission permits. Emission permits and emission obligations are classified as intangible assets and emission liability, respectively, in the statement of financial position.

2.19 Current and Deferred Tax

The tax expense for the period consists of current and deferred tax. Current and deferred tax is recognized in profit or loss, except to the extent that it relates to items recognized in other comprehensive income or directly in equity. In this case, the tax is also recognized in other comprehensive income or directly in equity, respectively.

The current income tax expense is measured at the amount expected to be paid to the taxation authorities, using the tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation, and considers whether it is probable that a taxation authority will accept an uncertain tax treatment. The Group measures its tax balances either based on the most likely amount or the expected value, depending on which method provides a better prediction of the resolution of the uncertainty.

Deferred income tax is provided in full on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements. However, deferred income tax is not accounted for if it arises from the initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting profit nor taxable profit or loss.

Deferred tax assets are recognized only if it is probable that future taxable amounts will be available to utilize those temporary differences and losses.

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The Group recognizes a deferred tax liability all taxable temporary differences associated with investments in associates, and interests in joint arrangements, except to the extent that the Group is able to control the timing of the reversal of the temporary difference and it is probable that the temporary difference will not reverse in the foreseeable future. In addition, The Group recognizes a deferred tax asset for all deductible temporary differences arising from such investments to the extent that it is probable the temporary difference will reverse in the foreseeable future and taxable profit will be available against which the temporary difference can be utilized.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets and liabilities and when the deferred tax balances relate to the same taxation authority. Current tax assets and tax liabilities are offset when the Group has a legally enforceable right to offset and intends either to settle on a net basis, or to realize the assets and settle the liability simultaneously.

2.20 Employee Benefits

(a) Short-term employee benefits

Short-term employee benefits are employee benefits that are expected to be settled wholly before twelve months after the end of the annual reporting period in which the employees render the related services. When an employee has rendered service to the Group during an accounting period, the Group recognizes the undiscounted amount of short-term employee benefits expected to be paid in exchange for that service.

(b) Other long-term employee benefits

Other long-term employee benefits include employee benefits that are settled beyond 12 months after the end of the period in which the employees render the related service, and are calculated at the present value of the amount of future benefit that employees have earned in return for their services in the current and prior periods. Any changes from re-measurements are recognized through profit or loss in the period in which they arise.

(c) Post-employment benefits

The Group operates both defined contribution and defined benefit pension plans.

For defined contribution plans, the Group pays contribution to publicly or privately administered pension insurance plans on mandatory, contractual or voluntary basis. The Group has no further payment obligation once the contribution has been paid. The contribution is recognized as employee benefit expense when they are due.

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A defined benefit plan is a pension plan that is not a defined contribution plan. Generally, post-employment benefits are payable after the completion of employment, and the benefit amount depend on the employee's age, periods of service or salary levels. The liability recognized in the statement of financial position in respect of defined benefit pension plans is the present value of the defined benefit obligation at the end of the reporting period less the fair value of plan assets. The defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates of high-quality corporate bonds that are denominated in the currency in which the benefits will be paid, and that have terms approximating to the terms of the related obligation. Remeasurement gains and losses arising from experience adjustments and changes in actuarial assumptions are recognized in the period in which they occur, directly in other comprehensive income.

Changes in the present value of the defined benefit obligation resulting from plan amendments, curtailments or settlements are recognized immediately in profit or loss as past service costs.

2.21 Contributed Capital

Ordinary shares are classified as equity. Transaction costs directly related to the issuance of ordinary shares and share options are recognized as a deduction from equity.

2.22 Earnings per Share

The Group presents basic and diluted earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period, adjusted for own shares held.

2.23 Revenue Recognition

(a) Identification of performance obligation

- CMO (Contract Manufacturing Organization) business

The Group manufactures and supplies made-to-order biomedicine. Services mandatorily rendered prior to a production of biomedicine do not form a part of a performance obligation since they are considered as a set-up process. Only the sales of biomedicine are recognized as performance obligations.

- CDO (Contract Development Organization) business

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The Group provides cell line and upstream/downstream process development services. The Group recognizes cell line and upstream/downstream process development services as distinct performance obligations.

- Development and commercialization of biosimilar products

The Group recognizes the development of biosimilar products and the sale of commercialized products to the end customers as performance obligations.

(b) Satisfaction of performance obligations

- CMO business

Goods manufactured by the Group do not have an alternative use to the Group, and it has an enforceable right to payment for performance completed to date. This is because that the Group produces biomedicine at a quality that a customer requires and is entitled to reimbursement of the costs incurred to date, including a reasonable margin if a customer terminates a contract. Therefore, the Group recognizes revenue and the associated costs over time as it satisfies its performance obligation over a contract period.

Under the practical expedient of Korean IFRS 1115, the transaction price allocated to these unsatisfied contracts is not disclosed.

- CDO business

Revenue is recognized over time during the research period of each service as a customer simultaneously receives and consumes the benefits provided by the Group as the Group performs research and development services.

- Development of biosimilar products and sales of biosimilar commercialized products

The Group's revenue is generated from commissions related to the development of biosimilar products and external sales of commercialized products. The Group recognizes revenue by identifying performance obligations from product development and manufacturing in the contract. The Group's revenue is recognized depending on whether a performance obligation is satisfied at a point in time or over time. Revenue is measured based on the consideration promised in a contract with a customer, and the Group recognizes revenue when control of a good or service transfers to the customer.

The Group reviewed whether definition of customer in paragraph 6 of Korean IFRS 1115 in agreement covering the development and biosimilar commercialized products.

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For some contracts, in some stages of the contract (product commercialization phase), the Group determined that the partners do not meet the definition of customer because the partners participated in the production and revenue-generating process, and share the risk and benefits arising from the activities with the Group. In the meantime, for some other contracts, the Group settles the total revenues for a certain period according to the pre-specified ratio. The Group reviewed whether the partners meet the definition of customer in paragraph 6 of Korean IFRS 1115 in this agreement. The Group determined that the partners meet the definition of customer because they do not share the risk and benefits arising from the activities with the Group.

Contracts in which the counterparties do not meet the definition of a customer are not subject to Korean IFRS 1115, and there is no provision in Korean IFRS that specifically stipulates a series of transactions pursuant to such a collaboration agreement. The Group developed and applied accounting policies in accordance with paragraphs 10 to 12 of Korean IFRS 1008. As a result, the Group recognizes revenue from the transfer of control of license and revenue from the sale of commercialized products separately as follows:

- Development of biosimilar products: The Group recognizes considerations received from customers through the development of biosimilar products (including Upfront and Milestone fees) as revenue when controls of an exclusive, non-transferable license are transferred to the customers (e.g., when regulatory approval is obtained).
- Sales of commercialized products with revenue and cost sharing according to the contractual agreement: In the case of products sold under a contract in which partners participate in process of generating profits through production and sales of products, and settle the total profit or loss for a certain period by product and region at a pre-specified ratio, the Group recognized revenues when the commercialized products are sold to the end customer and the control of the goods is transferred to the end customer. In this regard, all revenues and expenses (sales, cost of sales, and marketing expenses) incurred in the process of generating profits through production of products recognized in proportion between the Group and partners at a pre-specified ratio pursuant to the agreement.
- Revenue is recognized when the product manufactured by the Group for commercialization is transferred to partners.

(c) Costs to fulfil a contract

If the costs incurred in fulfilling a contract with a customer are related directly to a contract or to an anticipated contract that the entity can specifically identify, generate or enhance resources of the entity that will be used in satisfying performance obligations in the future, and the costs are expected to be recovered, the costs are recognized as assets. And the costs to fulfil a contract are recognized as cost of revenue based on the percentage of completion.

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(d) Contract assets and contract liabilities

- CMO business

The Group recognizes the amount of the advance consideration by customers related to the transfer of technology or engineering batch production as contract liabilities and related costs as costs to fulfil a contract. Such activities are required in advance for the production of goods ordered but do not transfer goods or services to a customer. Accordingly, they are not included in a performance obligation.

- CDO business

In a CDO business, a contract asset is an entity's right to receive consideration in exchange for goods or services that the entity has transferred to a customer, and a contract liability is the entity's obligation to transfer goods or services to a customer for which the entity has received consideration (or the amount is due) from the customer.

- Development of biosimilar products and sales of commercialized products

The Group recognizes unbilled amounts for R&D services for which performance obligations have been completed as contract assets. Commissions received from customers through the development of biosimilar products (including Upfront and Milestone fees) are recognized as contract liabilities.

(e) Variable consideration

If the consideration promised in a contract includes a variable amount, the Group estimates the amount of consideration to which the Group will be entitled to in exchange for transferring the promised goods or services to a customer. An amount of consideration can vary because of discounts, refunds, credits, price concessions, penalties or other similar items. The promised consideration can also vary if an entity's entitlement to the consideration is contingent on the occurrence or non-occurrence of a future event.

(f) Recognition of receivable

A receivable is recognized when the control of bio-medicine has been transferred as this is the point in time that the consideration is unconditional because only the passage of time is required before the payment is due.

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2.24 Leases

(a) Lessor

Lease income from operating leases where the Group is a lessor is recognized in income on a straight-line basis over the lease term. Initial direct costs incurred in obtaining an operating lease are added to the carrying amount of the underlying asset and recognized as expense over the lease term on the same basis as lease income. The respective leased assets are included in the statement of financial position based on their nature.

(b) Lessee

The Group leases various offices, equipment and vehicles. Lease contracts are typically made for a fixed periods of 2 to 3 years, but may have extension options. Contracts may contain both lease and non-lease components. However, for leases of real estate for which the Group is lessee, the Group applies the practical expedient which has elected not to separate lease and non-lease components and instead accounts for these as a single lease component. Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions. The lease agreements do not impose any covenants, but leased assets may not be used as security for borrowing purposes.

Some of lease contracts of the group include extension and termination options. These terms are used to maximize operational flexibility in terms of contract management. Most of the extension and termination options can be exercised by the group and not by the relevant lessor.

Leases are recognized as a right-of-use asset and a corresponding liability at the date at which the leased asset is available for use by the Group. Assets and liabilities arising from a lease are initially measured on a present value basis. Lease liability measurement also include payments to be made in the option periods if the lessee is reasonably certain to exercise the option to extend the lease.

The lease payments are discounted using the interest rate implicit in the lease. If that rate cannot be determined, the lessee's incremental borrowing rate is used, being the rate that the lessee would have to pay to borrow the funds necessary to obtain an asset of similar value in a similar economic environment with similar terms and conditions.

The Group is exposed to potential future increases in variable lease payments based on an index or rate, which are not included in the lease liability until they take effect. When adjustments to lease payments based on an index or rate take effect, the lease liability is reassessed and adjusted against the right-of-use asset.

Each lease payment is allocated between the liability and finance cost. The finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period.

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Right-of-use assets are measured at cost comprising the following:

- the amount of the initial measurement of lease liability
- any lease payments made at or before the commencement date less any lease incentives received
- any initial direct costs, and
- restoration costs

The right-of-use asset is depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis. If the Group is reasonably certain to exercise a purchase option, the right-of-use asset is depreciated over the underlying asset's useful life. The Group elected not to apply that revaluation model to buildings held by the Group that are presented in the right-of-use assets.

Short-term leases are leases with a lease term of 12 months or less. Low-value assets are comprised of IT-equipment and small items of office furniture. Payments associated with short-term leases and leases of low-value assets are recognized as an expense in profit or loss.

2.25 Approval of Issuance of the Financial Statements

The consolidated financial statements 2023 were approved for issue by the Board of Directors on January 24, 2024 and are subject to change with the approval of shareholders at their Annual General Meeting.

3. Significant Accounting Estimates and Assumptions

The preparation of consolidated financial statements requires the Group to make estimates and assumptions concerning the future. Management also needs to exercise judgement in applying the Group's accounting policies. Estimates and assumptions are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances. As the resulting accounting estimates will, by definition, seldom equal the related actual results, it can contain a significant risk of causing a material adjustment.

The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below. Additional information of significant judgement and assumptions of certain items are included in the relevant notes.

(a) Development costs

The Group uses management's best judgment, such as expected future cash flow and discount rate when reviewing capitalization requirements and useful lives of development costs. In addition, impairment tests for development costs are performed at the end of each reporting period, and there is uncertainty in estimating the recoverable amount including recoverability.

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(b) Income taxes

The Group's taxable income generated from these operations are subject to income taxes based on tax laws and interpretations of tax authorities in numerous jurisdictions. There are many transactions and calculations for which the ultimate tax determination is uncertain (Note 28).

If certain portion of the taxable income is not used for investments or increase in wages or dividends, the Group is liable to pay additional income tax calculated based on the tax laws. Accordingly, the measurement of current and deferred income tax is affected by the tax effects from the new tax system. As the Group's income tax is dependent on the investments, increase in wages and dividends, there is an uncertainty in measuring the final tax effects.

(c) Impairment of costs to fulfill a contract

The Group reviews whether there are any impairment indicators of costs to fulfil a contract at the end of each reporting period. The Group recognizes the impairment by comparing the revenue expected to receive for goods or service related to the costs to fulfil a contract with expected cost that are directly attributable. These calculations require estimates.

(d) Net defined benefit liability (asset)

The present value of net defined benefit liability (asset) depends on a number of factors that are determined on an actuarial basis using a number of assumptions including the discount rate (Note 21).

(e) Impairment of goodwill

The Group tests whether goodwill has suffered any impairment by the recoverable amount of a cash generating unit (CGU) which is determined based on value-in-use calculations.

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4. Operating Segments

The Group has disclosed operating segments in the consolidated financial statements in accordance with Korean IFRS 1108, and the operating segments of the Group is consisted of the CDMO (Contract Development and Manufacturing Organization) segment, and the biopharmaceutical development and commercialization segment. The management, who makes strategic decisions for the Group, determines the operating segments of the Group. The Group's management makes decisions on resources to be allocated to each division and reviews the performance of each division based on the operating profit of each division.

Information by segment as at and for the years ended December 31, 2023 and 2022, are prepared after eliminating intercompany transactions, and assets and liabilities by segments are not included as it is not regularly provided to the top management.

Information for each business for the years ended December 31, 2023 and 2022, are as follows:

(in thousands of Korean won)	2023			2022		
	CDMO	Biopharmaceutical development and commercialization ¹	Total	CDMO	Biopharmaceutical development and commercialization ¹	Total
Total sales	₩ 2,951,741,892	₩ 1,020,297,643	₩ 3,972,039,535	₩ 2,443,613,347	₩ 663,772,381	₩ 3,107,385,728
Intercompany sales	(277,450,768)	-	(277,450,768)	(106,090,530)	-	(106,090,530)
Net sales	2,674,291,124	1,020,297,643	3,694,588,767	2,337,522,817	663,772,381	3,001,295,198
Depreciations ²	237,193,253	13,373,048	250,566,301	164,651,554	8,362,090	173,013,644
Amortization of intangible assets ²	9,383,010	217,559,741	226,942,751	7,497,290	116,298,121	123,795,411
Operating profit ²	1,088,218,771	25,461,239	1,113,680,010	915,589,385	68,038,009	983,627,394

¹ The Group acquired an additional 50%-1 share of Samsung Bioepis Co., Ltd. to secure a 100% stake in the investee company and gain control on April 20, 2022. As a result, biopharmaceutical development and commercialization of Samsung Bioepis Co., Ltd. was added as a separate business segment.

² The impact of amortization on the fair value of identifiable assets due to business combinations is reflected in the biopharmaceutical development and commercialization segment.

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Details of customers, who contribute over 10% of the Group's total revenue for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023	2022
Client A	₩ 432,677,504	₩ 491,758,988
Client B	337,936,129	393,735,445
Client C	292,479,658	360,788,314
	<u>₩ 1,063,093,291</u>	<u>₩ 1,246,282,747</u>

Geographic revenue for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023	2022
Domestic	₩ 114,568,961	₩ 154,745,834
Europe	2,353,844,590	1,785,875,239
USA	971,055,328	853,984,373
Other	255,119,888	206,689,752
	<u>₩ 3,694,588,767</u>	<u>₩ 3,001,295,198</u>

The amount of non-current assets by region as at December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023	2022
Domestic ¹	₩ 10,414,282,501	₩ 10,006,985,872
Overseas ¹	6,655,514	6,924,469
	<u>₩ 10,420,938,015</u>	<u>₩ 10,013,910,341</u>

¹ The amount excludes financial instruments, and investment in associates and joint ventures.

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5. Financial Instruments

(a) Financial assets

Categories of financial assets as at December 31, 2023 and 2022, are as follows:

(in thousands of Korean won)

	2023		
	Financial assets at fair value through profit or loss	Financial assets measured at amortized cost	Total
Current assets			
Cash and cash equivalents	₩ -	₩ 367,937,365	₩ 367,937,365
Short-term financial instruments	-	1,650,000,000	1,650,000,000
Financial assets at fair value through profit or loss	-	-	-
Trade and other receivables	-	634,496,257	634,496,257
Deposits provided	-	38,338,324	38,338,324
Derivatives assets ¹	4,512,654	-	4,512,654
	<u>4,512,654</u>	<u>2,690,771,946</u>	<u>2,695,284,600</u>
Non-current assets			
Long-term financial instruments	-	7,339,455	7,339,455
Financial assets at fair value through profit or loss	1,239,610	-	1,239,610
Trade and other receivables	-	10,050,690	10,050,690
Loans	-	26,304	26,304
Deposits provided	-	25,171,007	25,171,007
Derivative assets ¹	-	-	-
	<u>1,239,610</u>	<u>42,587,456</u>	<u>43,827,066</u>
	<u>₩ 5,752,264</u>	<u>₩ 2,733,359,402</u>	<u>₩ 2,739,111,666</u>

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	2022		
	Financial assets at fair value through profit or loss	Financial assets measured at amortized cost	Total
Current assets			
Cash and cash equivalents	₩ -	₩ 890,819,571	₩ 890,819,571
Short-term financial instruments	-	2,168,901,000	2,168,901,000
Financial assets at fair value through profit or loss	98,505,712	-	98,505,712
Trade and other receivables	-	684,321,895	684,321,895
Deposits provided	-	35,310,984	35,310,984
Derivatives assets ¹	13,478,488	-	13,478,488
	<u>111,984,200</u>	<u>3,779,353,450</u>	<u>3,891,337,650</u>
Non-current assets			
Long-term financial instruments	-	7,335,813	7,335,813
Trade and other receivables	-	10,635,002	10,635,002
Deposits provided	-	27,432,729	27,432,729
Derivative assets ¹	4,658,970	-	4,658,970
	<u>4,658,970</u>	<u>45,403,544</u>	<u>50,062,514</u>
	<u>₩ 116,643,170</u>	<u>₩ 3,824,756,994</u>	<u>₩ 3,941,400,164</u>

¹ Details of the currency interest swap which the Group entered for the borrowing in foreign currency as at December 31, 2023, are as follows:

Classification	Category	Financial institution	Contracted amount	Contract date	Maturity date	Currency		Contracted exchange rate	Interest rate (%)	
						Sell	Buy		Receiving	Paying
Trading	Currency interest swap	Woori Bank	USD 30,000,000	2021-08-30	2024-08-30	USD	KRW	1,164	Compounded Sofr(3M)+1.20	2.15

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(b) Financial liabilities

Categories of financial liabilities as at December 31, 2023 and 2022, are as follows:

(in thousands of Korean won)

	2023					
	Financial liabilities at fair value through profit or loss		Financial liabilities measured at amortized cost		Other liabilities	Total
Current liabilities						
Trade and other payables ¹	₩	-	₩	1,042,396,334	₩ -	₩ 1,042,396,334
Debentures		-		379,723,014	-	379,723,014
Short-term borrowings		-		654,500,000	-	654,500,000
Current portion of long- term borrowings		-		353,682,000	-	353,682,000
Lease liabilities		-		-	144,030,779	144,030,779
		-		2,430,301,348	144,030,779	2,574,332,127
Non-current liabilities						
Trade and other payables ¹		-		2,965,590	-	2,965,590
Debentures		-		119,782,550	-	119,782,550
Long-term borrowings		-		120,000,000	-	120,000,000
Derivative liabilities		24,643,704		-	-	24,643,704
Lease liabilities		-		-	137,614,234	137,614,234
		24,643,704		242,748,140	137,614,234	405,006,078
	₩	24,643,704	₩	2,673,049,488	₩ 281,645,013	₩ 2,979,338,205

(in thousands of Korean won)

	2022					
	Financial liabilities at fair value through profit or loss		Financial liabilities measured at amortized cost		Other liabilities	Total
Current liabilities						
Trade and other payables ¹	₩	-	₩	1,624,767,738	₩ -	₩ 1,624,767,738
Debentures		-		39,978,721	-	39,978,721
Short-term borrowings		-		582,783,298	-	582,783,298
Current portion of long- term borrowings		-		516,038,000	-	516,038,000
Lease liabilities		-		-	142,247,058	142,247,058
		-		2,763,567,757	142,247,058	2,905,814,815
Non-current liabilities						
Trade and other payables ¹		-		532,829,743	-	532,829,743
Debentures		-		499,052,332	-	499,052,332
Long-term borrowings		-		466,038,000	-	466,038,000
Derivative liabilities		22,733,991		-	-	22,733,991
Lease liabilities		-		-	267,895,530	267,895,530
		22,733,991		1,497,920,075	267,895,530	1,788,549,596
	₩	22,733,991	₩	4,261,487,832	₩ 410,142,588	₩ 4,694,364,411

¹ The amounts exclude the accrued compensation for annual leaves, performance bonuses, and others payable to employees.

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(c) The fair values of financial instruments

The fair values of financial instruments, together with the carrying amounts shown in the statements of financial position as at December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023		2022	
	Carrying amount¹	Fair value	Carrying amount¹	Fair value
Assets measured at fair value				
Financial assets at fair value through profit or loss	₩ 1,239,610	₩ 1,239,610	₩ 98,505,712	₩ 98,505,712
Derivative assets	4,512,654	4,512,654	18,137,458	18,137,458
	<u>5,752,264</u>	<u>5,752,264</u>	<u>116,643,170</u>	<u>116,643,170</u>
Assets measured at amortized cost				
Cash and cash equivalents	367,937,365	367,937,365	890,819,571	890,819,571
Short-term financial instruments	1,650,000,000	1,650,000,000	2,168,901,000	2,168,901,000
Long-term financial instruments	7,339,455	7,339,455	7,335,813	7,335,813
Trade and other receivables	644,546,947	644,546,947	694,956,897	694,956,897
Loans	26,304	26,304	-	-
Deposits provided	63,509,332	63,509,332	62,743,713	62,743,713
	<u>2,733,359,403</u>	<u>2,733,359,403</u>	<u>3,824,756,994</u>	<u>3,824,756,994</u>
	<u>₩ 2,739,111,667</u>	<u>₩ 2,739,111,667</u>	<u>₩ 3,941,400,164</u>	<u>₩ 3,941,400,164</u>
Liabilities carried at fair value				
Derivative liabilities	₩ 24,643,704	₩ 24,643,704	₩ 22,733,991	₩ 22,733,991
Liabilities carried at amortized cost				
Trade and other payables	1,045,361,924	1,045,361,924	2,157,597,481	2,157,597,481
Debentures	499,505,564	499,505,564	539,031,053	539,031,053
Borrowings	1,128,182,000	1,128,182,000	1,564,859,298	1,564,859,298
	<u>2,673,049,488</u>	<u>2,673,049,488</u>	<u>4,261,487,832</u>	<u>4,261,487,832</u>
	<u>₩ 2,697,693,192</u>	<u>₩ 2,697,693,192</u>	<u>₩ 4,284,221,823</u>	<u>₩ 4,284,221,823</u>

¹ The Group used the carrying amount as a proxy for fair value because it is a reasonable approximation of fair value.

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(d) Fair value hierarchy

The following presents financial instruments measured and recognized at fair value as at December 31, 2023 and 2022:

<i>(in thousands of Korean won)</i>		2023			
		Level 1	Level 2	Level 3	Total
Financial assets					
Financial assets at fair value through profit or loss	₩	-	₩ -	₩ 1,239,610	₩ 1,239,610
Derivative assets		-	4,512,654	-	4,512,654
Financial liabilities					
Derivative liabilities		-	-	24,643,704	24,643,704
<i>(in thousands of Korean won)</i>		2022			
		Level 1	Level 2	Level 3	Total
Financial assets					
Financial assets at fair value through profit or loss	₩	-	₩ 98,505,712	₩ -	₩ 98,505,712
Derivative assets		-	18,137,458	-	18,137,458
Financial liabilities					
Derivative liabilities		-	-	22,733,991	22,733,991

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(e) Valuation techniques and inputs

Valuation techniques and significant inputs used in measuring the fair value of financial instruments classified as level 2 and level 3 as at December 31, 2023 and 2022, are as follows:

	Fair value		Level	Valuation techniques	Inputs
	2023	2022			
Financial assets at fair value through profit or loss	₩ -	₩ 98,505,712	2	Market approach	-
Financial assets at fair value through profit or loss ¹	1,239,610	-	3	-	-
Derivative assets (currency interest swap)	4,512,654	17,019,024	2	Discount cash flow model	Currency forward rate, interest rate, discount rate and others
Derivative assets (interest swap)	-	1,118,434			Interest rate, discount rate and others
Derivative liabilities (contingent considerations in the stock purchase)	24,643,704	22,733,991	3	Option model	Discount rate and others

¹ The Group measures certain non-listed shares among financial assets at fair value at cost, of which the fair value cannot be measured reliably, and believes that these amortized cost or acquisition cost is similar to fair value.

(f) Valuation Processes for Fair Value Measurements Categorized as Level 3

The Group's finance department operates a separate team that performs the fair value measurements required for financial reporting purposes, including level 3 fair values. Discussions of valuation process and result are held at reporting date, in line with the Group's end of each reporting periods.

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(g) *Sensitivity analysis of financial instruments is performed to measure favorable and unfavorable changes in the fair value of financial instruments which are affected by the unobservable parameters, using a statistical technique. When the fair value is affected by more than two input parameters, the most favorable or most unfavorable amounts are presented.*

<i>(in thousands of Korean won)</i>	Volatility	Favorable changes	Unfavorable changes
Discount rate ¹	0.5%	₩ 241,408	₩ (242,761)

¹ The changes in the fair value of derivative liabilities was calculated by increasing or decreasing significant but unobservable inputs among the inputs that determine the fair value of the underlying assets.

(h) *Net gains or losses by category of financial instruments*

Net gains or losses on each category of financial instruments for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	Interest income (expenses)		Gain (loss) on valuation		Other income (expenses)¹		Net income (loss)	
	2023	2022	2023	2022	2023	2022	2023	2022
Financial assets at amortized cost	₩ 95,650,057	₩ 53,292,640	₩ -	₩ -	₩ 353,818	₩ (63,012,030)	₩ 96,003,875	₩ (9,719,390)
Financial assets at fair value through profit or loss	-	-	(2,323)	476,889	-	7,757,719	(2,323)	8,234,608
Derivative assets	-	-	1,962,775	7,763,431	446,613	(339,354)	2,409,388	7,424,077
Financial liabilities at amortized cost	(73,679,430)	(61,368,955)	-	-	(11,539,477)	(491,296)	(85,218,907)	(61,860,251)
Derivative liabilities	-	-	(1,909,712)	(2,192,006)	(1,415,191)	-	(3,324,903)	(2,192,006)
Other liabilities	(7,916,972)	(2,695,391)	-	-	-	-	(7,916,972)	(2,695,391)
	<u>₩ 14,053,655</u>	<u>₩(10,771,706)</u>	<u>₩ 50,740</u>	<u>₩ 6,048,314</u>	<u>₩ (12,154,237)</u>	<u>₩ (56,084,961)</u>	<u>₩ 1,950,158</u>	<u>₩ (60,808,353)</u>

¹ Other income and expenses include gain (loss) on foreign currency translations and transactions, and gain (loss) on disposal of financial assets at fair value through profit or loss, and gain (loss) on transactions of derivatives.

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6. Cash and Cash Equivalents

Cash and cash equivalents as at December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023		2022	
Cash equivalents	₩	367,937,365	₩	890,819,571

7. Restricted Financial Instruments

Restriction of financial instruments as at December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023		2022		Note
Long-term financial instruments	₩	140,952	₩	140,730	Deposits on checking accounts
		7,198,503		7,195,083	Establishment of a pledge right
	₩	<u>7,339,455</u>	₩	<u>7,335,813</u>	

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8. Trade and Other Receivables

Details of trade and other receivables as at December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023		
	Gross amount	Allowance for doubtful account¹	Net amount
Trade receivables	₩ 534,763,281	₩ (44,996,121)	₩ 489,767,160
Other receivables	178,809,487	(386,698)	178,422,789
Accrued income	21,215,152	-	21,215,152
Total ²	₩ 734,787,920	₩ (45,382,819)	₩ 689,405,101

<i>(in thousands of Korean won)</i>	2022		
	Gross amount	Allowance for doubtful account¹	Net amount
Trade receivables	₩ 663,821,037	₩ (26,564,727)	₩ 637,256,310
Other receivables	84,900,345	(56,249)	84,844,096
Accrued income	21,373,817	-	21,373,817
Total ²	₩ 770,095,199	₩ (26,620,976)	₩ 743,474,223

¹ The Group recognized allowance for doubtful account by calculating the expected credit loss for lifetime expected collection period from the initial recognition of receivables (Note 33).

² Trade and other receivables for related parties as at December 31, 2023 and 2022, are ₩ 75,015 thousand and ₩ 56,579 thousand, respectively (Note 31).

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9. Contract Assets and Liabilities

Changes in contract assets and liabilities arising from contracts with customers for years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023			
	Beginning balance	Increase	Decrease	Ending balance
Contract assets - costs to fulfil a contract	₩ 217,608,236	₩ 96,773,734	₩ (31,424,378)	₩ 282,957,592
Contract assets – unbilled ¹	47,334,765	13,402,570	(35,945,637)	24,791,698
Contract liabilities	386,890,751	232,135,498	(116,458,111)	502,568,138

¹ The amount of increase or decrease includes bad debt expense (reversal) (Note 33).

<i>(in thousands of Korean won)</i>	2022				
	Beginning balance	Increase	Increase (decrease) due to business combination¹	Decrease	Ending balance
Contract assets - costs to fulfil a contract	₩ 224,471,444	₩ 83,899,721	₩ (39,138,868)	₩ (51,624,061)	₩ 217,608,236
Contract assets - unbilled	28,770,500	38,902,318	-	(20,338,053)	47,334,765
Contract liabilities	285,621,829	115,820,427	110,398,580	(124,950,085)	386,890,751

¹ The amount includes intercompany transaction adjustments.

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Costs incurred in fulfilling a contract include costs for technology transfer and production of trial batches in order to manufacture products that customers request. Such activities do not include transferring goods or services to a customer but are prerequisite for the production of goods ordered. Accordingly, they do not consist of a part of the performance obligation but are recognized as contract assets. Unbilled contract assets were recognized due to a difference between the extent of the Group's satisfaction of its performance obligation satisfied over time and the consideration billed to the customer. The Group recognizes Upfront and Milestone fees received from customers through the development of biosimilar products as well as advance receipt from customers as contract liabilities.

During the years ended December 31, 2023 and 2022, there is no impairment loss on Contract assets – costs to fulfil a contract.

Besides the above contract liabilities recognized, the Group classifies the amount received prior to transferring goods or services to the customer as 'advance receipts'. Changes in advance receipts for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023			
	Beginning balance	Increase	Decrease	Ending balance
Advance receipts	₩ 480,710,156	₩ 720,506,919	₩ (448,796,949)	₩ 752,420,126

<i>(in thousands of Korean won)</i>	2022				
	Beginning balance	Increase	Decrease due to business combination¹	Decrease	Ending balance
Advance receipts	₩ 385,764,478	₩ 595,414,842	₩ (44,387,522)	₩ (456,081,642)	₩ 480,710,156

¹ The amount includes intercompany transaction adjustments.

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10. Inventories

Details of inventories as at December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023		
	Acquisition cost	Provision for loss on valuation	Book amount
Finished goods	₩ 730,941,993	₩ (2,706,340)	₩ 728,235,653
Work-in-process	811,066,332	(8,412,309)	802,654,023
Raw materials	857,877,089	(7,054,237)	850,822,852
Supplies	267,745,299	(8,089,361)	259,655,938
	<u>₩ 2,667,630,713</u>	<u>₩ (26,262,247)</u>	<u>₩ 2,641,368,466</u>

<i>(in thousands of Korean won)</i>	2022		
	Acquisition cost	Provision for loss on valuation	Book amount
Finished goods	₩ 752,104,606	₩ (1,082,262)	₩ 751,022,344
Work-in-process	802,745,931	(17,912,880)	784,833,051
Raw materials	615,162,962	(6,519,174)	608,643,788
Supplies	235,593,730	(4,273,952)	231,319,778
	<u>₩ 2,405,607,229</u>	<u>₩ (29,788,268)</u>	<u>₩ 2,375,818,961</u>

During the year ended December 31, 2023, The Group recognized ₩ 1,801,505 million (2022: ₩ 1,353,881 million) of inventories as an expense, and the amount includes loss on valuation of inventory for ₩ 9,074 million (2022: ₩ 22,477 million).

11. Other Financial Assets

Details of other financial assets as at December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023		2022	
	Current	Non-current	Current	Non-current
Deposits provided	₩ 38,338,324	₩ 25,171,007	₩ 35,310,984	₩ 27,432,729
Loans	-	26,304	-	-
Derivative assets	4,512,654	-	13,478,488	4,658,970
	<u>₩ 42,850,978</u>	<u>₩ 25,197,311</u>	<u>₩ 48,789,472</u>	<u>₩ 32,091,699</u>

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12. Other Assets

Details of other assets as at December 31, 2023 and 2022, are as follows:

(in thousands of Korean won)	2023		2022	
	Current	Non-current	Current	Non-current
Advance payments	₩ 50,288,447	₩ -	₩ 31,464,801	₩ -
Prepaid expenses	26,830,379	2,034,658	23,201,432	3,524,720
	<u>₩ 77,118,826</u>	<u>₩ 2,034,658</u>	<u>₩ 54,666,233</u>	<u>₩ 3,524,720</u>

13. Investments in Associates and Joint Ventures

Investments in associates and joint ventures as at December 31, 2023 and 2022, are as follows:

(in thousands of Korean won)	Major business location	Primary business	Fiscal date	2023		2022	
				Book amount	Percentage of ownership	Book amount	Percentage of ownership
Archigen Biotech Limited ¹	UK	Bio-medicine business	-	₩ -	-	₩ 4,087,595	50.00%
SVIC No.54 New Technology Business Investment L.L.P.	Republic of Korea	Equity investment in the bio industry start-ups	2023.12.31	38,658,462	33.00%	26,687,011	33.00%
SVIC No.64 New Technology Business Investment L.L.P.	Republic of Korea	Equity investment in the bio industry start-ups	2023.12.31	197,950	29.70%	-	-
				<u>₩ 38,856,412</u>		<u>₩ 30,774,606</u>	

¹ In September 2023, the liquidation of Archigen Biotech Limited, a joint venture of the Group and AstraZeneca, was completed and was excluded from the joint ventures.

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Changes in investments in associates and joint ventures for the years ended December 31, 2023 and 2022, are as follows:

(in thousands of Korean won)	2023					
	Beginning balance	Acquisition	Share of profit (loss)	Other changes ¹	Disposal	Ending balance
Archigen Biotech Limited ²	₩ 4,087,595	₩ -	₩ (79,977)	₩ 91,455	₩ (4,099,073)	₩ -
SVIC No.54 New Technology Business Investment L.L.P.	26,687,011	12,375,000	(403,549)	-	-	38,658,462
SVIC No.64 New Technology Business Investment L.L.P.	-	213,840	(15,890)	-	-	197,950
	<u>₩ 30,774,606</u>	<u>₩ 12,588,840</u>	<u>₩ (499,416)</u>	<u>₩ 91,455</u>	<u>₩ (4,099,073)</u>	<u>₩ 38,856,412</u>

¹ Other changes include changes in equity of investee and changes in exchange rate.

² The carrying amount of the investments was deducted according to the receipt of liquidation during the year ended December 31, 2023.

(in thousands of Korean won)	2022					
	Beginning balance	Acquisition	Share of profit (loss)	Other changes ¹	Acquisition / Disposal due to business combination	Ending balance
Archigen Biotech Limited ²	₩ 2,649,367,726	₩ -	₩ 23,933,364	₩ 1,714,785	₩ (2,675,015,875)	₩ -
SVIC No.54 New Technology Business Investment L.L.P.	-	-	4,091,213	(3,618)	-	4,087,595
SVIC No.64 New Technology Business Investment L.L.P.	11,941,760	15,510,000	(764,749)	-	-	26,687,011
	<u>₩ 2,661,309,486</u>	<u>₩ 15,510,000</u>	<u>₩ 27,259,828</u>	<u>₩ 1,711,167</u>	<u>₩ (2,675,015,875)</u>	<u>₩ 30,774,606</u>

¹ Other changes include changes in equity of investee and changes in exchange rate.

² On April 20, 2022, the Group acquired 10,341,852 shares of Samsung Bioepis Co., Ltd. and reclassified to a subsidiary from a joint venture as it held 100% of the shares. The above information is the change in the carrying amount of investments stocks before reclassifying to a subsidiary.

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³ Investments increased by amount of the expected liquidation payment.

Financial information of investees as at December 31, 2023 and 2022 and for the years ended December 31, 2023 and 2022, are summarized as follows:

(in thousands of Korean won)	2023													
	Current assets		Non-current assets		Current liabilities		Non-current liabilities		Cash and cash equivalents		Current financial liabilities		Non-current financial liabilities	
Archigen Biotech Limited	₩	-	₩	-	₩	-	₩	-	₩	-	₩	-	₩	-
SVIC No.54 New Technology Business Investment L.L.P.		59,927,291		58,171,866		952,304		-		59,775,446		948,934		-
SVIC No.64 New Technology Business Investment L.L.P.		722,446		-		55,948		-		722,446		55,948		-

(in thousands of Korean won)	2023															
	Revenue		Profit (loss) for the year		Total comprehensive loss		Depreciation		Amortization		Interest income		Interest expense		Income tax expense	
Archigen Biotech Limited	₩	-	₩	(159,955)	₩	22,957	₩	-	₩	-	₩	-	₩	-	₩	-
SVIC No.54 New Technology Business Investment L.L.P.		2,615,263		(1,222,877)		(1,222,877)		-		-		-		-		-
SVIC No.64 New Technology Business Investment L.L.P.		2,446		(53,502)		(53,502)		-		-		-		-		-

(in thousands of Korean won)	2022													
	Current assets		Non-current assets		Current liabilities		Non-current liabilities		Cash and cash equivalents		Current financial liabilities		Non-current financial liabilities	
Archigen Biotech Limited	₩	4,222,287	₩	-	₩	-	₩	-	₩	-	₩	-	₩	-
SVIC No.54 New Technology Business Investment L.L.P.		37,462,707		44,355,495		948,472		-		37,345,080		948,472		-

(in thousands of Korean won)	2022															
	Revenue		Profit (loss) for the year		Total comprehensive loss		Depreciation		Amortization		Interest income		Interest expense		Income tax expense	
Archigen Biotech Limited	₩	-	₩	(113,419)	₩	(106,183)	₩	-	₩	-	₩	-	₩	2,362	₩	-
SVIC No.54 New Technology Business Investment L.L.P.		1,518,502		(2,317,423)		(2,317,423)		-		-		-		-		-

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Reconciliation of the investees' financial information to the carrying value of the Group's interest in associates and joint ventures as at December 31, 2023 and 2022, are as follows:

(in thousands of Korean won)	2023						
	Net assets	Percentage of ownership	The Group's share of net assets	Investment difference	Unrealized intercompany transactions	Others ¹	Book amount
SVIC No.54 New Technology Business Investment L.L.P.	₩117,146,853	33.00%	₩ 38,658,462	₩ -	₩ -	₩ -	₩ 38,658,462
SVIC No.64 New Technology Business Investment L.L.P.	666,498	29.70%	197,950	-	-	-	197,950
(in thousands of Korean won)	2022						
	Net assets	Percentage of ownership	The Group's share of net assets	Investment difference	Unrealized intercompany transactions	Others ¹	Book amount
Archigen Biotech Limited	₩ 4,222,287	50.00%	₩ 2,111,144	₩ -	₩ -	₩1,976,451	₩ 4,087,595
SVIC No.54 New Technology Business Investment L.L.P.	80,869,730	33.00%	26,687,011	-	-	-	26,687,011

¹ In March 2022, the Board of Directors of the Group and AstraZeneca have agreed to the liquidation of Archigen Biotech Limited, a joint venture, and its book amount was changed according to the expected receipt of liquidation payment. Others include the difference between the Group's share of net assets and recoverable amount.

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14. Property, Plant and Equipment

Property, plant and equipment as at December 31, 2023 and 2022, consist of:

*(in thousands of
Korean won)*

	2023			
	Acquisition cost	Accumulated depreciation	Government grants	Book amount
Land	₩ 141,064,559	₩ -	₩ -	₩ 141,064,559
Buildings	1,928,956,996	(173,202,390)	-	1,755,754,606
Structures	14,910,230	(2,337,661)	(173,683)	12,398,886
Machinery	2,523,974,689	(821,898,021)	-	1,702,076,668
Vehicles	1,368,911	(1,183,675)	-	185,236
Others	124,933,176	(58,731,821)	-	66,201,355
Construction-in-progress	202,410,848	-	-	202,410,848
	<u>₩ 4,937,619,409</u>	<u>₩ (1,057,353,568)</u>	<u>₩ (173,683)</u>	<u>₩ 3,880,092,158</u>

*(in thousands of
Korean won)*

	2022			
	Acquisition cost	Accumulated depreciation	Government grants	Book amount
Land	₩ 141,064,559	₩ -	₩ -	₩ 141,064,559
Buildings	1,362,630,337	(128,856,417)	-	1,233,773,920
Structures	13,769,477	(1,995,031)	(178,146)	11,596,300
Machinery	1,810,611,186	(637,898,586)	-	1,172,712,600
Vehicles	1,371,111	(1,087,754)	-	283,357
Others	79,934,252	(48,034,917)	-	31,899,335
Construction-in-progress	825,198,766	-	-	825,198,766
	<u>₩ 4,234,579,688</u>	<u>₩ (817,872,705)</u>	<u>₩ (178,146)</u>	<u>₩ 3,416,528,837</u>

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Changes in property, plant and equipment for the years ended December 31, 2023 and 2022, are as follows:

(in thousands of Korean won)		2023						
		Beginning balance	Acquisition	Disposal and others	Depreciation	Amortization of government grants	Others	Ending balance
Land	₩	141,064,559	₩ -	₩ -	₩ -	₩ -	₩ -	₩ 141,064,559
Buildings		1,233,773,920	18,921,718	(631,403)	(44,497,247)	-	548,187,618	1,755,754,606
Structures		11,596,300	-	-	(342,630)	4,463	1,140,753	12,398,886
Machinery		1,172,712,600	1,370,274	(2,800,765)	(190,945,689)	-	721,740,248	1,702,076,668
Vehicles		283,357	-	(321)	(97,800)	-	-	185,236
Others		31,899,335	8,348,550	(338,062)	(14,687,398)	-	40,978,930	66,201,355
Construction-in-progress		825,198,766	691,381,594	(4,205,149)	-	-	(1,309,964,363)	202,410,848
	₩	3,416,528,837	₩ 720,022,136	₩ (7,975,700)	₩ (250,570,764)	₩ 4,463	₩ 2,083,186	₩ 3,880,092,158

(in thousands of Korean won)		2022						
		Beginning balance	Acquisition	Acquisition due to business combination	Disposal and others	Depreciation	Amortization of government grants	Ending balance
Land	₩	-	₩ 185,978	₩ 133,036,176	₩ -	₩ -	₩ -	₩ 141,064,559
Buildings		719,023,013	28,188,620	165,426,077	-	(26,341,185)	-	1,233,773,920
Structures		9,297,426	627,000	2,531,225	-	(312,003)	372	11,596,300
Machinery		876,565,650	38,392,621	15,106,083	(1,869,184)	(136,042,691)	-	1,172,712,600
Vehicles		162,987	548	-	-	(74,890)	-	283,357
Others		18,654,735	5,076,879	4,555,508	(3,470)	(10,242,875)	-	31,899,335
Construction-in-progress		583,359,895	986,826,031	6,380,130	(54,932)	-	-	825,198,766
	₩	2,207,063,706	₩ 1,059,297,677	₩ 327,035,199	₩ (1,927,586)	₩ (173,013,644)	₩ 372	₩ 3,416,528,837

Classification of depreciation for the years ended December 31, 2023 and 2022, are as follows:

(in thousands of Korean won)	2023	2022
Cost of revenue	₩ 226,092,581	₩ 158,981,342
Selling, general and administrative expenses	24,473,720	14,031,930
	₩ 250,566,301	₩ 173,013,272

During the year ended December 31, 2023, the Group has capitalized borrowing costs amounting to ₩ 14,705,391 thousand (2022: ₩ 18,931,698 thousand) on property, plant and equipment that are qualifying assets. The capitalization rate used to determine the amount of borrowing costs eligible for capitalization is 3.26%~3.56% (2022: 2.75%).

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15. Intangible Assets

Intangible assets as at December 31, 2023 and 2022, consist of:

*(in thousands of
Korean won)*

		2023			
	Acquisition cost	Accumulated amortization and impairment	Government grants	Book amount	
Software	₩ 88,356,258	₩ (50,733,783)	₩ -	₩ 37,622,475	
Others	16,906,130	(6,374,042)	-	10,532,088	
Memberships	12,687,699	(521,756)	-	12,165,943	
Trademarks	137,586	(22,793)	-	114,793	
Patent rights	8,983	(836)	-	8,147	
Land use rights	69,525,088	(17,613,022)	(51,912,066)	-	
Construction-in-progress	9,521,431	(360,000)	-	9,161,431	
Development cost	2,903,364,715	(329,307,800)	-	2,574,056,915	
In-process R&D	1,510,818,398	-	-	1,510,818,398	
Goodwill	1,677,607,967	-	-	1,677,607,967	
	<u>₩ 6,288,934,255</u>	<u>₩ (404,934,032)</u>	<u>₩ (51,912,066)</u>	<u>₩ 5,832,088,157</u>	

*(in thousands of
Korean won)*

		2022			
	Acquisition cost	Accumulated amortization and impairment	Government grants	Book amount	
Software	₩ 63,073,036	₩ (41,391,178)	₩ -	₩ 21,681,858	
Others	10,068,102	(3,617,213)	-	6,450,889	
Memberships	12,459,865	(521,756)	-	11,938,109	
Trademarks	73,497	(11,095)	-	62,402	
Land use rights	69,525,088	(16,222,521)	(53,302,568)	-	
Construction-in-progress	10,918,457	-	-	10,918,457	
Development cost	2,856,320,000	(114,471,745)	-	2,741,848,255	
In-process R&D	1,490,798,748	-	-	1,490,798,748	
Goodwill	1,677,607,967	-	-	1,677,607,967	
	<u>₩ 6,190,844,760</u>	<u>₩ (176,235,508)</u>	<u>₩ (53,302,568)</u>	<u>₩ 5,961,306,685</u>	

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Changes in intangible assets for the years ended December 31, 2023 and 2022, are as follows:

(in thousands of
Korean won)

(in thousands of Korean won)	2023															
	Beginning balance		Acquisition through external purchase		Acquisition through internal development		Disposal and others		Amortization of government grants		Others	Ending balance				
Software	₩	21,681,858	₩	1,159,165	₩	-	₩	(5,076)	₩	(9,337,335)	₩	-	₩	24,123,863	₩	37,622,475
Others		6,450,889		4,007,012		-		(1)		(2,756,828)		-		2,831,016		10,532,088
Memberships		11,938,109		-		-		-		-		-		227,835		12,165,943
Trademarks		62,402		-		-		-		(11,698)		-		64,089		114,793
Patent rights		-		-		-		-		(836)		-		8,983		8,147
Land use rights		-		-		-		-		(1,390,502)		1,390,502		-		-
Construction-in-progress		10,918,457		27,853,612		-		(360,000)		-		-		(29,250,639)		9,161,431
Development cost ¹		2,741,848,255		-		-		-		(214,836,054)		-		47,044,714		2,574,056,915
In-process R&D ¹		1,490,798,748		-		67,064,364		-		-		-		(47,044,714)		1,510,818,398
Goodwill ¹		1,677,607,967		-		-		-		-		-		-		1,677,607,967
	₩	5,961,306,685	₩	33,019,789	₩	67,064,364	₩	(365,077)	₩	(228,333,253)	₩	1,390,502	₩	(1,994,853)	₩	5,832,088,157

(in thousands of
Korean won)

		2022								
	Beginning balance	Acquisition through external purchase	Acquisition through internal development	Acquisition due to business combination ¹	Disposal and others	Amortization	Amortization of government grants	Others	Ending balance	
Software	₩ 17,914,467	₩ 622,474	₩ -	₩ 1,371,690	₩ (160,824)	₩ (7,685,651)	₩ -	₩ 9,619,702	₩	21,681,858
Others	1,729,234	334,700	-	4,196,607	(2)	(1,629,307)	-	1,819,657		6,450,889
Memberships	10,018,507	-	-	1,919,602	-	-	-	-		11,938,109
Trademarks	36,760	200	-	4,247	-	(8,707)	-	29,902		62,402
Land use rights	-	-	-	-	-	(1,390,502)	1,390,502	-		-
Construction-in-progress	2,472,650	18,068,650	-	374,820	(563,251)	-	-	(9,434,412)		10,918,457
Development cost ¹	-	-	-	2,856,320,000	-	(114,471,745)	-	-		2,741,848,255
In-process R&D ¹	-	-	68,658,748	1,422,140,000	-	-	-	-		1,490,798,748
Goodwill ¹	-	-	-	1,677,607,967	-	-	-	-		1,677,607,967
	₩ 32,171,618	₩ 19,026,024	₩ 68,658,748	₩ 5,963,934,933	₩ (724,077)	₩ (125,185,912)	₩ 1,390,502	₩ 2,034,849		₩5,961,306,685

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Classification of amortization for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023	2022
Cost of revenue	₩ 216,955,765	₩ 116,090,198
Selling, general and administrative expenses	9,986,986	7,705,212
	<u>₩ 226,942,751</u>	<u>₩ 123,795,410</u>

Total research and development costs recognized as expense for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023		2022	
	Cost of revenue	Selling, general and administrative expenses	Cost of revenue	Selling, general and administrative expenses
Ordinary research expense	₩ -	₩ 81,587,988	₩ -	₩ 45,883,747

During the year ended December 31, 2023, the Group has capitalized borrowing costs amounting to ₩ 15,017,151 thousand (2022: ₩ 6,559,744 thousand) on intangible assets that are qualifying assets. The capitalization rate used to determine the amount of borrowing costs eligible for capitalization is 4.87% (2022: 3.45%).

Details of significant individual intangible assets as at December 31, 2023, are as follows:

(a) Project overview and sales approval time

Name of Project	Referencing Biologic	INN	Purpose	Approval date ¹
SB2	Remicade®	Infliximab	Treatments for Rheumatoid Arthritis and others	December, 2015
SB3	Herceptin®	Trastuzumab	Treatments for Breast Cancer	November, 2017
SB4	Enbrel®	Etanercept	Treatments for Rheumatoid Arthritis and others	September, 2015
SB5	Humira®	Adalimumab	Treatments for Rheumatoid Arthritis	August, 2017
SB8	Avastin®	Bevacizumab	Treatments for Colorectal Cancer	August, 2020
SB11	Lucentis®	Ranibizumab	Treatments for Ophthalmologic disease	August, 2021
SB12	Soliris®	Eculizumab	Treatments for Paroxysmal Nocturnal Hemoglobinuria, etc.	May, 2023
SB15	Eylia®	Aflibercept	Treatments for Macular Degeneration	-
SB16	Prolia®	Denosumab	Treatments for Osteoporosis	-
SB17	Stelara®	Ustekinumab	Treatments for Psoriasis	-

¹ The initial sales approval date among the approval date of each country's regulatory authorities

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(b) *Products under development and completed development and remaining useful life*

(in thousands of
Korean won)

in thousands of Korean won)

Stage	Development cost							
	Pre-clinical	1st/3rd trial ¹	After government approval	Total	Accumulated impairment loss	Accumulated amortization	Book amount	
Biosimilar								
Developing	₩ -	₩1,510,818,398	₩ -	₩1,510,818,398	₩ -	₩ -	₩1,510,818,398	
Completed development ²	-	2,903,364,715	-	2,903,364,715	-	329,307,800	2,574,056,915	
	₩ -	₩4,414,183,113	₩ -	₩4,414,183,113	₩ -	₩329,307,800	₩4,084,875,313	

¹ Due to the nature of biosimilars, phase 2 clinical trials are not proceeding. Since the Group is conducting phase 1 and 3 clinical trials simultaneously, the development cost is aggregated.

² The remaining useful life of developed biosimilars ranges from 5 years 3 months to 11 years 4 months.

The operating segments of the Group consist of the CDMO (Contract Development and Manufacturing Organization) segment, and the biopharmaceutical development and commercialization segment. Management reviews the business performance based on type of business. Goodwill is monitored by management at the operating segment level.

The table below summarizes goodwill allocation for each operating segment (cash-generating unit).

(in thousands of Korean won)

	2023		2022	
	Carrying amount of cash-generating unit	Goodwill	Carrying amount of cash-generating unit	Goodwill
Biopharmaceutical development and commercialization ¹	₩ 5,902,967,808	₩ 1,677,607,967	₩ 6,078,020,466	₩ 1,677,607,967

¹ On April 20, 2022, the Group acquired 10,341,852 shares of Samsung Bioepis Co., Ltd. and therefore reclassified Samsung Bioepis Co., Ltd. from a joint venture to a subsidiary by holding 100% of the shares. The amount of goodwill includes deferred tax effect of ₩ 987,923,843 thousand on the adjusted fair value of identifiable tangible and intangible assets.

The carrying amount of ₩ 5,762,483,280 thousand (2022: ₩ 5,910,254,970 thousand) as at December 31, 2023 including development costs, in-process R&D and goodwill are related to biosimilars being developed by the Group.

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Impairment tests for intangible assets

The Group annually performs impairment tests on the intangible assets with indefinite useful life such as goodwill and others.

The recoverable amount of in-process R&D is calculated based on fair value which disposal costs deducted for each individual asset, and for goodwill, the recoverable amount of the cash-generating units (group) in the biopharmaceutical development and commercialization segment is calculated based on fair value which disposal costs deducted. These calculations use pre-tax cash flow projections based on financial budgets covering a ten-year period considering the biopharmaceutical development and commercialization period. The key assumptions used to calculate the recoverable amount of major cash-generating units as of December 31, 2023 are perpetual growth rate of 3%, and a discount rate of 13% for in-process R&D and 11% for goodwill, respectively.

As a result of impairment test of intangible assets related to in-process R&D, there is no impairment loss recognized for the year ended December 31, 2023 as the carrying amount does not exceed the recoverable amount.

On the other hand, the recoverable amount of the Group's cash-generating unit changes according to the assumptions about the Group's major assumptions used in the impairment test of goodwill. The effect of changes in assumptions on the excess of recoverable amount against carrying amount of cash-generating units is as follows:

(in billions of Korean won)	Discount rate		Perpetual growth rate	
	Increase 0.5%	Decrease 0.5%	Increase 0.5%	Decrease 0.5%
Changes in excess of recoverable value relative to the carrying amount of cash-generating unit	₩ (633,523,102)	₩ 719,392,489	₩ 386,981,425	₩ (341,454,198)

In the sensitivity analysis, 0.5% changes in the major assumptions have no effect of impairment.

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16. Debenture and Borrowings

Debentures and borrowings as at December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023		2022	
	Current	Non-current	Current	Non-current
Debentures	₩ 379,723,014	₩ 119,782,550	₩ 39,978,721	₩ 499,052,332
Short-term borrowings	654,500,000	-	582,783,298	-
Long-term borrowings	353,682,000	120,000,000	516,038,000	466,038,000
	<u>₩ 1,387,905,014</u>	<u>₩ 239,782,550</u>	<u>₩ 1,138,800,019</u>	<u>₩ 965,090,332</u>

Details of debentures as at December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	Issuance date	Maturity date	Interest rate (%)	2023	2022
The 6-2nd private placement debenture(non-guaranteed)	2018-04-27	2023-04-27	-	₩ -	₩ 40,000,000
The 7-1st public offering of debenture(non-guaranteed)	2021-09-03	2024-09-03	1.89	380,000,000	380,000,000
The 7-2nd public offering of debenture(non-guaranteed)	2021-09-03	2026-09-03	2.19	120,000,000	120,000,000
Discount on debentures				<u>(494,436)</u>	<u>(968,947)</u>
				499,505,564	539,031,053
Current portion				<u>(379,723,014)</u>	<u>(39,978,721)</u>
				<u>₩ 119,782,550</u>	<u>₩ 499,052,332</u>

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Details of short-term borrowings as at December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	Interest rate (%)	2023	2022
Short-term borrowings in Korean won			
Kookmin Bank and 6 others	4.80~5.42	₩ 654,500,000	₩ 542,000,000
Short-term borrowings in foreign currency			
Sumitomo Mitsui Bank	-	-	40,783,298
		<u>₩ 654,500,000</u>	<u>₩ 582,783,298</u>

Details of long-term borrowings as at December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	Interest rate (%)	2023	2022
Long-term borrowings in Korean won			
Hana Bank and 5 others	1.55~5.74	₩ 435,000,000	₩ 830,000,000
Current portion		<u>(315,000,000)</u>	<u>(440,000,000)</u>
		<u>120,000,000</u>	<u>390,000,000</u>
Long-term borrowings in foreign currency			
Woori Bank	6.53	38,682,000	152,076,000
Current portion		<u>(38,682,000)</u>	<u>(76,038,000)</u>
		<u>-</u>	<u>76,038,000</u>
		<u>₩ 120,000,000</u>	<u>₩ 466,038,000</u>

The repayment schedule of debentures and borrowings as at December 31, 2023, are as follows:

<i>(in thousands of Korean won)</i>	Debentures	Short-term borrowings	Long-term borrowings	Total
2024.01.01 ~ 2024.12.31	₩ 380,000,000	₩ 654,500,000	₩ 353,682,000	₩ 1,388,182,000
2025.01.01 ~ 2025.12.31	-	-	120,000,000	120,000,000
2026.01.01 ~ 2026.12.31	<u>120,000,000</u>	<u>-</u>	<u>-</u>	<u>120,000,000</u>
	<u>₩ 500,000,000</u>	<u>₩ 654,500,000</u>	<u>₩ 473,682,000</u>	<u>₩ 1,628,182,000</u>

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17. Trade and Other Payables

Details of trade and other payables as at December 31, 2023 and 2022, are as follows:

(in thousands of Korean won)	2023		2022	
	Current	Non-current	Current	Non-current
Trade payables	₩ 208,277,666	₩ -	₩ 59,616,055	₩ -
Other payables	719,283,066	-	1,494,546,686	531,505,495
Accrued expenses	281,316,795	25,833,805	207,437,329	19,861,374
Total ¹	₩ 1,208,877,527	₩ 25,833,805	₩ 1,761,600,070	₩ 551,366,869

¹ Trade and other payables to related parties as at December 31, 2023 and 2022, are ₩ 51,900,053 thousand and ₩ 176,121,712 thousand, respectively (Note 31).

18. Emission Liability

(a) Emissions rights

The Group has been participating in Emission Trading Scheme in accordance with the Act on Allocation and Trading of Greenhouse Gas Emission since 2017. The quantity of emission rights for the 3rd planning periods (2021 ~ 2025) granted free of charge is as follows:

(in tCO2-eq)	2021	2022 ¹	2023	2024	2025	Total
Allocation with nil consideration	123,815	157,435	122,393	121,247	121,247	646,137

¹ In 2022, the Group allocated additional 35,042 units of emission rights of 2022 for the Plant 4 site.

There are no emission rights provided as collateral as at December 31, 2023.

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Changes in emission permits quantities and the carrying amounts for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won and in tCO2-eq)</i>	2023					
	2022		2023		2024~2025	
	Quantity	Amount	Quantity	Amount	Quantity	Amount
At January 1/Allocation with nil consideration	157,435	₩ -	122,393	₩ -	242,494	₩ -
Purchase/Disposal	6,558	83,165	-	-	-	-
Borrowing/Carrying forward	-	-	-	-	-	-
Surrendered to the government	(163,993)	(83,165)	-	-	-	-
At December 31 ¹	-	₩ -	122,393	₩ -	242,494	₩ -

¹ The quantities of emission permits of emission permits at the end of 2023 will be submitted to the government after certification in 2023.

<i>(in thousands of Korean won and in tCO2-eq)</i>	2022					
	2021		2022		2023~2025	
	Quantity	Amount	Quantity	Amount	Quantity	Amount
At January 1/Allocation with nil consideration	123,815	₩ -	122,393	₩ -	364,887	₩ -
Purchase/Disposal	7,052	126,231	-	-	-	-
Borrowing/Carrying forward	-	-	-	-	-	-
Surrendered to the government	(130,867)	(126,231)	-	-	-	-
At December 31 ¹	-	₩ -	122,393	₩ -	364,887	₩ -

(b) Emission liability

Changes in emission liability for the years ended December 31, 2023 and 2022, are as follows:

(in thousands of Korean won)	2023						
	Beginning balance		Increase		Decrease		Ending balance
Emission liability	₩	538,848	₩	863,719	₩	(538,848)	₩ 863,719

(in thousands of Korean won)	2022						
	Beginning balance		Increase		Decrease		Ending balance
Emission liability	₩	725,693	₩	538,848	₩	(725,693)	₩ 538,848

The Group estimated that it emitted 253,149 tons of carbon dioxide during the year ended December 31, 2023.

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19. Leases

The amounts relating to leases recognized as at December 31, 2023 and 2022 on the consolidated statement of financial position, are as follows:

<i>(in thousands of Korean won)</i>	2023	2022
Right-of-use assets¹		
Land	₩ 439,712,797	₩ 431,374,528
Buildings	21,859,981	22,739,752
Machinery	21,291	93,673
Vehicles	737,392	715,543
	<u>₩ 462,331,461</u>	<u>₩ 454,923,496</u>
Lease liabilities		
Current	₩ 144,030,779	₩ 142,247,058
Non-current	137,614,234	267,895,530
	<u>₩ 281,645,013</u>	<u>₩ 410,142,588</u>

¹ Additions to the right-of-use assets during the years ended December 31, 2023 and 2022, were ₩ 19,710,261 thousand and ₩ 444,350,769 thousand, respectively. Additions to the right-of-use assets by the business combination during the year ended December 31, 2022 was ₩ 1,279,034 thousand.

The amounts relating to leases recognized for the years ended December 31, 2023 and 2022, on the consolidated statement of comprehensive income, are as follows:

<i>(in thousands of Korean won)</i>	2023	2022
Statement of comprehensive income:		
Depreciation of right-of-use assets	₩ 12,272,941	₩ 11,455,639
Land	653,010	2,672,657
Buildings	9,687,481	7,608,326
Machinery	78,934	111,096
Vehicle	1,853,516	1,063,560
Interest expenses	7,916,972	2,695,391
Expense relating to short-term leases	32,885	5,170
Expense relating to variable lease payments not included in lease liabilities	5,506,546	5,806,778
Expense relating to leases of low-value assets	1,336,729	1,152,137
	<u>₩ 27,066,073</u>	<u>₩ 21,115,115</u>

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Classification of depreciation of right-of-use assets for the years ended December 31, 2023 and 2022, is as follows:

<i>(in thousands of Korean won)</i>	2023		2022	
Cost of revenue	₩	7,803,246	₩	6,488,551
Selling, general and administrative expenses		4,469,695		4,967,088
	₩	<u>12,272,941</u>	₩	<u>11,455,639</u>

The total cash outflow from leases in relation to lease liabilities, low-value assets and variable lease payments during the years ended December 31, 2023 and 2022, was ₩ 165,573,351 thousand and ₩ 64,368,741 thousand, respectively.

20. Other Liabilities

Details of other liabilities as at December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023		2022	
	Current	Non-current	Current	Non-current
Advance receipts	₩ 685,630,534	₩ 66,789,592	₩ 404,338,805	₩ 76,371,351
Withholdings	10,397,675	-	9,507,429	-
Unearned revenue	399,818,055	-	432,680,477	-
Non-controlling interests- liabilities	-	200,067	-	-
	<u>₩ 1,095,846,264</u>	<u>₩ 66,989,659</u>	<u>₩ 846,526,711</u>	<u>₩ 76,371,351</u>

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21. Employee Benefit

Recognized assets and liabilities for employee benefits as at December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>		2023		2022	
Net defined benefit liabilities (assets)	Present value of defined benefit obligations	₩	186,056,817	₩	146,731,850
	Fair value of plan assets		<u>(201,527,360)</u>		<u>(176,378,081)</u>
			<u>(15,470,543)</u>		<u>(29,646,231)</u>
Trade and other payables	Accrued expenses and others ¹		165,041,735		136,832,333
	Long-term accrued expenses ¹		<u>22,868,216</u>		<u>18,317,379</u>
			<u>187,909,951</u>		<u>155,149,712</u>
		₩	<u>172,439,408</u>	₩	<u>125,503,481</u>

¹ The amounts include the accrued compensation for annual leaves, performance bonuses, and others payable to employees.

Changes in net defined benefit liabilities (asset) for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	Defined benefit obligations		Plan assets		Net defined benefit liabilities (asset)	
	2023	2022	2023	2022	2023	2022
Beginning balance	₩ 146,731,850	₩ 98,068,727	₩ (176,378,081)	₩ (101,641,107)	₩ (29,646,231)	₩ (3,572,380)
Additions due to business combination	-	37,943,275	-	(32,589,681)	-	5,353,594
Included in profit or loss:						
- Current service cost	32,376,770	29,801,902	-	-	32,376,770	29,801,902
- Interest expense (income)	<u>8,104,788</u>	<u>4,530,564</u>	<u>(9,918,078)</u>	<u>(4,531,098)</u>	<u>(1,813,290)</u>	<u>(534)</u>
	<u>40,481,558</u>	<u>34,332,466</u>	<u>(9,918,078)</u>	<u>(4,531,098)</u>	<u>30,563,480</u>	<u>29,801,368</u>
Included in other comprehensive income or loss:						
- Remeasurement loss (gain)						
Actuarial loss (gain) arising from						
Demographic assumptions	8,732,454	(9,348,243)	-	-	8,732,454	(9,348,243)
Financial assumptions	1,713,803	122,138	-	-	1,713,803	122,138
	6,913,232	(23,173,927)	-	-	6,913,232	(23,173,927)

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<i>(in thousands of Korean won)</i>	Defined benefit obligations		Plan assets		Net defined benefit liabilities (asset)	
	2023	2022	2023	2022	2023	2022
Experience adjustment	105,419	13,703,546	-	-	105,419	13,703,546
- Loss on plan assets excluding interest income	-	-	2,333,684	2,541,310	2,333,684	2,541,310
	<u>8,732,454</u>	<u>(9,348,243)</u>	<u>2,333,684</u>	<u>2,541,310</u>	<u>11,066,138</u>	<u>(6,806,933)</u>
Others:						
- Contributions to plan assets	-	-	(25,328,825)	(52,223,887)	(25,328,825)	(52,223,887)
- Benefit payments	(10,317,308)	(14,445,382)	8,270,308	11,891,873	(2,047,000)	(2,553,509)
- Transfer from affiliated companies	1,009,666	576,889	(1,087,770)	(221,373)	(78,104)	355,516
- Other payments	(581,402)	(395,882)	581,402	395,882	-	-
	<u>(9,889,044)</u>	<u>(14,264,375)</u>	<u>(17,564,885)</u>	<u>(40,157,505)</u>	<u>(27,453,929)</u>	<u>(54,421,880)</u>
Ending balance	<u>₩ 186,056,818</u>	<u>₩ 146,731,850</u>	<u>₩ (201,527,360)</u>	<u>₩ (176,378,081)</u>	<u>₩ (15,470,542)</u>	<u>₩ (29,646,231)</u>

Details of plan assets as at December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023	2022
Cash and cash equivalents	₩ 201,524,553	₩ 176,375,273
Others (national pension fund payment)	2,807	2,808
	<u>₩ 201,527,360</u>	<u>₩ 176,378,081</u>

The allocations of total expenses related to defined benefit obligation for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023	2022
Cost of Revenue	₩ 18,840,256	₩ 19,232,927
Selling, general and administrative expenses	10,964,853	9,094,176
Construction-in-progress	758,371	1,474,265
	<u>₩ 30,563,480</u>	<u>₩ 29,801,368</u>

The expense recognized for the year ended December 31, 2023 in relation to defined contribution plan was ₩ 53 million (2022: ₩ 27 million).

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The significant actuarial assumptions as at December 31, 2023 and 2022, are as follows:

<i>(in percentage, %)</i>	2023	2022
Discount rate	4.17 ~ 5.40 %	5.15 ~ 6.28 %
Future salary increases	4.53 ~ 5.28 %	5.00 ~ 5.26 %

As at December 31, 2023 and 2022, the weighted average duration of the defined benefit obligation is 7.18 years and 6.91 years, respectively.

As at December 31, 2023, effects on the present value of defined benefit obligations if each of significant actuarial assumptions changes within potential reasonable range are as follows (if changed by 1%):

<i>(in thousands of Korean won)</i>	Salary increases		Discount rate	
	1% Up	1% Down	1% Up	1% Down
Present value of defined benefit obligations	₩ 10,912,623	₩ (9,686,361)	₩ (9,264,252)	₩ 10,588,882

As at December 31, 2023, estimate of the employer contribution expected to be paid in the following year in relation to the defined benefit plan is ₩ 35,864 million.

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22. Issued Capital and Reserves

Details of issued capital as at December 31, 2023 and 2022, are summarized as follows:

<i>(in Korean won, in shares)</i>	2023	2022
Number of shares authorized	500,000,000	500,000,000
Par value	₩ 2,500	₩ 2,500
Number of shares issued	71,174,000	71,174,000
Issued capital	₩ 177,935,000,000	₩ 177,935,000,000

Change in the number of shares issued and outstanding shares for the years ended December 31, 2023 and the year ended December 31, 2022, are as follows:

<i>(in shares)</i>	2023		2022	
	Number of shares issued	Number of outstanding shares	Number of shares issued	Number of outstanding shares
Beginning balance	71,174,000	71,174,000	66,165,000	66,165,000
Capital increase	-	-	5,009,000	5,009,000
Ending balance	<u>71,174,000</u>	<u>71,174,000</u>	<u>71,174,000</u>	<u>71,174,000</u>

Details of share premium as at December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023	2022
Additional paid-in capital	₩ 6,523,003,969	₩ 6,523,003,969
Other share premium	(859,892,617)	(859,892,617)
	<u>₩ 5,663,111,352</u>	<u>₩ 5,663,111,352</u>

Details of accumulated other comprehensive income (loss) as at December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023	2022
Remeasurements of net defined benefit liabilities	₩ (14,993,094)	₩ (7,853,179)
Foreign currency translation	1,146,420	687,984
Share of other comprehensive income of associates and joint ventures	-	4,991,802
	<u>₩ (13,846,674)</u>	<u>₩ (2,173,393)</u>

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23. Revenue and Cost of Revenue

Details of revenue and cost of revenue for the years ended December 31, 2023 and 2022, are as follows:

(in thousands of Korean won)

	2023		2022	
Revenue:				
Product sales	₩	3,402,983,294	₩	2,788,706,883
Other sales		291,605,473		212,588,315
	₩	<u>3,694,588,767</u>	₩	<u>3,001,295,198</u>
Cost of revenue:				
Cost of product sales	₩	1,428,277,731	₩	1,214,581,689
Cost of other sales ¹		463,546,475		318,265,476
	₩	<u>1,891,824,206</u>	₩	<u>1,532,847,165</u>

¹ Cost of other sales includes loss on abnormal capacity and (reversal of) loss on valuation of inventories.

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24. Selling, General and Administrative Expenses

Details of selling, general and administrative expenses for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023	2022²
Salaries	₩ 120,118,394	₩ 80,002,726
Bonuses	60,544,191	51,464,661
Retirement benefits	10,697,648	8,945,538
Employee welfare	40,526,066	30,552,746
Depreciation	21,993,321	13,247,218
Amortization of intangible assets	9,977,317	7,700,472
Repairs and maintenance	8,255,387	7,678,623
Supplies expenses	5,686,094	5,497,695
Utility expenses	3,726,780	1,939,548
Service fees	155,895,552	86,588,557
Training expenses	13,244,542	13,975,812
Electronic processing expenses	22,814,274	15,131,068
Taxes and dues	10,339,182	7,448,007
Insurance premium	9,867,897	8,267,877
Advertising expenses	11,915,979	8,828,893
Bad debt expenses	21,510,607	22,406,813
Outsourcing cost	2,521,038	1,297,994
Marketing expenses ¹	43,657,944	41,744,852
Research and development expenses	81,587,988	45,883,747
Others	34,204,351	26,217,791
	<u>₩ 689,084,552</u>	<u>₩ 484,820,638</u>

¹ It is the expense the Group incurred or will incur among the marketing expenses paid by the collaborating parties under the development and commercialization agreement.

² It is financial information after the inclusion of Samsung Bioepis as a consolidated subsidiary on April 20, 2022.

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25. Expenses by Nature

Details of expenses classified by nature for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023	2022¹
Changes in work-in-process and finished goods	₩ (194,634,361)	₩ (41,763,456)
Changes in costs to fulfill a contract	(65,349,356)	6,863,208
Raw materials and supplies used	792,026,836	553,425,203
Employee benefits	693,650,329	557,251,055
Depreciation and amortization	477,509,053	296,808,682
Supplies expenses	112,302,561	108,152,002
Utility expenses	80,746,551	52,441,943
Marketing expenses	43,657,944	41,744,852
Service fees	319,142,082	191,172,188
Others	321,857,118	251,572,126
Total cost of sales, and selling, general and administrative expenses	₩ 2,580,908,757	₩ 2,017,667,803

¹ It is financial information after the inclusion of Samsung Bioepis as a consolidated subsidiary on April 20, 2022.

26. Other Income and Expenses

Details of other income for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023	2022
Rental revenues	₩ 348,866	₩ 195,475
Fees revenues	956	7,015
Gain on disposal of property, plant and equipment	101,411	48,498
Gain on disposal of investments	5,154,232	64,417,937
Gain on lease cancellation	4,660	688,046
Miscellaneous gains	7,487,883	336,468
	₩ 13,098,008	₩ 65,693,439

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Details of other expenses for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023		2022	
Donations	₩	2,982,295	₩	2,516,592
Loss on disposal of property, plant and equipment		837,440		383,896
Loss on disposal of intangible assets		-		2
Loss on retirement of property, plant and equipment		2,764,395		1,528,178
Loss on retirement of intangible assets		365,077		724,076
Miscellaneous losses		1,292,621		1,594,990
	₩	<u>8,241,828</u>	₩	<u>6,747,734</u>

27. Finance Income and Costs

Details of finance income for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023		2022	
Interest income	₩	95,650,057	₩	53,292,640
Gain on valuation of financial assets at fair value through profit or loss		-		476,889
Gain on disposal of financial assets at fair value through profit or loss		-		7,757,719
Gain on disposal of derivatives		6,822,000		-
Gain on valuation of derivatives		1,962,775		7,697,777
Gain on foreign currency translations		16,479,906		7,686,931
Gain on foreign currency transactions		130,984,156		135,547,943
	₩	<u>251,898,894</u>	₩	<u>212,459,899</u>

Details of finance costs for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023		2022	
Interest expenses	₩	81,596,401	₩	64,064,346
Loss on valuation of derivatives		1,909,712		2,126,352
Loss on transactions of derivatives		7,790,579		339,354
Loss on foreign currency translations		21,195,819		102,601,677
Loss on foreign currency transactions		137,453,901		104,136,523
Loss on valuation of financial assets at fair value through profit or loss		2,323		-
	₩	<u>249,948,735</u>	₩	<u>273,268,252</u>

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28. Income Tax Expense

Income tax expense for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023	2022
Current income tax expense:		
Current income tax	₩ 284,909,761	₩ 292,950,438
Adjustments	1,797,955	2,429,332
Deferred tax expense:		
Temporary differences	(29,795,448)	(60,741,107)
Changes of temporary differences in the scope of consolidation	-	(22,519,073)
Income taxes recognized directly in equity	5,383,365	(1,151,226)
Income tax expense	₩ 262,295,633	₩ 210,968,364

The relationship between tax expense and accounting profit for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023	2022
Profit before income tax	₩ 1,119,986,931	₩ 1,009,024,574
Income taxes at statutory tax rate	285,628,140	267,119,758
Adjustments:		
Non-deductible expense	1,611,972	1,144,394
Tax credit	(72,876,275)	(68,276,089)
Effect of change in average tax rate	2,073,316	(34,050,933)
Temporary differences due to changes in net assets of investments in subsidiaries	46,601,521	41,124,709
Others	(743,041)	3,906,525
Income tax expense	₩ 262,295,633	₩ 210,968,364
Average effective tax rate	23.42%	20.91%

Income taxes recognized directly in other comprehensive income (loss) for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023			2022		
	Before tax	Tax expense	After tax	Before tax	Tax expense	After tax
Net defined benefit plan remeasurements	₩ (11,066,138)	₩ 3,926,223	₩ (7,139,915)	₩ 5,741,525	₩ (650,924)	₩ 5,090,601
Equity adjustments arising from investments in associates and joint ventures	(6,527,194)	1,535,392	(4,991,802)	1,307,273	(492,794)	814,479
Changes in net assets of subsidiaries	536,686	(78,250)	458,436	693,808	38,357	732,165
	₩ (17,056,646)	₩ 5,383,365	₩ (11,673,281)	₩ 7,742,606	₩ (1,105,361)	₩ 6,637,245

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Changes in deferred tax assets (liabilities) as at December 31, 2023 and 2022, are as follows:

	2023									
						December 31, 2023				
	January 1, 2023	Profit or loss	Other comprehensive income	Adjustments for exchange rate differences	Adjustment	Net	Deferred tax assets	Deferred tax liabilities		
Accrued expenses	₩ 19,856,641	₩ 2,592,958	₩ -	₩ 3,204	₩ -	₩ 22,452,803	₩ 22,452,803	₩ -		
Net defined benefit obligations	(7,598,697)	803,950	3,926,223	-	-	(2,868,524)	-	(2,868,524)		
Loss (gain) on foreign currency translations	23,712,220	(18,303,050)	-	-	-	5,409,170	5,409,170	-		
Provision for loss on valuation of finished goods	371,408	1,132,786	-	-	-	1,504,194	1,504,194	-		
Provision for loss on valuation of work-in-progress	4,648,661	(2,284,043)	-	-	-	2,364,618	2,364,618	-		
Provision for retirement of inventories	133,408,124	(18,484,825)	-	-	-	114,923,299	114,923,299	-		
Bad debt expenses	5,527,331	5,098,453	-	-	-	10,625,784	10,625,784	-		
Depreciation	(5,179,758)	(2,348,807)	-	(20,129)	-	(7,548,694)	-	(7,548,694)		
Provision for performance bonus	24,535,573	5,494,655	-	-	-	30,030,228	30,030,228	-		
Gain from assets contributed	740,176	2,880	-	-	-	743,056	743,056	-		
Accrued income	(4,244,457)	282,081	-	-	-	(3,962,376)	-	(3,962,376)		
Emission liability	138,484	84,356	-	-	-	222,840	222,840	-		
Contract assets	(78,215,277)	(11,575,099)	-	-	-	(89,790,376)	-	(89,790,376)		
Contract liabilities	74,448,284	16,851,143	-	-	-	91,299,427	91,299,427	-		
Lease liabilities / Right-of-use assets	(10,913,523)	11,307,879	-	(443)	-	393,913	393,913	-		
Intangible assets	(909,076,041)	5,565,130	-	9,062	46,751,094	(856,750,755)	-	(856,750,755)		
Gains on valuation of derivative assets	(3,022,852)	1,858,587	-	-	-	(1,164,265)	-	(1,164,265)		
Derivatives valuation options	563,346	494,897	-	-	-	1,058,243	1,058,243	-		
Donations	7,145	(7,145)	-	-	-	-	-	-		
Property, plant and equipment	(26,026,131)	(350,409)	-	-	5,288	(26,371,252)	-	(26,371,252)		
Unearned revenues	36,839,376	12,304,678	-	-	-	49,144,054	49,144,054	-		
Advance payments	(11,530,633)	247,988	-	-	-	(11,282,645)	-	(11,282,645)		
Investments in associates and joint ventures	(535,765,911)	(38,703,118)	1,535,392	-	-	(572,933,637)	-	(572,933,637)		
Tax loss carryforward	369,147	61,423	-	5,651	-	436,221	436,221	-		
Tax credit carryforward	81,466,597	25,069,938	-	-	-	106,536,535	106,536,535	-		
Other	(29,274,888)	-	(78,250)	-	(19,538,930)	(48,892,068)	-	(48,892,068)		
	₩ (1,214,215,655)	₩ (2,802,714)	₩ 5,383,365	₩ (2,655)	₩ 27,217,452	₩ (1,184,420,207)	₩ 437,144,385	₩ (1,621,564,592)		

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	2022									
	December 31, 2022									
	January 1, 2023	Profit or loss	Other comprehen- -sive income	Changes in the scope of consolidation	Adjust- ments for exchange rate differences	Adjustment	Business combination	Net	Deferred tax assets	Deferred tax liabilities
Accrued expenses	₩ 10,871,708	₩ 2,408,171	₩ -	₩ 6,562,762	₩ 14,000	₩ -	₩ -	₩ 19,856,641	₩ 19,856,641	₩ -
Net defined benefit obligations	(932,391)	(7,148,856)	(1,039,105)	1,521,655	-	-	-	(7,598,697)	-	(7,598,697)
Loss (gain) on foreign currency translations	(226,484)	23,938,704	-	-	-	-	-	23,712,220	23,712,220	-
Provision for loss on valuation of finished goods	53,410	317,998	-	-	-	-	-	371,408	371,408	-
Provision for loss on valuation of work-in-progress	479,917	4,168,744	-	-	-	-	-	4,648,661	4,648,661	-
Provision for retirement of inventories	1,582,689	34,396,460	-	97,428,975	-	-	-	133,408,124	133,408,124	-
Bad debt expenses	290,231	5,237,100	-	-	-	-	-	5,527,331	5,527,331	-
Depreciation	(2,675,842)	(2,441,138)	-	-	(62,778)	-	-	(5,179,758)	-	(5,179,758)
Provision for performance bonus	10,380,423	14,155,150	-	-	-	-	-	24,535,573	24,535,573	-
Gain from assets contributed	751,696	(11,520)	-	-	-	-	-	740,176	740,176	-
Accrued income	(291,840)	(3,952,380)	-	(237)	-	-	-	(4,244,457)	-	(4,244,457)
Emission liability	189,405	(50,921)	-	-	-	-	-	138,484	138,484	-
Contract assets	(66,096,147)	(12,119,130)	-	-	-	-	-	(78,215,277)	-	(78,215,277)
Contract liabilities	74,547,297	(99,013)	-	-	-	-	-	74,448,284	74,448,284	-
Lease liabilities / Right-of-use assets	(569,996)	(10,615,256)	-	274,803	(3,074)	-	-	(10,913,523)	-	(10,913,523)
Intangible assets	96,663	434,467	-	(632,800)	(5,567)	51,485,401	(960,454,205)	(909,076,041)	-	(909,076,041)
Gains on valuation of derivative assets	(1,068,004)	(1,954,848)	-	-	-	-	-	(3,022,852)	-	(3,022,852)
Derivatives valuation options	-	563,346	-	-	-	-	-	563,346	563,346	-
Donations	-	7,145	-	-	-	-	-	7,145	7,145	-
Property, plant and equipment	-	585,634	-	122,776	-	735,097	(27,469,638)	(26,026,131)	-	(26,026,131)
Unearned revenues	-	(955,064)	-	37,794,440	-	-	-	36,839,376	36,839,376	-
Advance payments	-	2,595,013	-	(14,125,646)	-	-	-	(11,530,633)	-	(11,530,633)
Investments in associates and joint ventures	(519,730,169)	(15,497,083)	(538,659)	-	-	-	-	(535,765,911)	-	(535,765,911)
Tax loss carryforward	619,470	(298,582)	-	-	48,259	-	-	369,147	369,147	-
Tax credit carryforward	4,016,321	28,145,058	-	49,305,218	-	-	-	81,466,597	81,466,597	-
Other	-	83,134	426,538	(83,136)	-	(29,701,424)	-	(29,274,888)	-	(29,274,888)
	<u>₩(487,711,643)</u>	<u>₩61,892,333</u>	<u>₩(1,151,226)</u>	<u>₩ 178,168,810</u>	<u>₩ (9,160)</u>	<u>₩22,519,074</u>	<u>₩(987,923,843)</u>	<u>₩(1,214,215,655)</u>	<u>₩406,632,513</u>	<u>₩(1,620,848,168)</u>

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The analysis of deferred tax assets and liabilities as at December 31, 2023 and 2022, is as follows:

<i>(in thousands of Korean won)</i>	2023	2022
Deferred tax assets		
Deferred tax asset to be recovered after more than 12 months	₩ 178,466,484	₩ 141,086,910
Deferred tax asset to be recovered within 12 months	258,677,901	265,545,603
	<u>437,144,385</u>	<u>406,632,513</u>
Deferred tax liabilities		
Deferred tax liability to be recovered after more than 12 months	(1,593,327,830)	(1,577,423,543)
Deferred tax liability to be recovered within 12 months	(28,236,762)	(43,424,625)
	<u>(1,621,564,592)</u>	<u>(1,620,848,168)</u>
Deferred tax assets(liabilities), net	<u>₩ (1,184,420,207)</u>	<u>₩ (1,214,215,655)</u>

Impact of Pillar Two Income Taxes

Under the Pillar Two legislation, the Group is liable to pay a top-up tax for the difference between their GloBE effective tax rate per jurisdiction and the 15% minimum rate.

The Group is in the process of assessing its exposure to the Pillar Two legislation for when it comes into effect. Although the average effective tax rate is below 15%, the Group might not be exposed to paying Pillar Two income taxes. In addition, even for the Company with an accounting effective tax rate above 15%, there may still be Pillar Two tax implications.

Due to the complexities in applying the legislation, the impact of the legislation is not yet reasonably estimable. The Group is currently engaged with tax specialists to assist them with applying the legislation.

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29. Earnings per Share

Basic earnings per share for the years ended December 31, 2023 and 2022, is calculated as follows:

<i>(in Korean won, in share)</i>	2023	2022
Profit for the year	₩ 857,691,298,384	₩ 798,056,210,082
Weighted-average number of ordinary shares outstanding ¹	<u>71,174,000</u>	<u>69,746,778</u>
Basic earnings per share	<u>₩ 12,051</u>	<u>₩ 11,442</u>

¹ On April 15, 2022, the Group issued additional 5,009,000 shares.

(b) Weighted-average number of ordinary shares outstanding

Details of change in the weighted-average number of ordinary shares outstanding for years ended December 31, 2023 and 2022, is as follows:

<i>(in share)</i>	2023	2022
Beginning number of ordinary shares issued	71,174,000	66,165,000
Paid-in capital increase	-	3,581,778
Weighted-average number of ordinary shares outstanding	71,174,000	69,746,778

(c) Diluted earnings per share

Diluted earnings per share is calculated by adjusting the weighted average number of ordinary shares outstanding to assume conversion of all dilutive potential ordinary shares. The Group has stock warrants as dilutive potential ordinary shares during the year ended December 31, 2022. For the stock warrants, dilutive potential ordinary shares are calculated by the number of shares that would have been issued assuming the stock warrants are exercised less the number of shares that could have been acquired at fair value.

As at December 31, 2023, diluted earnings per share is identical to basic earnings per share because there are no dilutive shares.

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Diluted earnings per share for the years ended December 31, 2023 and 2022, is as follows:

<i>(in Korean won, in share)</i>	2023	2022
Profit used to determine diluted earnings per share	₩ 857,691,298,384	₩ 798,056,210,082
Weighted-average number of ordinary shares for diluted earnings per share ¹	<u>71,174,000</u>	<u>69,809,673</u>
Diluted earnings per share	<u>₩ 12,051</u>	<u>₩ 11,432</u>

¹ Weighted-average number of ordinary shares for the years ended December 31, 2023 and 2022, is as follows:

<i>(in share)</i>	2023	2022
Weighted-average number of ordinary shares outstanding	₩ 71,174,000	₩ 66,165,000
Capital increase	-	3,581,778
Potential ordinary shares related to stock warrants	-	62,895
Weighted-average number of ordinary shares for diluted earnings per share	<u>₩ 71,174,000</u>	<u>₩ 69,809,673</u>

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30. Commitments and Contingencies

As at December 31, 2023, details of the Group's borrowings commitment with financial institutions are summarized as follows:

(in thousands of Korean won and in thousands of USD)

Financial Institution	Type	Currency	Limit	Currency	Outstanding balance
Woori Bank	Bank overdraft	KRW	10,000,000	KRW	-
	B2B PLUS	KRW	5,760,000	KRW	5,274,583
	Loans for equipment	KRW	70,000,000	KRW	70,000,000
	Loans for equipment	KRW	50,000,000	KRW	50,000,000
	Loans for equipment in foreign currency	USD	30,000	USD	30,000
	General loan in corporate operation	KRW	159,900,000	KRW	100,000,000
	B2B PLUS main contract	KRW	50,000	KRW	-
Hana Bank	Bank overdraft	KRW	10,000,000	KRW	-
	Loans for equipment	KRW	50,000,000	KRW	50,000,000
	Loans for equipment	KRW	100,000,000	KRW	30,000,000
	Comprehensive limit	KRW	40,000,000	KRW	-
	General loan in corporate operation	KRW	125,000,000	KRW	125,000,000
Shinhan Bank	General loan	KRW	17,000,000	KRW	-
	Bank overdraft	KRW	10,000,000	KRW	-
	Loans for equipment	KRW	100,000,000	KRW	10,000,000
	General loan	KRW	100,000,000	KRW	100,000,000
Kookmin Bank	Loans for equipment	KRW	100,000,000	KRW	50,000,000
	General loan in corporate operation	KRW	10,000,000	KRW	10,000,000
Nonghyup Bank	Loans for equipment	KRW	100,000,000	KRW	20,000,000
	General loan	KRW	50,000,000	KRW	50,000,000
Export-Import Bank of Korea	Loans for export growth	KRW	110,000,000	KRW	110,000,000
	Loans for overseas business	KRW	95,000,000	KRW	95,000,000
Mizuho Bank	General loan in corporate operation	USD	50,000	USD	-
Sumitomo Mitsui Bank	General loan	KRW	30,000,000	KRW	-
	Shore-term loans for foreign currency	USD	150,000	USD	-
	General loan			KRW	109,500,000

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Financial Institution	Type	Currency	Limit	Currency	Outstanding balance
Australia and New Zealand Banking Group Limited	General limit loan	KRW	120,000,000	KRW	-
Credit Agricole Bank	Loans for equipment	KRW	100,000,000	KRW	-
BNP Paribas Bank	General loan in corporate operation	KRW	45,000,000	KRW	-
Standard Chartered Bank Korea Ltd	General loan	KRW	130,000,000	KRW	15,000,000
China Construction Bank	General loan	KRW	45,000,000	KRW	45,000,000
Bank of China	Loans for operation	KRW	50,000,000	KRW	50,000,000

As at December 31, 2023, details of guarantees provided by financial institutions are summarized as follows:

(in thousands of Korean won)	Remarks	Limit		Payment guarantee	
		Currency	Amount	Currency	Amount
Woori Bank	Payment guarantees	KRW	39,500,000	KRW	2,394,134
Kookmin Bank	Foreign currency payment guarantee	KRW	30,000,000	KRW	-

If the Group does not comply with the commitments below, financial institutions may require an early redemption of long-term borrowings. Details of debt covenants related to long-term borrowings with financial institutions as at December 31, 2023, are as follows:

Financial institution	Remarks	Details of covenants
Sumitomo Mitsui Bank	Shareholder composition ratio	The ownership of the Samsung Group shall be over 50%, and Samsung C&T Corporation shall maintain its ownership in the Group in excess of 30%.
Sumitomo Mitsui Bank	Shareholder composition ratio	The Group shall maintain ownership in Samsung Bioepis Co., Ltd. over 50%
Kookmin Bank	Shareholder composition ratio	The Group shall maintain to be affiliates of Samsung Group and Samsung Group shall maintain its ownership in Samsung Bioepis Co., Ltd. in excess of 50%.
BNP Paribas Bank	Shareholder composition ratio	The Group shall maintain to be affiliates of Samsung Group and Samsung Group shall maintain its ownership in Samsung Bioepis Co., Ltd. in excess of 50%.
Mizuho Bank	Financial ratio	Samsung Bioepis Co., Ltd. shall maintain the ratio of interest-bearing debt to equity capital less than 180%

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In connection with a lease agreement with Incheon Metropolitan city ("Incheon") related to the use of some land, the Group is exempt from the full amount of rent because the Group meets the requirements for exemption of rent in accordance with the *Common Property Management Ordinance of Incheon*. The Group recognized an intangible asset at the fair value of the rent that is exempt from Incheon and government grant as a reduction of assets at the same value. The period of land use without payment and exemption requirement of the full amount of rent are as follows:

(i) Period

Lease terms are for a total of 50 years. The initial lease period is for 20 years from the land lease contract date, April 28, 2011, and the Group can renew the contract for another 30 years in successive 10-year increments.

(ii) Exemption requirement

The Group whose foreign investment amounts to more than USD 20 million for 5 years since the land lease contract date is subject to the exemption from Article 32 of *Common Property Management Ordinance of Incheon*. Afterwards, the foreign invested enterprises that meet the average daily employee count of above 300, is subject to exemption.

As at December 31, 2023, there are a total of four pending lawsuits of stock transaction damages related to the Group's accounting and disclosure (Note 35) and the total amount of litigation is ₩ 9,296 million. Additionally, there are 29 lawsuits and the total amount of ligations is ₩ 100 million.

Contractual obligation to purchase property, plant and equipment and intangible assets are as at December 31, 2023 are ₩ 539,317 million, of which the amount committed to related parties including Samsung Engineering Co., Ltd. is ₩ 61,296 million.

In August 2021, the Group entered into an investment agreement with a limit of total ₩ 49,500 million for SVIC No.54 New Technology Business Investment L.L.P. until August 2024.

In November 2023, the Group entered into an investment agreement with a limit of total ₩ 21,384 million for SVIC No.64 New Technology Business Investment L.L.P. until November 2033.

The Group entered into the land purchase agreement with Incheon Free Economic Zone (IFEZ) for the second Bio Campus on July 18, 2022, and the purchase price is ₩ 426 billion. The Group must carry out all procedures, such as facility construction plans and approval for use, within a certain period from the enforcement date of the purchase agreement. When the Group fails to fulfil the procedures, the purchase agreement may be cancelled.

The Group has provided deposits of ₩ 7,000 million to Korea Securities Finance Corporation as collateral for the loan for the acquisition of shares through employee stock ownership association (Note 7).

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The Group entered into a stock purchase agreement after the resolution of the Board of Directors on January 28, 2022 to acquire 10,341,852 shares of Samsung Bioepis Co., Ltd. held by Biogen Therapeutics Inc., and conditional consideration related with the agreement will be paid to Biogen Therapeutics Inc. After determining whether contractual requirements are met depending on the sales performance through the seller of the invested company after acquisition on an annual basis, whether the contingent consideration payment will be made or not and its amount will be determined in 2027 after the end of the relevant period. The range of the pre-discounted amount that the Group is likely to pay in the future under the above arrangement is USD 0 ~ 50,000,000.

31. Related Parties

As at December 31, 2023, Samsung C&T Corporation is a controlling company, and the percentage of ownership it has over the Group is 43.06%.

Details of related parties as at December 31, 2023, are as follows:

Relationship	Companies
Parent company	Samsung C&T Corporation
Entity with significant influence over the Company	Samsung Electronics Co., Ltd.
Associates and Joint ventures	SVIC No.54 New Technology Business Investment L.L.P., SVIC No.64 New Technology Business Investment L.L.P. Aimed Bio Inc.
Others	Samsung Welstory Inc., Samsung C&T Deutschland GmbH, Samsung C&T Japan Corporation, Samsung Electronics America, Inc., Samsung Research America, Inc., Samsung Electronics Sales Co., Ltd., Samsung Electronics Services Co., Ltd., Samoo Architects & Engineers,
The Enterprise Group ¹	Samsung Card Co., Ltd., Samsung Engineering Co., Ltd. S-1 Corporation, Samsung SDS Co., Ltd., Samsung Global Research, Multicampus Corporation, Samsung Fire & Marine Insurance Co., Ltd., Samsung Life Insurance Co., Ltd., Hotel Shilla Co., Ltd., Cheil Worldwide Inc., Samsung Securities Co.,Ltd, SBTM Corporation, SECUI Corp., SHP Corporation, Miracom Inc., Cheil Germany GmbH, Samsung SDS America, Samsung Hospitality America Inc., and others

¹ Although the entities are not the related party of the Group in accordance with Korean IFRS 1024, the entities belong to the Business Group designated as a conglomerate to which the Group also belongs in accordance with the Monopoly Regulation and Fair Trade Act.

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Outstanding balances with related parties as at December 31, 2023 and 2022, are as follows:

(in thousands of Korean won)	2023									
	Receivables					Payables				
	Trade receivables	Other receivables	Accrued income	Other payables and others		Advance receipts	Contract liabilities			
Parent company										
Samsung C&T Corporation	₩	-	₩	-	₩	-	₩	1,198,568	₩	-
Entity with significant influence over the Company										
Samsung Electronics Co., Ltd.		-		-				17,479,395		-
Associates and Joint ventures										
Aimed Bio Inc.		-		-				392,378		-
Others										
Samsung Welstory Inc.		-		1,435				2,243,363		-
Samsung Electronics America, Inc.		-		-				92,669		-
The Enterprise Group										
Samsung Card Co., Ltd.		-		73,580				1,850,649		-
Samsung Engineering Co.,LTD		-		-				1,314,862		-
S-1 Corporation		-		-				17,343,866		-
Samsung SDS Co., Ltd.		-		-				8,545,321		-
Samsung Global Research Co., Ltd.		-		-				145,922		-
Samsung Fire & Marine Insurance Co., Ltd.		-		-				3,134		-
Cheil Germany GmbH		-		-				14,749		-
Multicampus Corporation		-		-				178,135		-
SHP Corporation		-		-				113,148		-
Miracom Inc.		-		-				314,556		-
Samsung SDS America, Inc.		-		-				12,465		-
Samsung Hospitality America Inc.		-		-				645		-
Others ¹		-		-				1,048,606		-
	₩	-	₩	75,015	₩	-	₩	52,292,431	₩	-

¹ Transactions with Cheil Worldwide Inc and SBTM Corporation were included.

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Korean won)

	2022					
	Receivables			Payables		
	Trade receivables	Other receivables	Accrued income	Other payables and others	Advance receipts	Contract liabilities
Parent company						
Samsung C&T Corporation	₩ -	₩ -	₩ -	₩ 763,049	₩ -	₩ -
Entity with significant influence over the Company						
Samsung Electronics Co., Ltd.	-	-	-	13,622,121	-	-
Others						
Samsung Welstory Inc.	-	3,130	-	1,872,862	-	-
Samsung Electronics Sales Co., Ltd.	-	-	-	18,097	-	-
Samoo Architects & Engineers	-	-	-	518,100	-	-
Samsung C&T Deutschland GmbH	-	-	-	113,058	-	-
Samsung Research America, Inc	-	-	-	3,560	-	-
The Enterprise Group						
Samsung Card Co., Ltd.	-	53,280	-	1,365,127	-	-
Samsung Engineering Co.,LTD	-	-	-	140,936,113	-	-
S-1 Corporation	-	-	-	7,096,462	-	-
Samsung SDS Co., Ltd.	-	-	-	7,454,673	-	-
Samsung Global Research Co., Ltd.	-	-	-	300,279	-	-
Samsung Fire & Marine Insurance Co., Ltd.	-	169	-	3,077	-	-
SECUi Corp.	-	-	-	1,482,527	-	-
Samsung SDS America, Inc.	-	-	-	8,472	-	-
Others ¹	-	-	-	564,135	-	-
	₩ -	₩ 56,579	₩ -	₩ 176,121,712	₩ -	₩ -

¹ Transactions with Cheil Worldwide Inc, Multicampus Corporation, SHP Corporation and SBTM Corporation were included.

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Significant transactions which occurred in the normal course of business with related parties for the years ended December 31, 2023 and 2022, are as follows:

(in thousands of Korean won)

(in thousands of Korean won)

	2023									
	Revenue					Expenses				Asset acquisition
	Revenue		Others			Service fees		Others		
Parent Company										
Samsung C&T Corporation	₩	-	₩	-	₩	1,032,376	₩	422,866	₩	3,491,000
Entity with significant influence over the Company										
Samsung Electronics Co., Ltd.		-		-		15,030,912		151,452		-
Associates and Joint ventures										
Aimed Bio Inc.		-		-		-		1,720,344		-
Others										
Samsung Welstory Inc.		-		31,616		-		20,509,826		-
Samsung Electronics Sales Co., Ltd.		-		9,125		-		84,477		-
Samoo Architects & Engineers		-		-		78,000		-		645,268
Samsung C&T Deutschland GmbH		-		-		-		3,350,203		-
Samsung C&T Japan Corporation		-		-		-		381,584		-
Samsung Electronics America, Inc.		-		-		184,895		-		-
Samsung Research America, Inc.		-		-		-		44,237		-
The Enterprise Group										
Samsung Card Co., Ltd.		-		45,258		-		1,712,843		-
Samsung Engineering CO.,LTD		-		-		-		10,000	315,566,212	
S-1 Corporation		-		-		38,553,619		4,350,066	13,171,216	
Samsung SDS Co., Ltd.		-		304,112		3,705,954		25,562,493	6,694,546	
Samsung Global Research Co.,Ltd.		-		-		4,239,730		2,448,353		-
Samsung Fire & Marine Insurance Co., Ltd. ¹		-		1,563,551		4,196		12,850,481		-
Samsung Life Insurance Co., Ltd. ¹		-		3,101,628		3,600		504,313		-
Samsung Securities Co., Ltd. ¹		-		1,596,551		37,572		-		-
Cheil Worldwide Inc		-		-		53,950		1,751	932,070	
Cheil Germany GmbH		-		-		476,664		-		-
SBTM Corporation		-		-		37,253		23,350		-
Miracom Inc.		-		-		-		285,960		-
Samsung SDS America, Inc.		-		-		-		143,927	122,468	
Samsung Hospitality America Inc.		-		-		16,348		35,481		-
Others ²		-		-		363,421		2,169,779	1,400,918	
	₩	-	₩	6,651,841	₩	63,818,490	₩	76,763,786	₩	342,023,698

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¹ Other revenue includes actual return on plan assets recognized as deduction of retirement benefits. As at December 31, 2023, the Group deposited ₩ 33,229 million (2022: ₩ 35,327 million) in Samsung Fire & Marine Insurance Co., Ltd., ₩ 82,660 million (2022: ₩ 73,701 million) in Samsung Life Insurance Co., Ltd., and ₩ 35,152 million (2022: ₩ 31,693 million) in Samsung Securities Co., Ltd., as plan assets.

² Transactions with Multicampus Corporation, Hotel Shilla Co., Ltd., SECUI Corp., and SHP Corporation were included.

(in thousands of Korean won)

	2022				
	Revenue		Expenses		Asset acquisition
	Revenue	Others	Service fees	Others	
Parent Company					
Samsung C&T Corporation	₩	-	₩	-	₩ 822,008
Entity with significant influence over the Company					
Samsung Electronics Co., Ltd.		-		-	₩ 230,719
Subsidiary¹					
Samsung Bioepis Co., Ltd. ³	₩ 37,496,990	-		-	₩ 627,000
Others					
Samsung Welstory Inc.		-	₩ 27,680	-	₩ 1,553
Samsung Electronics Sales Co., Ltd.		-	₩ 3,600	-	
Samsung Electronics Services Co., Ltd.		-	-	₩ 2,128	
Samoo Architects & Engineers		-	₩ 154,810	-	₩ 1,714,000
Samsung C&T Deutschland GmbH		-	-	₩ 878,779	
Samsung Research America, Inc.		-	-	₩ 23,536	
The Enterprise Group					
Samsung Card Co., Ltd.		-	₩ 32,676	-	₩ 972,984
Samsung Engineering CO.,LTD		-	-	-	₩ 543,927,757
S-1 Corporation		-	₩ 24,769,408	₩ 3,202,762	₩ 3,165,900
Samsung SDS Co., Ltd.		-	₩ 3,979	₩ 985,973	₩ 21,389,215
Samsung Global Research Co.,Ltd.		-	-	₩ 186,910	₩ 3,226,617
Samsung Fire & Marine Insurance Co., Ltd. ²		-	₩ 785,335	₩ 3,865	₩ 9,693,801
Samsung Life Insurance Co., Ltd. ²		-	₩ 988,255	₩ 123,461	₩ 109,483
Samsung Securities Co., Ltd. ²		-	₩ 506,914	₩ 35,133	-
Cheil Worldwide Inc		-	-	₩ 421,850	₩ 81,553
SBTM Corporation		-	-	₩ 5,531	₩ 188,830
Samsung SDS America, Inc.		-	-	-	₩ 77,682
Samsung Hospitality America Inc.		-	-	₩ 13,543	-
Others ³		-	-	₩ 194,796	₩ 2,090,579
	₩ 37,496,990	₩ 2,348,439	₩ 38,806,330	₩ 59,709,210	₩ 559,421,737

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¹ The Group acquired the entire shares of Samsung Bioepis Co., Ltd. and classified it as subsidiary. In the transaction details of related parties, only the transaction amount prior to the acquisition date is included.

² Other revenue includes actual return on plan assets recognized as deduction of retirement benefits.

³ Transactions with Multicampus Corporation, Hotel Shilla Co., Ltd., SECUI Corp., and SHP Corporation were included.

The compensation paid or payable to key management for employee services for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023		2022	
Short-term employee benefits	₩	4,434,094	₩	4,706,320
Long-term employee benefits		3,156,332		3,584,766
Retirement benefits		401,708		697,083
	₩	<u>7,992,134</u>	₩	<u>8,988,169</u>

Key management refers to the registered directors (including non-executives). Compensation of the Group's key management personnel includes salaries, non-cash benefits, and contributions to a post-employment defined benefit plan. In addition, the Group has granted long-term incentives to the Group's key management personnel based on its three-year management performance. The estimated amount of liabilities arising from such incentives are recognized as accrued expenses and long-term accrued expenses.

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Financing transactions with related parties for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	Companies	2023	2022	Description
Parent Company	Samsung C&T Corporation	₩	- ₩ 1,216,808,721	Capital increase
Entity with significant influence over the Company	Samsung Electronics Co., Ltd.		- 882,124,803	Capital increase
Associates and joint ventures	SVIC No.54 New Technology Business Investment L.L.P.	12,375,000	15,510,000	Equity contribution in cash
	SVIC No.64 New Technology Business Investment L.L.P.	213,840	-	Equity contribution in cash
	Archigen Biotech Limited ¹	4,181,809	-	Liquidation
	Aimed Bio Inc ²	559,000	-	Equity contribution in cash
The Enterprise Group	Samsung Securities Co., Ltd. ³	-	500,000	Capital increase
Directors	Kim Tae-Han	-	812,808	Capital increase
	Kim Dong-Joong	-	212,148	Capital increase

¹ In September 2023, the liquidation of Archigen Biotech Limited, a joint venture of the Group and AstraZeneca, was completed and was excluded from the joint ventures.

² Although the group has significant influence with the associates, it is determined to have no present access to profits linked to its ownership stake in associates, and is classified as a financial asset measured at fair value in accordance with Korean IFRS 1109.

³ Solicitation brokerage fee paid for the capital increase was recognized as a decrease in share premium.

32. Statements of Cash Flows

Significant transactions not involving cash flows of investing and financing activities for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023	2022
Increase in other payables due to business combination	₩ -	₩ 1,504,487,682
Increase in other payables due to acquisition of property, plant and equipment and intangible assets	55,913,736	363,464,573
Transfer of construction-in-progress to property, plant and equipment and intangible assets	1,338,930,968	760,724,866
Increase in right-of-use assets and lease liabilities	29,368,421	448,062,511

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Changes in liabilities arising from financial activities for the years ended December 31, 2023 and 2022, are as follows:

(in thousands of
Korean won)

	2023						
	Current portion of debentures	Debentures	Short-term borrowings	Current portion of long-term borrowings	Long-term borrowings	Lease liabilities	Total
At January 1, 2023	₩ 39,978,721	₩ 499,052,332	₩ 582,783,298	₩ 516,038,000	₩ 466,038,000	₩ 410,142,588	₩ 2,514,032,939
Changes arising from financial activities:							
Proceeds from borrowing liabilities	-	-	220,000,000	-	45,000,000	-	265,000,000
Repayment of borrowing liabilities	-	-	(150,139,682)	(466,194,000)	(89,339,000)	-	(705,672,682)
Repayment of debentures	(40,000,000)	-	-	-	-	-	(40,000,000)
Payment of lease	-	-	-	-	-	(157,909,650)	(157,909,650)
Others:							
Reclassification to current portion	379,619,904	(379,619,904)	-	302,362,000	(302,362,000)	-	-
Effects of exchange rate changes on cash and cash equivalents	-	-	1,856,384	1,476,000	663,000	48,443	4,043,827
Amortization of discount on debentures	124,389	350,122	-	-	-	-	474,511
Changes in lease	-	-	-	-	-	29,368,421	29,368,421
Gain on lease cancellation	-	-	-	-	-	(4,789)	(4,789)
At December 31, 2023	₩ 379,723,014	₩ 119,782,550	₩ 654,500,000	₩ 353,682,000	₩ 120,000,000	₩ 281,645,013	₩ 1,909,332,577

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(in thousands of Korean won)	2022													
	Current portion of debentures		Debentures		Short-term borrowings		Current portion of long-term borrowings		Long-term borrowings		Lease liabilities		Total	
At January 1, 2022	₩	-	₩	538,553,996	₩	50,000,000	₩	109,855,000	₩	576,130,000	₩	18,208,298	₩	1,292,747,294
Increase due to business combination		-		-		439,008,000		380,500,000		138,082,000		945,253		958,535,253
Changes arising from financial activities:														
Proceeds from borrowing liabilities		-		-		593,750,000		-		211,903,000		-		805,653,000
Repayment of borrowing liabilities		-		-		(496,987,928)		(440,355,000)		-		-		(937,342,928)
Payment of lease		-		-		-		-		-		(56,550,583)		(56,550,583)
Others:														
Reclassification to current portion		39,954,382		(39,954,382)		-		463,584,000		(463,584,000)		-		-
Effects of exchange rate changes on cash and cash equivalents		-		-		(2,986,774)		2,454,000		3,507,000		165,853		3,140,079
Amortization of discount on debentures		24,339		452,718		-		-		-		-		477,057
Changes in lease		-		-		-		-		-		448,062,511		448,062,511
Gain on lease cancellation		-		-		-		-		-		(688,744)		(688,744)
At December 31, 2022	₩	39,978,721	₩	499,052,332	₩	582,783,298	₩	516,038,000	₩	466,038,000	₩	410,142,588	₩	2,514,032,939

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33. Financial Risk Management

The Group is exposed to credit risk, liquidity risk, and market risk in connection with its financial instruments. This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risks, and the Group's management of capital. Further quantitative disclosures are included throughout these financial statements.

(a) Financial risk management

The Group's risk management policies are established to identify and analyse the risks faced by the Group, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group's activities. The Group, through its training and management standards and procedures, aims to maintain a disciplined and constructive control environment in which all employees understand their roles and obligations. The Board of Directors oversees how management monitors compliance with the Group's risk management policies and procedures and reviews the adequacy of the risk management framework in relation to the risks faced by the Group.

(b) Credit risk

The Group assesses the credit quality of the customer, comprehensively taking into account its financial information and pipeline development stages from the point when the contract is made. Also, the Group periodically evaluates the credit worthiness of each customer or counterparty through the analysis of its financial information, historical transaction records and other factors.

Credit risk is the risk of financial loss to the Group if a customer or counterparty to a financial instrument fails to meet its contractual obligations and arises principally from the Group's receivables from customers. The carrying amount of financial assets represents the maximum credit exposure. The maximum exposures to credit risk as at December 31, 2023 and 2022, are as follows:

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<i>(in thousands of Korean won)</i>	2023	2022
Cash and cash equivalents	₩ 367,937,365	₩ 890,819,571
Short-term financial instruments	1,650,000,000	2,168,901,000
Financial assets at fair value through profit or loss	1,239,610	98,505,712
Long-term financial instruments	7,339,455	7,335,813
Trade and other receivables	644,546,947	694,956,897
Loans	26,304	-
Derivative assets	4,512,654	18,137,458
Deposits provided	63,509,331	62,743,713
Contract assets - unbilled	24,791,698	47,334,764
	<u>₩ 2,763,903,364</u>	<u>₩ 3,988,734,928</u>

The Group applies the simplified approach to measuring expected credit losses which uses a lifetime expected allowance for credit losses for all trade and other receivables and contract assets. The contract assets have substantially the same risk characteristics as the trade and other receivables for the same types of contracts. The Group has, therefore, concluded that the expected loss rates for trade and other receivables are a reasonable approximation of the loss rates for the contract assets.

The Company applies expected credit loss rates considering the forward looking estimates and probability of default in prior periods for customers with objective evidence of impairment. The Group considered that there was evidence of impairment if any of the following indicators were present:

- significant financial difficulties of the debtor
- probability that the debtor will enter bankruptcy or financial reorganization, and
- default or delinquency in payments

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On that basis, the allowance for credit losses as at December 31, 2023 and 2022 was determined as follows for both trade and other receivables and contract assets:

(in thousands of Korean won)	Past due						Total
	Current	Less than 1 months	1 - 3 months	3 - 6 months	6 - 12 months	More than 12 months	
2023							
Expected loss rate	0.84%	0.15%	0.68%	77.30%	40.75%	95.39%	6.41%
Gross carrying amount – trade receivables	₩ 445,769,356	₩ 24,260,353	₩ 14,959,519	₩ 9,217,982	₩ 6,697,941	₩ 33,858,129	₩ 534,763,280
Gross carrying amount – other receivables	198,765,112	52,767	142,383	4,845	53,082	1,006,451	200,024,640
Gross carrying amount – contract assets	28,335,147	-	-	-	-	-	28,335,147
Allowance for credit losses	(5,647,694)	(36,451)	(103,039)	(7,129,453)	(2,750,796)	(33,258,835)	(48,926,268)
2022							
Expected loss rate	0.24%	0.46%	2.92%	7.88%	59.26%	0.00%	3.33%
Gross carrying amount – trade receivables	₩ 576,348,369	₩ 40,992,370	₩ 2,503,261	₩ 1,666,010	₩ 42,291,777	₩ 19,250	₩ 663,821,037
Gross carrying amount – other receivables	104,358,763	986,126	262,849	217	76,624	589,583	106,274,162
Gross carrying amount – contract assets	47,978,049	-	-	-	-	-	47,978,049
Allowance for credit losses	(1,751,470)	(192,742)	(80,825)	(131,275)	(25,107,949)	-	(27,264,261)

Movements in the allowance for credit losses for trade and other receivables and contract assets for the years ended December 31, 2023 and 2022, are as follows:

(in thousands of Korean won)	Trade receivables		Other receivables		Contract assets	
	2023	2022	2023	2022	2023	2022
Beginning balance	₩ 26,564,727	₩ 4,844,509	₩ 56,249	₩ 12,939	₩ 643,285	₩ -
Increase in allowance for credit losses recognized in profit or loss during the period	18,431,394	21,720,218	179,049	43,310	2,900,164	643,285
Ending balance	₩ 44,996,121	₩ 26,564,727	₩ 235,298	₩ 56,249	₩ 3,543,449	₩ 643,285

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(c) Liquidity risk

Liquidity risk is the risk that the Group will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or other financial assets. The Group's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when they are due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's reputation.

The ultimate responsibility for liquidity risk management remains with the Board of Directors, who establishes fundamental policies to adequately manage short-term, medium-and long-term financing and liquidity management regulations. To maintain adequate liquidity, the Group manages liquidity risk by periodically forecasting and adjusting its capital balance.

The following are the contractual maturities of financial liabilities as at December 31, 2023 and 2022, including estimated interest payments and excluding the impact of netting agreements. The Group does not expect that the cash flows included in the maturity analysis could occur significantly earlier or at different amounts.

*(in thousands of
Korean won)*

	2023					
	Book amount	Contractual cash flows	Less than 1 year	1-2 year	2-3 year	More than 3 years
Trade and other payables	₩ 1,045,361,924	₩ 1,050,272,576	₩ 1,046,506,034	₩ 356,647	₩ 356,648	₩ 3,053,247
Lease liabilities	281,645,013	282,390,980	144,246,850	131,541,048	5,592,483	1,010,599
Debentures	499,505,564	511,915,111	387,507,876	2,632,800	121,774,435	-
Short-term borrowings	654,500,000	677,073,684	677,073,684	-	-	-
Long-term borrowings	473,682,000	490,875,834	367,227,174	123,648,660	-	-
	<u>₩ 2,954,694,501</u>	<u>₩ 3,012,528,185</u>	<u>₩ 2,622,561,618</u>	<u>₩ 258,179,155</u>	<u>₩ 127,723,566</u>	<u>₩ 4,063,846</u>

*(in thousands of
Korean won)*

	2022					
	Book amount	Contractual cash flows	Less than 1 year	1-2 year	2-3 year	More than 3 years
Trade and other payables	₩ 2,157,597,481	₩ 2,180,535,735	₩ 1,624,767,738	₩ 555,767,997	₩ -	₩ -
Lease liabilities	410,142,588	411,115,210	142,383,881	134,707,660	128,536,398	5,487,271
Debentures	539,031,053	562,194,181	50,279,070	387,507,876	2,632,800	121,774,435
Short-term borrowings	582,783,298	605,740,603	605,740,603	-	-	-
Long-term borrowings	982,076,000	1,036,664,018	552,276,183	367,541,644	116,846,191	-
	<u>₩ 4,671,630,420</u>	<u>₩ 4,796,249,747</u>	<u>₩ 2,975,447,475</u>	<u>₩ 1,445,525,177</u>	<u>₩ 248,015,389</u>	<u>₩ 127,261,706</u>

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(d) *Currency risk*

The Group is exposed to currency risk on sales, purchases, and borrowings. The currencies in which these transactions primarily are denominated are USD and so forth. The Group establishes a plan to manage currency risk through currency forwards and so forth, if considered necessary.

(i) *Exposure to currency risk*

The Group's exposure to foreign currency risk as at December 31, 2023 and 2022, are as follows:

(in thousands of Korean won)

	2023					
	USD	EUR	CHF	JPY	GBP	Others
Assets:						
Cash equivalents	₩ 279,983,560	₩ 4,522,118	₩ -	₩ -	₩ 3,533,333	₩ 190,571
Short-term financial instruments	-	-	-	-	-	-
Long-term financial instruments	686,610	-	-	-	-	-
Trade and other receivables	605,970,239	5,727,462	9,576	-	879,010	473,297
Contract assets	27,794,179	-	-	-	-	-
	<u>9134,428,588</u>	<u>10,249,580</u>	<u>9,576</u>	<u>-</u>	<u>4,412,343</u>	<u>663,868</u>
Liabilities:						
Borrowings ¹	38,682,000	-	-	-	-	-
Trade and other payables	617,663,145	27,006,710	9,576	1,088,773	1,034,764	297,680
	<u>656,345,145</u>	<u>27,006,710</u>	<u>9,576</u>	<u>1,088,773</u>	<u>1,034,764</u>	<u>297,680</u>
	<u>₩ 258,083,443</u>	<u>₩ (16,757,130)</u>	<u>₩ -</u>	<u>₩ (1,088,773)</u>	<u>₩ 3,377,579</u>	<u>₩ 366,188</u>

(in thousands of Korean won)

	2022				
	USD	EUR	JPY	GBP	Others
Assets:					
Cash equivalents	₩ 211,388,497	₩ 173,584	₩ -	₩ 3,067,221	₩ 196,680
Short-term financial instruments	468,901,000	-	-	-	-
Trade and other receivables	668,368,288	2,517,962	-	971,501	495,285
Contract assets	47,141,315	-	-	-	-
	<u>1,395,799,100</u>	<u>2,691,546</u>	<u>-</u>	<u>4,038,722</u>	<u>691,965</u>
Liabilities:					
Borrowings ¹	116,821,298	-	-	-	-
Trade and other payables	1,576,202,706	23,509,157	2,500,456	682,508	599,154
	<u>1,693,024,004</u>	<u>23,509,157</u>	<u>2,500,456</u>	<u>682,508</u>	<u>599,154</u>
	<u>₩ (297,224,904)</u>	<u>₩ (20,817,611)</u>	<u>₩ (2,500,456)</u>	<u>₩ 3,356,214</u>	<u>₩ 92,811</u>

¹ Borrowings in foreign currency with a foreign currency swap are excluded as they are not exposed to currency risk.

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(ii) The significant exchange rates applied for the years ended December 31, 2023 and 2022, are as follows:

	2023				2022			
	Average rate		December 31, 2023		Average rate		December 31, 2022	
(in Korean won)								
USD	₩	1,307.90	₩	1,289.40	₩	1,291.95	₩	1,267.30
EUR		1,415.38		1,426.59		1,357.38		1,351.20
CHP		1,457.07		1,526.82		1,352.05		1,372.87
JPY(100 ¥)		933.14		912.66		983.44		953.18
GBP		1,627.42		1,641.79		1,592.33		1,527.67

(iii) Sensitivity analysis

The Group internally assesses the currency risk against changes in exchange rate fluctuations regularly. The table below summarizes the impact of weakened/strengthened functional currency on the Group's income before tax. The analysis is based on the assumption that functional currency has weakened/strengthened by 10% with all other variables held constant.

	2023				2022			
	10% increase		10% decrease		10% increase		10% decrease	
(in thousands of Korean won)								
USD	₩	25,808,344	₩	(25,808,344)	₩	(29,722,490)	₩	29,722,490
EUR		(1,675,713)		1,675,713		(2,081,761)		2,081,761
JPY		(108,877)		108,877		(250,046)		250,046
GBP		337,758		(337,758)		335,621		(335,621)
Others		36,619		(36,619)		9,281		(9,281)
	₩	24,398,131	₩	(24,398,131)	₩	(31,709,395)	₩	31,709,395

(e) Interest rate risk

The Group is exposed to interest rate risk because they raised funds with interests paid at a variable rate. The effects of changes in interest rates by 0.5% applied to the profit and loss (before tax) for the years ended December 31, 2023 and 2022, are as follows:

	2023				2022			
	0.5% increase		0.5% decrease		0.5% increase		0.5% decrease	
(in thousands of Korean won)								
Increase (decrease) in profit before income tax	₩	(3,408,425)	₩	3,408,425	₩	(4,130,486)	₩	4,130,486

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(f) Capital management

The Group's capital management is for the purpose of maximizing the shareholders' interest by maintaining an optimal capital structure. To achieve optimal capital structure, the Group may improve financial structure monitoring financial ratios, such as debt-to-equity ratio.

The debt-to-equity ratio as at December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>		2023		2022
Total liabilities (A)	₩	6,215,704,797	₩	7,597,575,863
Total equity (B)		9,830,492,412		8,984,474,395
Debt-to-equity ratio (A/B)		63.23%		84.56%

34. Business Combination

Major business combination that occurred for the year ended December 31, 2022, is as follows:

To strengthen global business competitiveness through enhancement of biopharmaceutical development capabilities, the Group acquired additional 50%-1 shares in April 20, 2022 and obtained control of Samsung Bioepis Co., Ltd. By holding 100% shares.

The fair values of each type of consideration transferred as of the acquisition date are as follows:

<i>(in thousands of Korean won)</i>		Amount
Cash (including installment payments)	₩	2,718,845,697
Fair value of equity held before business combination		2,739,387,946
Contingent considerations		20,541,985
Total purchase considerations	₩	<u>5,478,775,628</u>

The gain of ₩ 64,417,937 thousand from the remeasurement of the 50% + 1 share of Samsung Bioepis Co., Ltd. To the fair value is recognized as other income (gain on disposal of investments in joint venture) on the consolidated statement of comprehensive income.

The Group will determine whether the conditions for payment of contingent considerations are satisfied by year according to the sales performance of the investee company through the seller, and then decide the size of the contingent consideration during 2027. The nominal amount that the Group is likely to pay in the future in accordance with the above arrangement is in the range of USD 0 – 50,000,000. At the acquisition date, the fair value of the contingent consideration was estimated as ₩ 20,541,985 thousand using the option valuation model.

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At the acquisition date, the fair values of identifiable acquired assets and assumed liabilities, and related goodwill are as follows.

<i>(in thousands of Korean won)</i>	Book amount		Fair value adjustment	Fair value	
Cash and cash equivalents	₩	153,078,919	₩	-	₩ 153,078,919
Trade and other receivables		135,492,087		-	135,492,087
Inventories		1,221,325,253		-	1,221,325,253
Other assets		137,186,941		-	137,186,941
Property, plant and equipment and right-of-use assets		223,866,939		104,447,294	328,314,233
Intangible assets		634,409,838		3,651,917,128	4,286,326,966
Deferred tax assets (liabilities)		178,168,810		(987,923,843)	(809,755,033)
Trade and other payables		(131,827,979)		-	(131,827,979)
Long-term and short-term borrowings		(957,590,000)		-	(957,590,000)
Other liabilities		(561,383,726)		-	(561,383,726)
Fair value of net identifiable assets acquired					<u>3,801,167,661</u>
Goodwill ¹					<u>1,677,607,967</u>
Total purchase considerations				₩	<u>5,478,775,628</u>

¹ Goodwill consists of values such as synergies expected from a business combination.

Net cash outflows from business combinations for the years ended December 31, 2023 and 2022, are as follows:

<i>(in thousands of Korean won)</i>	2023		2022
Considerations paid in cash	₩	1,071,525,000	1,234,900,000
Less: cash and cash equivalents acquired		-	(153,078,919)
Net cash outflow	₩	<u>1,071,525,000</u>	<u>1,081,821,081</u>

Provisions/contingent liabilities were not recognized because the lawsuit case of Samsung Bioepis Co., Ltd. Did not have a litigation value and it was difficult to reliably measure the outflow of resources.

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35. Ruling of the Securities and Futures Commission in relation to the accounting for investment in Samsung Bioepis Co., Ltd., the related administrative lawsuit and the indictment

On July 12, 2018, the Securities & Futures Commission (“SFC”) imposed the first administrative measures in accordance with the Act on External Audit of Stock Companies against the Company for alleged failure to disclose sufficient information in the Company’s Financial Statements from 2012 to 2015 regarding the Company’s joint venture agreement with Biogen Therapeutics Inc. The measures (“First measures”) included i) compulsory designation of external auditors for three years; ii) recommendation of dismissal of the Company’s executives in charge; and iii) prosecution against the Company and its representative director (CEO). On November 14, 2018, the SFC imposed the second administrative measures in accordance with the Act on External Audit of Stock Companies against the Company for violation of accounting standards by inappropriately applying separate method regarding investments in Samsung Bioepis from 2012 to the first half of 2018. The measures (“Second measures”) included i) compulsory designation of external auditors for three years; ii) recommendation of dismissal of the Company’s representative director (CEO) and executives in charge; iii) referral of the case against the Company and its representative director (CEO) to the Prosecutors Office; iv) retrospective restatement of financial statements; and v) imposition of administrative fine of ₩ 8 billion on November 21, 2018.

In order to demonstrate the legitimacy of the Company’s accounting, the Company submitted requests for cancellation of the First measures on October 8, 2018 and the Second measures on November 27, 2018 to the Seoul Administrative Court (the “Court”). As at the reporting date, the lawsuits seeking the cancellation of the First and Second measures are in progress. On September 24, 2020, the Court ruled to cancel the First measures imposed to the Company by SFC and decided to suspend the First measures until the decision of the appeal trial is made. The SFC appealed the Court’s first trial on October 16, 2020 and the litigation is currently in progress at the Seoul High Court.

In addition, the Company submitted requests for suspension of measures by SFC on November 27, 2018 and December 18, 2018, to the Court. The Supreme Court affirmed the suspension of the Second and First measures, on September 6, 2019 and October 11, 2019, respectively.

Administrative lawsuits are in progress relating to the SFC’s measures, and it is not possible to predict the outcome of the administrative lawsuits. However, if the Company loses the administrative lawsuits, the consolidated financial statements from 2012 to 2022 could potentially be restated.

With respect to this matter, the investigation by the prosecutor against the Company’s former CEO, CFO and others for alleged violation of the Act on External Audit of Stock Companies, the Financial Investment Services and Capital Market Act, the Act on the Aggregated Punishment, Etc. of Specific Economic Crimes, and the allegations of evidence destruction under Criminal Act was carried out. And the Company’s former CEO and CFO were indicted for alleged violation of

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the Act on External Audit of Stock Companies, alleged violation of the Act on the Aggravated Punishment, Etc Specific Economic Crimes, and the allegations of document destruction under Criminal Act. On February 5, 2024, the Seoul Central District Court acquitted to the Company's former CEO and CFO on charges of violation of the Act on External Audit of Stock companies, and the prosecutor appealed the Court's acquittal on February 8, 2024.

In addition, on February 14, 2024, the Seoul Central District Court acquitted to the Company's former CEO and CFO for alleged violation of the Act on the Aggravated Punishment of Specific Economic Crimes, and the allegations of evidence destruction under Criminal Act.

With respect to the allegations of evidence destruction, the former CEO was acquitted, and the CFO received suspended sentence. The prosecutor appealed the Court's first trial on February 20, 2024, and the CFO who received suspended sentence appealed the Court's first trial on February 21, 2024.

Meanwhile, on December 9, 2019, employees of the Company and Samsung Bioepis Co., Ltd. who were arrested on allegations of evidence destruction, were found guilty of violation of the Act on External Audit of Stock companies and Criminal Act in the first ruling of the Seoul Central District Court. All the employees of Samsung Bioepis Co., Ltd. appealed the ruling above, and the employee of the Company who abandoned his or her appeal received suspended sentences for the destruction of evidence.

If the Company's consolidated financial statements are restated in accordance with the SFC's measures, there is no effect on the Group's consolidated financial statements in 2023 mainly due to the elimination of fair value valuation for Samsung Bioepis in 2015.

(a) Impact on Financial Position

If the Group loses the administrative litigation, it shall restate the statements of financial position (consolidated statements of financial position from 2012 to 2014 and 2020 to 2022) as indicated by the Securities and Futures Commission and its impact shall be as follows.

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(i) As at December 31, 2022 and 2021

(in thousands of Korean won)

	2022			2021		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Assets						
Current assets	₩6,457,656,567	₩ -	₩6,457,656,567	₩2,823,175,325	₩ -	₩2,823,175,325
Non-current assets	10,124,393,691	-	10,124,393,691	5,146,835,462	(2,210,143,107)	2,936,692,355
Investments in associates and joint ventures	30,774,606	-	30,774,606	2,661,309,486	(2,330,759,762)	330,549,724
Deferred tax assets	-	-	-	-	120,616,655	120,616,655
Total assets	16,582,050,258	-	16,582,050,258	7,970,010,787	(2,210,143,107)	5,759,867,680
Liabilities						
Current liabilities	4,181,541,561	-	4,181,541,561	1,107,294,649	-	1,107,294,649
Current tax liabilities	223,298,677	-	223,298,677	110,174,302	-	110,174,302
Non-current liabilities	3,416,034,302	-	3,416,034,302	1,871,613,997	(487,711,643)	1,383,902,354
Deferred tax liabilities	1,214,215,656	-	1,214,215,656	487,711,643	(487,711,643)	-
Total liabilities	7,597,575,863	-	7,597,575,863	2,978,908,646	(487,711,643)	2,491,197,003
Equity						
Share premium	5,663,111,353	9,313,768	5,672,425,121	2,487,313,082	9,313,769	2,496,626,851
Accumulated other comprehensive loss	(2,173,393)	195,729	(1,977,664)	(8,810,638)	(1,738,979)	(10,549,617)
Retained earnings	3,145,601,436	(9,509,498)	3,136,091,938	2,347,187,197	(1,730,006,253)	617,180,944
Total equity	8,984,474,395	-	8,984,474,395	4,991,102,141	(1,722,431,464)	3,268,670,677
Total liabilities and equity	₩16,582,050,258	₩ -	₩16,582,050,258	₩7,970,010,787	₩ (2,210,143,107)	₩5,759,867,680

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(ii) As at December 31, 2020 and 2019

(in thousands of Korean won)

	2020			2019		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Assets						
Current assets	₩1,751,347,248	₩ -	₩1,751,347,248	₩1,356,261,664	₩ -	₩1,356,261,664
Non-current assets	4,672,853,916	(2,231,970,559)	2,440,883,357	4,555,364,848	(2,266,795,380)	2,288,569,468
Investments in associates and joint ventures	2,634,428,494	(2,351,085,909)	283,342,585	2,652,731,622	(2,369,723,569)	283,008,053
Deferred tax assets	-	119,115,350	119,115,350	-	102,928,189	102,928,189
Total assets	6,424,201,164	(2,231,970,559)	4,192,230,605	5,911,626,512	(2,266,795,380)	3,644,831,132
Liabilities						
Current liabilities	589,300,919	-	589,300,919	690,505,243	-	690,505,243
Current tax liabilities	23,259,655	-	23,259,655	12,857,398	-	12,857,398
Non-current liabilities	1,236,117,073	(449,847,440)	786,269,633	866,667,524	(470,544,915)	396,122,609
Deferred tax liabilities	449,847,440	(449,847,440)	-	470,544,915	(470,544,915)	-
Total liabilities	1,825,417,992	(449,847,440)	1,375,570,552	1,557,172,767	(470,544,915)	1,086,627,852
Equity						
Share premium	2,487,313,082	9,313,769	2,496,626,851	2,487,313,082	9,313,769	2,496,626,851
Accumulated other comprehensive loss	(7,540,139)	(1,738,979)	(9,279,118)	(10,894,766)	(1,738,979)	(12,633,745)
Retained earnings	1,953,597,729	(1,789,697,909)	163,899,820	1,712,622,929	(1,803,825,254)	(91,202,325)
Total equity	4,598,783,172	(1,782,123,119)	2,816,660,053	4,354,453,745	(1,796,250,465)	2,558,203,280
Total liabilities and equity	₩6,424,201,164	₩ (2,231,970,559)	₩4,192,230,605	₩5,911,626,512	₩ (2,266,795,380)	₩3,644,831,132

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(iii) As at December 31, 2018 and 2017

(in thousands of Korean won)

	2018			2017		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Assets						
Current assets	₩1,577,683,716	₩ -	₩1,577,683,716	₩ 620,995,135	₩ -	₩ 620,995,135
Non-current assets	4,402,724,932	(2,341,121,903)	2,061,603,029	6,562,096,027	(3,913,984,446)	2,648,111,581
Investments in associates and joint ventures	2,561,802,520	(2,387,705,348)	174,097,172	5,008,234,005	(4,503,664,434)	504,569,571
Deferred tax assets	-	46,583,445	46,583,445	-	589,679,987	589,679,987
Total assets	5,980,408,648	(2,341,121,903)	3,639,286,745	7,183,091,162	(3,913,984,446)	3,269,106,716
Liabilities						
Current liabilities	710,529,787	(38,759)	710,491,028	2,287,442,106	-	2,287,442,106
Derivative liabilities	39,623,718	(38,759)	39,584,959	1,933,562,427	-	1,933,562,427
Non-current liabilities	1,114,410,410	(534,542,329)	579,868,081	919,198,164	(505,315,891)	413,882,273
Deferred tax liabilities	534,542,330	(534,542,330)	-	505,315,891	(505,315,891)	-
Total liabilities	1,824,940,197	(534,581,088)	1,290,359,109	3,206,640,270	(505,315,891)	2,701,324,379
Equity						
Share premium	2,487,313,082	9,313,769	2,496,626,851	2,487,313,082	9,313,769	2,496,626,851
Accumulated other comprehensive loss	(6,975,961)	(1,738,979)	(8,714,940)	(4,009,447)	(3,780,868)	(7,790,315)
Retained earnings	1,509,718,830	(1,814,115,605)	(304,396,775)	1,327,734,757	(3,414,201,456)	(2,086,466,699)
Total equity	4,155,468,451	(1,806,540,815)	2,348,927,636	3,976,450,892	(3,408,668,555)	567,782,337
Total liabilities and equity	₩5,980,408,648	₩ (2,341,121,903)	₩3,639,286,745	₩7,183,091,162	₩ (3,913,984,446)	₩3,269,106,716

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Notes to the Consolidated Financial Statements
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(iv) As at December 31, 2016 and 2015

(in thousands of Korean won)

	2016			2015		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Assets						
Current assets	₩1,461,425,176	₩ --	₩1,461,425,176	₩ 192,853,895	₩ --	₩192,853,895
Non-current assets	6,071,590,930	(3,947,716,748)	2,123,874,182	5,767,639,821	(3,982,608,742)	1,785,031,079
Investments in associates and joint ventures	4,944,356,290	(4,519,128,821)	425,227,469	4,837,539,390	(4,533,780,087)	303,759,303
Deferred tax assets	-	571,412,073	571,412,073	-	551,171,345	551,171,345
Total assets	7,533,016,106	(3,947,716,748)	3,585,299,358	5,960,493,716	(3,982,608,742)	1,977,884,974
Liabilities						
Current liabilities	2,476,545,193	-	2,476,545,193	1,911,669,204	-	1,911,669,204
Derivative liabilities	1,874,470,943	-	1,874,470,943	1,820,439,050	-	1,820,439,050
Non-current liabilities	974,091,453	(526,670,614)	447,420,839	1,273,990,355	(581,574,424)	692,415,931
Deferred tax liabilities	526,670,614	(526,670,614)	-	581,574,424	(581,574,424)	-
Total liabilities	3,450,636,646	(526,670,614)	2,923,966,032	3,185,659,559	(581,574,424)	2,604,085,135
Equity						
Share premium	2,487,313,082	9,313,769	2,496,626,851	1,030,620,605	9,313,768	1,039,934,373
Accumulated other comprehensive loss	4,947,005	(3,948,258)	998,747	4,839,666	(3,778,548)	1,061,118
Retained earnings	1,424,706,873	(3,426,411,645)	(2,001,704,772)	1,601,530,283	(3,406,569,539)	(1,805,039,256)
Total equity	4,082,379,460	(3,421,046,134)	661,333,326	2,774,834,157	(3,401,034,318)	(626,200,161)
Total liabilities and equity	₩7,533,016,106	₩ (3,947,716,748)	₩3,585,299,358	₩5,960,493,716	₩ (3,982,608,742)	₩1,977,884,974

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(v) As at December 31, 2014 and 2013

(in thousands of Korean won)

	2013			2012		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Assets						
Current assets	₩ 216,838,130	₩ (106,686,799)	₩ 110,151,331	₩ 156,395,179	₩ (112,364,693)	₩ 44,030,486
Non-current assets	1,138,859,825	(57,023,021)	1,081,836,804	503,166,162	16,598,535	519,764,697
Investments in associates and joint ventures	53,921,974	311,196,041	365,118,015	-	166,631,898	166,631,898
Deferred tax assets	-	-	-	-	-	-
Total assets	<u>1,355,697,955</u>	<u>(163,709,820)</u>	<u>1,191,988,135</u>	<u>659,561,341</u>	<u>(95,766,158)</u>	<u>563,795,183</u>
Liabilities						
Current liabilities	236,793,886	(86,282,991)	150,510,895	169,229,512	(40,234,504)	128,995,008
Non-current liabilities	<u>488,171,822</u>	<u>(52,359,864)</u>	<u>435,811,958</u>	<u>105,868,478</u>	<u>(26,406,024)</u>	<u>79,462,454</u>
Total liabilities	<u>724,965,708</u>	<u>(138,642,855)</u>	<u>586,322,853</u>	<u>275,097,990</u>	<u>(66,640,528)</u>	<u>208,457,462</u>
Equity						
Share premium	801,800,313	7,117,379	808,917,692	516,719,342	-	516,719,342
Accumulated other comprehensive loss	9,170,941	(203,819)	8,967,122	(2,341,862)	(136,268)	(2,478,130)
Retained earnings	(314,664,171)	611,394	(314,052,777)	(218,754,883)	416,267	(218,338,616)
Non-controlling interest	<u>32,591,919</u>	<u>(32,591,919)</u>	<u>-</u>	<u>29,405,629</u>	<u>(29,405,629)</u>	<u>-</u>
Total equity	<u>630,732,247</u>	<u>(25,066,965)</u>	<u>605,665,282</u>	<u>384,463,351</u>	<u>(29,125,630)</u>	<u>355,337,721</u>
Total liabilities and equity	<u>₩1,355,697,955</u>	<u>₩ (163,709,820)</u>	<u>₩1,191,988,135</u>	<u>₩ 659,561,341</u>	<u>₩ (95,766,158)</u>	<u>₩ 563,795,183</u>

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(同) As at December 31, 2012

(in thousands of Korean won)

	Before restatement	2012 Adjustment	After restatement
Assets			
Current assets	₩ 217,858,628	₩ (141,513,019)	₩ 76,345,609
Non-current assets	344,486,626	77,518,098	422,004,724
Investments in associates and joint ventures	-	163,615,991	163,615,991
Total assets	562,345,254	(63,994,921)	498,350,333
Liabilities			
Current liabilities	107,516,998	(34,243,680)	73,273,318
Non-current liabilities	6,366,172	(1,059,834)	5,306,338
Total liabilities	113,883,170	(35,303,514)	78,579,656
Equity			
Share premium	452,386,129	-	452,386,129
Accumulated other comprehensive loss	(990,977)	(97,997)	(1,088,974)
Retained earnings	(83,168,967)	280,000	(82,888,967)
Non-controlling interest	28,873,410	(28,873,410)	-
Total equity	448,462,084	(28,691,407)	419,770,677
Total liabilities and equity	₩ 562,345,254	₩ (63,994,921)	₩ 498,350,333

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Notes to the Consolidated Financial Statements
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(b) Impact on Financial Performance

If the Company loses the administrative litigation, it shall restate the statements of comprehensive income (consolidated statements of comprehensive income from 2012 to 2014 and 2020 to 2022) as indicated by the Securities and Futures Commission and its impact shall be as follows.

(i) For the years ended December 31, 2022 and 2021

(in thousands of Korean won)

	2022			2021		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Revenue	₩ 3,001,295,198	₩ -	₩ 3,001,295,198	₩ 1,568,006,928	₩ -	₩ 1,568,006,928
Cost of revenue	(1,532,847,165)	-	(1,532,847,165)	(841,555,563)	-	(841,555,563)
Gross profit	1,468,448,033	-	1,468,448,033	726,451,365	-	726,451,365
Operating profit	983,627,394	-	983,627,394	537,309,408	-	537,309,408
Equity gain (loss) on investments in associates and joint ventures	27,259,827	5,081,537	32,341,364	13,853,142	20,326,148	34,179,290
Gain on disposal of investments in joint ventures	64,417,937	2,325,736,326	2,390,154,263	-	-	-
Net profit before Income tax	1,009,024,574	2,330,817,863	3,339,842,437	561,282,597	20,326,148	581,608,745
Income tax expenses (benefit)	210,968,364	608,328,298	819,296,662	167,693,130	(39,365,508)	128,327,622
Net profit for the year	798,056,210	1,722,489,565	2,520,545,775	393,589,468	59,691,656	453,281,124
Other comprehensive income (loss)	6,995,274	1,576,680	8,571,954	(1,270,499)	-	(1,270,499)
Total comprehensive income for the year	₩ 805,051,484	₩1,724,066,244	₩2,529,117,728	₩392,318,968	₩59,691,656	₩452,010,624

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Notes to the Consolidated Financial Statements
December 31, 2023 and 2022

(ii) For the years ended December 31, 2020 and 2019

(in thousands of Korean won)

	2020			2019		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Revenue	₩ 1,164,776,874	₩ -	₩ 1,164,776,874	₩ 701,591,860	₩ -	₩ 701,591,860
Cost of revenue	(748,700,763)	-	(748,700,763)	(509,584,425)	-	(509,584,425)
Gross profit	416,076,111	-	416,076,111	192,007,435	-	192,007,435
Operating profit	292,786,554	-	292,786,554	91,742,387	-	91,742,387
Equity gain (loss) on investments in associates and joint ventures	(17,767,694)	18,637,659	869,965	72,940,116	17,981,780	90,921,896
Net profit before Income tax	265,992,163	18,637,659	284,629,822	155,435,309	17,981,780	173,417,089
Income tax expenses (benefit)	25,017,363	4,510,313	29,527,676	(47,468,790)	7,691,429	(39,777,361)
Net profit for the year	240,974,800	14,127,346	255,102,146	202,904,099	10,290,351	213,194,450
Other comprehensive income(loss)	3,354,627	-	3,354,627	(3,918,805)	-	(3,918,805)
Total comprehensive income for the year	₩ 244,329,427	₩ 14,127,346	₩ 258,456,773	₩ 198,985,294	₩ 10,290,351	₩ 209,275,645

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Notes to the Consolidated Financial Statements
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(iii) For the years ended December 31, 2018 and 2017

	2018			2017		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Revenue	₩ 535,805,801	₩ -	₩ 535,805,801	₩ 464,629,334	₩ -	₩ 464,629,334
Cost of revenue	(390,645,859)	-	(390,645,859)	(332,829,273)	-	(332,829,273)
Gross profit	145,159,942	-	145,159,942	131,800,061	-	131,800,061
Operating profit (loss)	55,678,745	-	55,678,745	65,979,402	-	65,979,402
Equity gain (loss) on investments in associates and joint ventures	(129,337,333)	(3,364,228)	(132,701,561)	(129,602,338)	15,464,387	(114,137,951)
Gain on disposal of investments in joint ventures	389,213,672	2,119,447,933	2,508,661,605	-	-	-
Loss on valuation of derivatives	-	-	-	(59,091,484)	-	(59,091,484)
Net profit (loss) before Income tax	302,975,837	2,116,083,704	2,419,059,541	(115,994,753)	15,464,387	(100,530,366)
Income tax expenses (benefit)	78,866,642	513,831,346	592,697,988	(19,022,637)	3,254,198	(15,768,439)
Net profit (loss) for the year	224,109,195	1,602,252,358	1,826,361,553	(96,972,116)	12,210,189	(84,761,927)
Other comprehensive income (loss)	(2,966,514)	(274,831)	(3,241,345)	(8,956,451)	167,389	(8,789,062)
Total comprehensive income (loss) for the year	₩ 221,142,681	₩ 1,601,977,527	₩ 1,823,120,208	₩ (105,928,567)	₩ 12,377,578	₩ (93,550,989)

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Notes to the Consolidated Financial Statements
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(iv) For the years ended December 31, 2016 and 2015

(in thousands of Korean won)

	2016			2015		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Revenue	₩ 294,622,021	₩ -	₩ 294,622,021	₩ 91,278,029	₩ (23,901,796)	₩ 67,376,233
Cost of revenue	(268,088,358)	-	(268,088,358)	(114,784,617)	48,453,429	(66,331,188)
Gross profit (loss)	26,533,663	-	26,533,663	(23,506,588)	24,551,633	1,045,045
Operating profit (loss)	(30,422,639)	-	(30,422,639)	(203,642,444)	160,536,379	(43,106,065)
Equity loss on investments in associates and joint ventures	(129,222,650)	14,651,266	(114,571,384)	(19,395,735)	(151,241,000)	(170,636,735)
Earnings from disposal of investments in subsidiaries	-	-	-	4,543,610,535	(4,543,610,535)	-
Loss on valuation of derivatives	(54,031,894)	-	(54,031,894)	(1,820,439,050)	-	(1,820,439,050)
Net profit (loss) before Income tax	(230,900,983)	14,651,266	(216,249,717)	2,488,062,610	(4,528,216,321)	(2,040,153,711)
Income tax expenses (benefit)	(54,077,574)	34,493,373	(19,584,201)	583,116,693	(1,132,283,925)	(549,167,232)
Net profit (loss) for the year	(176,823,409)	(19,842,107)	(196,665,516)	1,904,945,917	(3,395,932,396)	(1,490,986,479)
Other comprehensive income (loss)	107,338	(169,709)	(62,371)	(8,535,494)	629,489	(7,906,005)
Total comprehensive income (loss) for the year	₩ (176,716,071)	₩ (20,011,816)	₩ (196,727,887)	₩1,896,410,423	₩ (3,395,302,907)	₩ (1,498,892,484)

Samsung Biologics Co., Ltd. and its Subsidiaries
Notes to the Consolidated Financial Statements
December 31, 2023 and 2022

(v) For the years ended December 31, 2014 and 2013

(in thousands of Korean won)

	2014			2013		
	Before restatement	Adjustment	After restatement	Before restatement	Adjustment	After restatement
Revenue	₩ 105,148,784	₩ (76,130,543)	₩ 29,018,241	₩ 17,120,845	₩ (17,077,340)	₩ 43,505
Cost of revenue	(124,868,406)	41,530,645	(83,337,761)	(54,438,932)	54,399,778	(39,154)
Gross profit (loss)	(19,719,622)	(34,599,898)	(54,319,520)	(37,318,087)	37,322,438	4,351
Operating profit (loss)	(119,541,186)	38,655,238	(80,885,948)	(154,092,746)	89,212,838	(64,879,908)
Equity loss on investments in associates and joint ventures	(32,679,484)	(35,067,057)	(67,746,541)	-	(73,031,096)	(73,031,096)
Net profit (loss) before Income tax	(99,688,402)	3,974,241	(95,714,161)	(148,473,756)	13,024,108	(135,449,648)
Net profit (loss) for the year	(99,688,402)	3,974,241	(95,714,161)	(148,473,756)	13,024,108	(135,449,648)
Other comprehensive income (loss)	11,295,735	149,517	11,445,252	(1,424,072)	34,915	(1,389,157)
Total comprehensive income (loss) for the year	₩ (88,392,667)	₩ 4,123,758	₩ (84,268,909)	₩ (149,897,828)	₩ 13,059,023	₩(136,838,805)

(vi) For the year ended December 31, 2012

(in thousands of Korean won)

	2012		
	Before restatement	Adjustment	After restatement
Revenue	₩ -	₩ -	₩ -
Cost of revenue	-	-	-
Gross profit (loss)	-	-	-
Operating profit (loss)	(91,357,686)	51,645,812	(39,711,874)
Equity loss on investments in associates and joint ventures	-	(40,016,257)	(40,016,257)
Net profit (loss) before Income tax	(80,241,939)	7,341,692	(72,900,247)
Income tax expenses	2,066,460	-	2,066,460
Net profit for the year	(82,308,399)	7,341,692	(74,966,707)
Other comprehensive income (loss)	(1,038,989)	(50,393)	(1,089,382)
Total comprehensive loss for the year	₩ (83,347,388)	₩ 7,291,299	₩ (76,056,089)



**Independent Auditor's Report on
Internal Control over Financial Reporting for Consolidation Purposes**

(English Translation of a Report Originally Issued in Korean)

To the Board of Directors and Shareholders of
Samsung Biologics Co., Ltd.

Opinion on Internal Control over Financial Reporting for Consolidation Purposes

We have audited Internal Control over Financial Reporting of Samsung Biologics Co., Ltd. and its subsidiaries (collectively referred to as the "Group") for consolidation purposes as at December 31, 2023, based on *Conceptual Framework for Designing and Operating Internal Control over Financial Reporting*.

In our opinion, the Group maintained, in all material respects, effective internal control over financial reporting for consolidation purposes as at December 31, 2023, based on *Conceptual Framework for Designing and Operating Internal Control over Financial Reporting*.

We also have audited, in accordance with Korean Standards on Auditing, the consolidated financial statements of the Group, which comprise the consolidated statement of financial position as at December 31, 2023, and the consolidated statement of comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flow for the year then ended, and notes to the consolidated financial statements including material accounting policy information, and our report dated February 28, 2024 expressed unqualified opinion.

Basis for Opinion on Internal Control over Financial Reporting for Consolidation Purposes

We conducted our audit in accordance with Korean Standards on Auditing. Our responsibility under these standards are further described in the *Auditor's Responsibilities for the Audit of Internal Control over Financial Reporting for consolidation purposes* section of our report. We are independent of the Group in accordance with the ethical requirements of the Republic of Korea that are relevant to our audit of internal control over financial reporting for consolidation purposes and we have fulfilled our other ethical responsibilities in accordance with the ethical requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management and Those Charged with Governance for Internal Control over Financial Reporting for Consolidation Purposes

Management is responsible for designing, implementing and maintaining effective internal control over financial reporting for consolidation purposes, and for its assessment about the effectiveness of internal control over financial reporting for consolidation purposes, included in the accompanying Management's Report on the Effectiveness of Internal Control over Financial Reporting for Consolidation Purposes.

Those charged with governance have the responsibilities for overseeing internal control over financial reporting for consolidation purposes.

Auditor's Responsibilities for the Audit of Internal Control over Financial Reporting for Consolidation Purposes

Our responsibility is to express an opinion on internal control over financial reporting for consolidation purposes of the Group based on our audit. We conducted the audit in accordance with Korean

Standards on Auditing. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether effective internal control over financial reporting for consolidation purposes was maintained in all material respects.

An audit of internal control over financial reporting for consolidation purposes involves performing procedures to obtain audit evidence about whether a material weakness exists. The procedures selected depend on the auditor's judgment, including the assessment of the risks that a material weakness exists. An audit includes obtaining an understanding of internal control over financial reporting for consolidation purposes and testing and evaluating the design and operating effectiveness of internal control over financial reporting for consolidation purposes based on the assessed risk.

Definition and Inherent Limitations of Internal Control over Financial Reporting for Consolidation Purposes

An entity's internal control over financial reporting for consolidation purposes is a process effected by those charged with governance, management, and other personnel, designed to provide reasonable assurance regarding the preparation of reliable financial statements in accordance with International Financial Reporting Standards as adopted by the Republic of Korea. An entity's internal control over financial reporting for consolidation purposes includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the entity; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with International Financial Reporting Standards as adopted by the Republic of Korea, and that receipts and expenditures of the entity are being made only in accordance with authorizations of management and those charged with governance; and (3) provide reasonable assurance regarding prevention, or timely detection and correction of unauthorized acquisition, use, or disposition of the entity's assets that could have a material effect on the financial statements.

Because of its inherent limitations, internal control over financial reporting for consolidation purposes may not prevent, or detect and correct, misstatements. Also, projections of any assessment of effectiveness to future periods are subject to the risk that controls may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

The engagement partner on the audit resulting in this independent auditor's report is Ki-Rok Kim, Certified Public Accountant.

Samil PricewaterhouseCoopers

Seoul, Korea

February 28, 2024

This report is effective as at February 28, 2024, the audit report date. Certain subsequent events or circumstances, which may occur between the audit report date and the time of reading this report, could have a material impact on the Group's internal control over financial reporting for consolidation purposes thereto. Accordingly, the readers of the audit report should understand that there is a possibility that the above audit report may have to be revised to reflect the impact of such subsequent events or circumstances, if any.

**Management's Report on the Effectiveness of
Internal Control over Financial Reporting for Consolidation Purposes**

(English Translation of a Report Originally Issued in Korean)

To the Shareholders, Board of Directors and Audit Committee of
Samsung Biologics Co., Ltd.

We, as the Chief Executive Officer (CEO) and the Internal Control over Financial Reporting Officer of Samsung Biologics Co., Ltd. and its subsidiaries (collectively referred to as the "Group"), assessed the effectiveness of the design and operation of the Group's Internal Control over Financial Reporting (ICFR) for Consolidation Purposes for the year ended December 31, 2023.

The Group's management, including ourselves, is responsible for designing and operating ICFR for consolidation purposes. We assessed the design and operating effectiveness of ICFR for consolidation purposes in the prevention and detection of an error or fraud which may cause material misstatements in the preparation and disclosure of reliable financial statements. We designed and operated ICFR for consolidation purposes in accordance with *Conceptual Framework for Designing and Operating Internal Control over Financial Reporting* established by the Operating Committee of Internal Control over Financial Reporting in Korea (the ICFR Committee). And, we conducted an evaluation of ICFR for consolidation purposes based on *Best Practice Guideline for Evaluating and Reporting Effectiveness of Internal Control over Financial Reporting* established by the ICFR Committee.

Based on the assessment results, we believe that the Group's ICFR for consolidation purposes, as of December 31, 2023, is designed and operating effectively, in all material respects, in accordance with *Conceptual Framework for Designing and Operating Internal Control over Financial Reporting*.

We certify that this report does not contain any untrue statement of a fact, or omit to state a fact necessary to be presented herein. We also certify that this report does not contain or present any statement which cause material misunderstandings, and we have reviewed and verified this report with sufficient due care.

February 14, 2024

John Rim,
Chief Executive Officer

Dong Joong Kim,
Internal Control over Financial Reporting Officer